

Skipper (SKIPPER)

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Call: May 2023

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Dated: 23rd May, 2023

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Scrip Name- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Q4FY23 & FY23 results and future outlook

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 16th May, 2023 on Audited Financial Results of the Company for quarter and year ended 31st March, 2023.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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"Skipper Limited
Q4 FY '23 Earnings Conference Call "
May 16 , 2023

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
MR. DEVESH BANSAL – DIRECTOR – SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL
OFFICER – SKIPPER LIMITED
MR. ADITYA DUJARI – DEPUTY GENERAL MANAGER
FINANCE AND INVESTOR RELATIONS – SKIPPER
LIMITED

MODERATOR : MR. RAHUL MISHRA – CENTRUM BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Skipper Limited Q4 FY '23 Results Conference Call hosted by Centrum Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Mishra from Centrum Broking Limited. Thank you, and over to you, sir.

Rahul Mishra: Thank you, Liza nn. Hello, and good afternoon to everyone, and thank you for joining the Skipper Limited Q4 FY '23 Earnings Call. From the management side today, we have Mr. Sharan Bansal, Director; Mr. Devesh Bansal, Director; Mr. Shiv Shankar Gupta, Chief Financial Officer; and Mr. Aditya Dujari, Deputy General Manager of Finance and Investor Relations. Without any further ado, I will hand over the call to Mr. Sharan Bansal for his opening remarks, post which we can open the floor for Q&A. Over to you, sir.

Sharan Bansal: Thank you, Rahul. Good afternoon to you all and thank you for your continued interest in Skipper. Please take note any forward -looking statement made during this call must be reviewed in conjunction with the risk that the industry and the company face. The year was filled with many achievements and milestones for the company. We are glad to share some of those market achievements with you.

The company registered its best -ever revenue quarter of INR657 crores, showcasing strong momentum across all major business segments. We achieved our highest ever quarterly revenue of INR149 crores and annual revenue of INR406 crores in the polymer segment. On back of strong volume growth, the growth has been achieved purely on account of volume, which shows the rising market accep

tance and tool for our polymer products. We expect this trend to continue in the coming years.

We've also achieved the highest ever engineering export sales and volume. The export revenue for the year stood at INR723 crores, registering an 80% year -on-year growth. We've achieved the highest ever annual order inflow in the company's history, securing new orders in excess of INR4,137 crores during the year. We secured our largest single order win valuing at INR2,570 crores from BSNL during the year. The year -end closing order book stands at INR4,551 crores which is the highest ever in company's history and is well diversified across sectors and segments.

We also have the highest year -end bidding pipeline. We're actively pursuing project work INR6,600 crores in international funds and INR3,520 crores on the domestic front. We've also ventured into water EPC work for the first time and secured an order of INR100 crores for JJM, Jal Jeevan Mission projects. We've become the first Indian pole manufacturer to successfully design and supply Transmission Monopoles structures to North America. And we successfully executed 2 transmission pole supply contract with one of the biggest transmission utilities in Canada. 9KIPPER _ , _

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We've successfully supplied large quantities of towers to largest -ever transmission line projects ever being made in Australia. This project is called Project EnergyConnect, and it's located in New South Wales, Australia. We received first time orders from countries of Dominican Republic, U.S.A., Canada, Iraq and Kuwait during the year, taking the total export reach to 55 countries worldwide. We've tested and supplied guide tower for the first time, 12 towers are tested in our in-house classification in the R&D centre in a single month, which is a record. The sector continues to witness uptick in both ordering and execution, and the company expects growth to gain further face with increased participation opportunities across the globe. Some of the key operational and financial highlights in comparison to previous year -end quarter were as follows. There has been strong revenue performance across our major business segments in spite of inflationary cost push and geopolitical -related challenges, while maintaining healthy operating margins of 10% -plus. The net revenue for the quarter stood at INR657 crores against INR553 crores previous year quarter 4, which is up by almost 19%. The segmented revenue breakup are as follows: engineering INR497 crores, which is up by 20.7%; polymer, INR149 crores, which is up by 26.4%; and infra segment, INR11 crores. The full year consolidated revenue stood at -- increased by 16% over previous year to INR1,980 crores. The segmented revenue breakup for full year were as follows: engineering INR1,524 crores, up 15.3%; polymer, INR406 crores, which is up by 27%; and intra -segment, INR50 crores. The company achieved highest ever engineering export sales of INR723 crores against INR400 crores previous year, registering a growth of 80%. Our export share in overall engineering revenue stood at 47% in 12 months FY '23, when compared to 30% last year. Forex derivative M2M losses arising on account of sharp depreciation of rupee has resulted mainly in decrease of profitability of the current year by INR24.3 crores. And there was a simultaneous increase in the previous year corresponding period by INR19 crores. The nature of this Forex loss is largely notional, that is, all competitive growth numbers are required to be calculated excluding this effect of Forex adjustment for better operational performance understanding and analysis on like -to-like basis. Our yearly operating performance, excluding the impact of Forex gain loss were as follows: Operating EBITDA rose by 46%, EBITDA increased to INR217 crores instead of INR149 crores; stand -alone operating EBIT

DA margins improved to 11% in comparison to 8.7% in FY '22; the Q4 '23 operating EBITDA percentage was at 10% against 11% last year quarter. Engineering segment operating EBITDA margin for the year improved to 12.8% in comparison to 10.7% in previous year. Now we are clocking the desired margin range of 12% to 13% for many quarters. The consolidated operating PBT for full year increased to INR71.3 crores against INR11.3 crores last year, which is a major increase of 531%, while operating PBT margins improved to 3.6% instead of 0.6% last year. The operating PBT for the quarter was INR24.7 crores, comparison to INR23.9 crores previous year quarter. Our JV Skipper Metzger India LLP engaged in the business of manufacturing of grip and micro irrigation systems has turned profitable and reported a PAT of 57 million during the year, INR55.7 crores. The consolidated financial results include our portion of the same. The 9KIPPER __, __ Skipper Limited May 16, 2023

consolidated reported tax increased to INR35.6 crores, again, to be 25.2% last year, registering a 41%. Some of the notable improvements on the balance sheet and cash flow front are as follows: the total gross debt as on March 31, '23, stood at INR484 crores against INR567 crores last year; company has been able to achieve this reduction in debt by INR483 crores in spite of higher sales during this year, on account of efficient working capital utilization and better collection and payment terms from debt. Achieved significant reduction in overall debtors by INR85 crores in comparison to last year in spite of higher sales. Gross debtor days improved to 70 days against 100 days. The focus and steps undertaken towards balance sheet consolidation resulted in significant improvement in cash flows of the company. Our net operating cash flow for the year increased to INR284 crores from INR17 crores in FY '22 on back of strong underlying earnings and efficient working capital management. The debt equity ratio has improved to 0.63 against 0.77. Further, the notable developments on the government policy front, which will have a positive bearing on the company's growth and performance are the restoration of RoDTEP scheme in our engineering product business, which will boost our export competitiveness and potentially improve our operational performance. The company will also get benefited from the India - Australia pre-trade agreement. Our engineering products are now eligible to enjoy preferential

market access and duty structure in Australia. This will boost our export competitiveness and future growth.

The recent government announcement for transmission system plan for integration of 500 gigawatts of renewable capacity with an investment outlay of INR2.4 lakh crores in domestic transmission projects is also a big positive for us. Further, I'm glad to share that Skipper hies has onboarded MS Dhoni and Chris Gayle as brand investors to help raise awareness about safe water supply.

For Indian, MS Dhoni is not just a cricketing icon item, but also an embodiment of value, such as trust, reliability and resilience with perfectly aligned with the values of Skipper ventures. It's a well thought out brand strategy to position ourselves as a leading player in the industry by associating with the Skipper or captain of Indian cricket himself, MS Dhoni .

Skipper pipes has been certified with higher standard of NSF coating. The campaign aims to creating awareness about 100% lead -free and NSF coating certified PVC pipe for Indian households and the importance of using best -in-class lead -free pipes for potable water solutions. Thank you. I'm happy to take your questions.

Moderator: The first question is from the line of Rahul Mishra from Centrum Broking.

Rahul Mishra: First of all, congratulations to the management on a very good set of numbers during the quarter. So, I have a couple of questions. But

start with the bidding pipeline, as we see from

the presentation, it looks very healthy at 66 billion for international orders and 35 million for domestic market. So , if you could help me understand what other sectors these offers are likely to come from? And if you can put any timeline on when the tenders would be awarded? 9KIPPER _ , __
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Sharan Bansal: Yes. So effectively, our bidding is largely through the EPC players who are either in turn bidding for the transmission tenders or, in many cases, they have already won those projects.

And we, as a supplier, are bidding to them. So, we have active relations with a number of global EPC players. And many of these bids, which we have submitted with them, we are in advanced stages of finalization with a number of them .

So, every quarter, we are expecting an inflow of about INR400 crores to INR500 crores of order inflow, which is what we have been maintaining for last several quarters. It is -- and yes, looking at the demand prospects, we feel that this bid pipeline will continue to grow. As we have mentioned, it's 66 billion in international front and about INR35 billion on the domestic front right now. We are also expecting more bids to come up in the domestic side this year.

Rahul Mishra: Sure, sure. Sir, my next question is pertaining to the same order pipeline. Sir, if you can help me understand what could be the net margin profile for these tenders? I know like the tenders would be a mix of international, domestic EPC contracts. So, if you can just put any number, any regard to that for the margin?

Sharan Bansal: Yes. So, on a consolidated basis, we are confident of delivering 12% to 13% margins in our Engineering segment. We have, in this year, also our operating margin has improved across the company significantly to 11%. And I think for Engineering segment, do we have to see your full year margin. Engineering segment also, we have seen a good margin for the full year. So, you can expect 12% to 13% margin for the Engineering segment. Yes, for the full year, this year, Engineering segment, we have delivered 12.8%. So, 12% to 13% is what you should be expecting for the incoming orders as well.

Rahul Mishra: Sure, sir. Sure. Sir, my next question is pertaining to 1 of the slides in the PPT, we first mentioned that there is a pent -up demand in the domestic T&D space as most of the tenders that got postponed will now be conducted in coming months. So, if you can just throw some light on what are states in the domestic market, we are seeing this pent -up demand?

Sharan Bansal: Yes. The majority of the tenders are catering to renewable tower integration. So, we expect majority of the tenders to come in Rajasthan and Gujarat sites.

Rahul Mishra: Okay. Okay. And like considering most of the tenders will be awarded from government entities. So how would you see the working capital position like in terms of receivables what will the average receivable days while you are working with the existing government take orders?

Sharan Bansal: We are seeing -- we are not seeing any challenge in terms of receivables. As I mentioned in my remarks, we have brought down our debtor number of days to 70 instead of 100 -plus debtor days in the previous year. So we are, as such, not seeing any, I think, in realization from whether it is domestic side or international side.

Rahul Mishra: Sir, my next question is for the telecom towers, considering that we are the largest manufacturers and suppliers of telecom towers. So, given the government's trust on adding new 8 lakh towers over the next 2 years, how are we placed in the industry in terms of market 9KIPPER _ , __
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share? And what is the revenue as plus margin potential from this order pipeline of 8 lakh towers?

Sharan Bansal: We have recently won this large

BSNL contract also for setting up an installation for 4G

towers in rural areas. We are seeing more such opportunity as the 5G expansion and investment takes some momentum. So, I believe that Skipper is the largest player in this segment. We will continue to see better and better opportunities in the telecom space, also just the way we are seeing in the power transmission then and the margins should be in line with our overall company margin.

Rahul Mishra: Okay. My next question, again, pertains to the telecom segment. So, for telecom segment, sir, what is the current share of revenue coming from telecom sector? Or given that you have recently won a big order from BSNL, and going ahead, if you could secure some orders, similar to orders like this, can it become a significant contributor to our Engineering Products segment after exports?

Sharan Bansal: Yes. Possibly, you are right. Currently, if I look at the year that just ended, telecom would be maybe less than 15% of our overall revenue. But yes, with the BSNL contract as well as other opportunities in the telecom sector, we may see some increase in that, in our overall revenue mix.

Moderator: We'll move on to the next question that is from the line of Sachin Kasera from Svan Investments.

Sachin Kasera: Congrats for a good set of numbers. First on this big contract that we received from BSNL. So, if you could give us some clarity in terms of how do we see the execution and the ramp up and the working capital cycle for this specific order in financial year '24?

Sharan Bansal: Yes, sure. So, the contract is a mix of capex and O&M. So, the 60% to 65% of the contract value will be realized in the next 2 financial years. That means this FY '24 and FY '25, which is the capex part of it. And the O&M part, which is about 35% to 40%, that will be realized over the next 5 years after the 5-tower installed. So that is how we are expecting the revenue to be realized. And in terms of working capital, it should be in line with our company overall working capital, currently whatever we have.

Sachin Kasera: I was asking if you could be a little more specific, like in financial year '23 execution of 60%, how should we look in terms of how much exchange should happen in '24 and '25 executed that breakup roughly? Will it be like equal 50-50? Or it will be more like much less this year and major that will happen in '25 basis, whatever interest you have.

Sharan Bansal: It will only depend on site conditions as the project has just kicked off. So, it is too early to say what will be the exact revenue. Of course, the government does want more revenue to take place in this FY '24 itself, maybe because of the elections. But it remains to be seen once, how the speed on the ground picks up. So, we definitely expect that the 100% of the capex part of the revenue will be realized in FY '24 and '25, but the split between the two years, it is too early to say. 9KIPPER _ , _

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Sachin Kasera: And any sense on -- as the execution started full-fledged, or when would it start in terms of completion execution? Any sense what that you could give us?

Sharan Bansal: Yes. The execution has started in a number of the clusters in the area that we have.

Sachin Kasera: Okay. Sure. Second question was on the margin in the Engineering business. So, this year, we have seen almost 200 basis point improvement at 12.8%. And in one of the previous quarters, you mentioned that you expected to get 12% to 13%. But in one of the slides in the presentation, that we mentioned that you are expecting the share of exports to rise to almost 75% over the next 2 years in the engineering business. And this is from whatever year we have interacted and you have mentioned in the past conference call that the margins in exports are much better. So, if the share of export is going to increase from 50 to 75,

should we not expect

to have better EBITDA margins in the next 2 years?

Sharan Bansal : Well, we would certainly like to do better than 12% to 13% margin. But as and when the export grows, hopefully, we will do better margins also. As of now, we are guiding for 12% to 13% margins only.

Sachin Kasera: Sure, sure. Secondly, on this bidding pipeline in the engineering business in the domestic market, does this include some of this? You mentioned that almost 8 towers are to be installed.

So, this domestic pipeline, it is mainly on the T&D side or this to teen again includes some other circle orders like the order that you have recently won?

Sharan Bansal: In the domestic pipeline, the share of telecom is lower. But yes, there are some telecom opportunities also included in the domestic pipeline.

Sachin Kasera: So, this a few other circles that you mentioned, if you could give us some sense what is the overall size of this 5G rollout opportunity costing. I think what we have is just a few circles, right? And you mentioned the total installation is 8 lakhs. So, if you could give us some ballpark picture, what is going to the size of the market, what is a tentative timeline in which you can expect the bidding to happen? And who are the key players? How are we positioned? That would be very helpful.

Sharan Bansal: See, the overall 8 lakh towers will be a combination of towers put up by all the Moderators and the third-party tower companies in India. So, it is difficult to comment on individual plan. This is the estimate put up by various sources that 8 lakh towers will be required in the overall 5G expansion and the network expansion. So as definitely opportunities are increasing, we are seeing more and more bid opportunities in the telecom segment. But given a circle-wide breakout would probably not be possible at our time.

Sachin Kasera: Sure. But at least on the BSNL side, if you could give us some indication because I'm sure that's more of a dormant tender-based business. So how many more bids are expected at tentatively in the financial year '24 if you have some insights on that?

Sharan Bansal: No. BSNL, currently, what we are doing is the maturation project. As of now, we haven't announced any other project, which they are going to undertake. But it's expected that as they 9KIPPER __, __
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also move to deeper, penetrate their 4G and 5G expansion, they definitely will be coming now with more projects. But so far there are no confirmed plans in hand for us.

Sachin Kasera: Sure. Just last question on the export side of the business. So now that we have got significant approvals, and when you are seeing some of the other companies which are in the listed space, I mean, there are just in categories like supplying conductors, which is more or less addressing the same industry. They are seeing very strong order book from North America. In fact, some of them have also seen very strong execution in the financial year '23. So, if you could share us some thoughts in terms of how are you seeing the ramp up and the order in fund and visibility for the North American market?

Sharan Bansal: Yes, North America is an interesting opportunity. The conductor manufacturers have an advantage because their conductors is going to re-conducting projects also. However, towers and poles are typically used when only new lines are built. So, I say that we have entered the North American market last year with some small orders. We are expecting some significant size orders in that in the coming years.

But in terms of revenue, as of now because we don't have large orders from the North American market, so we don't expect much revenue from there to come this year also. Only when we receive some significant orders from that market, then -- the following year, we can expect some significant revenues coming in.

Sachin Kasera:

But over the next say two years to three years, can we see significant order inflows from this North American market?

Sharan Bansal: Yes, yes. There are a number of projects which we are pursuing right now. So yes, we are quite hopeful that we should see good order inflows from North America as well as other developed markets like Europe and Australia as well.

Sachin Kasera: Sure. And just one question on the balance sheet. If you could share what is the capital expenditure plan for financial year '24? And are we advertising any net debt reduction planning for FY '24?

Sharan Bansal: We are planning a total capex of approximately INR75 crores in the coming -- in this current financial year FY '24. And in terms of debt reduction, we have been consistently controlling the overall debt, including working capital. As I mentioned in my remarks, we have been able to bring down overall borrowing by approximately INR70 crores to INR80 crores even in this financial year despite the growth of sales.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: So first, I just wanted to understand in terms of revenue mix, between the polymer engineering product and infra. How do you see the revenue mix currently, which is at maybe about 75%, 25%?

Sharan Bansal: Yes. The current revenue for us, 79 percentage of E&D and engineering and EPC and 21% is polymer Correct. 9KIPPER __, __

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Deepak Poddar : And 5% is infra.

Sharan Bansal: Yes, so your question is?

Deepak Poddar : How do we see the revenue mix going forward?

Sharan Bansal: Going forward we expect growth in both the businesses on -- so definitely, we expect that polymer segment should grow in overall revenue mix of the company because it is growing at a much faster pace than the engineering business. So, we do expect, in the coming years, polymer to take a greater share in the overall revenue.

Deepak Poddar : Correct. Understood. So ideally, I mean -- we have been, I mean, vocal about, what, 25% CAGR over the next 3 years. So ideally, the polymers should grow at what, 30%, 40%, and engineering product would grow lesser than 25%, right, to have that consolidated level, 25% CAGR.

Sharan Bansal: Yes, yes. That's about right.

Deepak Poddar : So -- and in terms of potential for margins in your polymer division, how do we see that? I mean, currently, it is only at about, what, 5% odd, right? So how do we see the potential in polymer, I mean, as we scale up, because ideally then it's EBITDA margin dilutive, right, at a consol level.

Sharan Bansal: But then obviously, you would have noticed that the industry average EBITDA margins are very healthy in this business. We are positioned as a premium brand in the markets that we operate in. Our EBITDA margins are low right now because we are a young brand, and we are still investing in our distribution and our channel sales. We could see a consistent improvement every year in the EBITDA margin going forward.

Deepak Poddar : Okay. So, what's the sort of margins that we would aspire for in this business? Is it 10%, 12% is what the aspiration would be for us on the medium term?

Sharan Bansal: I -- in the longer term, we definitely would aspire to be close to the industry average, which is in the range of 13% to 14%.

Deepak Poddar : 13% to 14%?

Sharan Bansal: Yes, in the long term.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Congratulations, sir on good set of number. I just want to understand if I take this closing order book and exclude the BSNL orders, from that total order book. So, what would be a normal execution period for this non -BSNL order book?

Sharan Bansal: For the non -sorted you can assume an execution period of approximately 12 to 18 months. 9KIPPER __ , __
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Vignesh Iyer: Okay. Okay. Fine. And a second question, if you could just -- so I do understand there is other nature of interest payment that I mean ex -ex long -term debt that you hold in books of accounts.

I just wanted to know what would be the breakup of this INR32 crores that we paid in quarter 4 and INR104 crores odd interim that we paid in entire year. What is the nature of the interest that is being paid? If you could just give me a breakup on that entire amount.

Sharan Bansal: INR104 crores is overall finance charges. So that includes term loan interest, working capital interest as well as interest paid on all LC discounted for our sales wins. So, we increase the financial as well as charges made on account of bank guarantees, et cetera. So, all of that included is contributing to finance charges of INR104 crores.

Vignesh Iyer: I understood, too. But if you could not give me the number, if you could just tell me what is the cost of funds of term loan and working capital loan separately, as those to I got interested, I get an idea at what is the cost of flow that we hold in our books.

Devesh Bansal: So the average cost of loans would be somewhere ranging from 8% to 9%. And if we talk on the interest cost, purchase was 5.6% in last year's financial year. And just concluded here, we have done 5.3%.

Sharan Bansal: As a percentage of revenue.

Devesh Bansal: As a percentage of revenue. And -- yes,

Moderator: The next question is from the line of Sachin Kasera from Svan Investments.

Sachin Kasera: Right. A couple of questions on the polymer business. One, if you could share with us the volume that we have done in this current financial year versus the last financial year.

Sharan Bansal: Company doesn't report volume data. We are working with the value data only.

Sachin Kasera: Sure. But most of the players in the industry do here, but yes, it's fine for the company policy. Second question was my with retrospect, if you see the last 3, 4 years because we were implementing this DOC concept, we did not see much growth in terms of revenue and profitability. And a lot of these players who are much more than us have become much larger

and even some of the larger players have grown to a very big size because of which our market share has become much lower.

So now that we are through with this, what is the type of aspiration we have? Because today, it's like a INR30,000 crores industry, we are like 1% market share. So, for us to be relevant here in the industry, we at least have to reach some significant amount of market share. So, either on a regional basis, do we intend to be a dominant player who want to become a national player all India, but just at in for 3 to 5 at of expirations in this business? And how do you think are we positioned to be able to meet the expirations?

Sharan Bansal: Yes, sure. Devesh will take the question.

Devesh Bansal: Sure. So, you're right, the headroom available for us in this industry is quite large. Have we mentioned we are only about 1% market share -- so there is enough room to grow for there like 9KIPPER __ , __
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us. The POC working that we have done over the last 3 to 4 years has built up a great distribution network for us. So, the presence that we have across the area that we operate in is quite strong, and we are now reaching out to almost 30,000 retail touch points on a regular basis. But now the launch of our branding activities as well, we hope to be able to capture a substantial part of this market.

The market, you're right, has grown significantly in the last few years. And it is going to continue to grow, especially with all the investment that is happening in the water sector by the government as well, this market will continue growing for the next many, many years. And we hope to play a big part of it going forward.

Sachin Ka

sera: But somewhat from my sense, memory was that you are close to 2% market year, 1.5% market share for 4, 5 years back, today we are closer to 1%. Should we assume that at least in the next 3, 4 years, we expect to go back to that 1.5% to 2% market share, at least ?

Sharan Bansal: The aspiration is to obviously be much higher than that. We'll see how it works out.

Sachin Kasera: Sure. And secondly, do we want to be more focused on Eastern region where we right now have a major presence and look at a much more domina nt there? Or eventually, we want to be a much larger and a pan -India player, but that would also mean significant investments, both in terms of distribution, marketing as well as capex , if you could give your thoughts on that.

Sharan Bansal: So currently, East and Northeast are a very strong market for us, and we enjoy a great brand presence as well as decent market share in these markets. This will continue to grow. But we are also very well present in North India now as well as parts of South India. So, the idea is to continue expanding geographically as well as consolidate our position in East and Northeast further. So, I see both of these 2 reasons are happening going forward.

Sachin Kasera: And currently, your manufacturing is mainly in Eastern India?

Sharan Bansal: Yes. Currently, the manufacturing is in 2 plants, 1 in Kolkata and one in Guwahati.

Sachin Kasera: And what would be the capacity of these plants?

Sharan Bansal: Consolidated capacity currently for polymer business is around INR60,000 crores, correct.

Sachin Kasera: 6-0, 60?

Sharan Bansal: Yes.

Sachin Kasera: And what would be the average utilization currently, we would be looking at?

Sharan Bansal: Current utilization, while we don't readily disclose the volume number. But currently, the utilization for the pipes business is approximately 50%.

Sachin Kasera: And do we intend to set up any plant in North India because you mentioned that North India is also a big focus area for us. 9KIPPER __ , __

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Sharan Bansal: It's not in the current year plan, but we'll see as we go around that.

Moderator: The next question is from the line of Vi gnessh Iyer from Se quent Investments.

Vignesh Iyer : Just to understand that what would be our guidance for probably the next 2 years in terms of revenue. I mean, if you could tell me, except for the BSNL orders because it has its own execution cycle, right? So, if you could just let us know what could be...

Sharan Bansal: Your question is the execution period of the non -BSNL order?

Vignesh Iyer: No, no, no. I want to know what is the gu idance in terms of the revenue that we would generate from the EPC segment, excluding the BSNL order, because the BSNL order has its own execution cycle, right? So, what -- do we have any guidance for -- I mean, our regular orders that you're getting based on that?

Sharan Bansal: You're specifically asking about the EPC segment only, right?

Vignesh Iyer: Right, EPC segment. Correct.

Sharan Bansal: Okay. So, our EPC segment is not very large. We do have certain projects for transmission line and railway electrification projects. So, we do expect to do maybe INR40 crores to INR50 crores of revenue in those areas. We have taken -- we have entered into the stage of water EPC as per project. So, we do expect revenues from that division to now come in. So overall, you can say the non -BSNL infra revenue, which should be in the range of INR100 crores to INR150 crores only.

Vignesh Iyer: Okay. And the new, sorry. Just to understand this notary activity project that we have got, does it have a different EBITDA margin profile or it is similar to what it is right now?

Sharan Bansal: The water EPC business will be having a similar margin profile from our existing businesses.

Moderator: The next question is from the line of Sachin Kasera from Svan

Investments.

Sachin Kasera: Just two small questions. One is on the interest cost. So, this year, it is close to around 5% of revenues. Going ahead, while obviously, there may be increase in working capital has met that may not come down. But over the next couple of years, do you think that we can run a far more efficient operations and try to reduce this to like 3.5%, 4% of revenues? Or this is the optimum at which we would be working next two years?

Sharan Bansal: Yes. I think finance cost is a function of, obviously, the working capital you're working, as well as the interest rate. And we all know that during the year, interest rates have increased substantially. So probably the effect of the improvement that we have achieved in the overall working capital management has not been so easily visible in the finance costs, because of the rising interest rate.

However, now I believe that with further improvement in the working capital management, there definitely is an opportunity for this number to go close to 4%. But whether that will 9KIPPER _ , __
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happen in this year or next year, it's hard to say. But yes , we do believe there's an opportunity to go below the current level of 5% that we are at.

Sachin Kasera: Sure. Secondly, 2015 to 2018 when we were doing very well in the company. Our ROCs used to be in the range of 24%, 25%. Now they have recurred to like 12%, 13%. With this type of improvement in terms of mix towards exports and now the also positive outlook on performance volumes and this strong outlook on the basin order. Next 2, 3 years, do you think we can once again as part with 18%, 20% ROC, or that are like one -off time and hence, like 14%, 15% ROC is what we should look at a far more stable and a ROC for our business model?

Sharan Bansal: I think 20% plus should be definitely the long -term operation of the company.

Moderator: The next question is from the line of Rahul Mishra from Centrum Broking.

Rahul Mishra: My question pertains to the polymer segment. So, as we say that we are targeting to increase our touch points from 30,000, so it means we are targeting to double our touch points from 30,000 currently to 60,000 in the next 2 years. Could you elaborate how are we concentrated region -wise, I'm sorry, I may have missed it during the conf call. if you can just like give a brief understanding like, how are we concentrated across India?

Sharan Bansal: Yes. Devesh will get that one.

Devesh Bansal: I'm not sure about figure of 60,000 if we reach that figure. The idea is to continue exploiting the current distribution network that we already have, which is itself very large. So, for us to grow even from the existing distribution network being is very well possible. And of course, we'll continue expanding the retail base as well. So, both these things will happen.

And the concentration region -wise, as I mentioned earlier as well, Eastern Northeast are our strongest market, obviously, where we have very good levels. But North India has also come up very well and part of South India as well.

Rahul Mishra: Sir, if you can help me understand the Mexico or whether we sell it through exclusive brown outlets or we select to multi -brand outlets. What is the proportion between the 2 of among the 30,000 touch points?

Devesh Bansal: So, the -- all the retailers in the market across the industry in the PVC business, very few retailers, if at all, would be a single brand or the entire retail base is multi -brand. So, we operate through EPC alone. The distributors that we have are excluded. So, the distribution is exclusive, but the retailers are all multi -brand . And that is a common phenomenon across the industry.

Rahul Mishra: Sure, sure, sir. Sir, can you give us a break on it with your organized versus unorganized market share for the PBC industry? And are we seeing any industry co

nsolidation going head

with the share of organized increasing? 9KIPPER _ , __

Devesh Bansal: Yes, for sure. So, I don't have the exact figures. Obviously. But then our assumption is that the organized to unorganized share in the PVC industry is 60 -40, and it is increasing further. So, as we go along, we'll see the exit of a lot of unorganized players and organized players will continue to grow.

Rahul Mishra: Sure, sure. Sir, my next question is like I was going through the PPT. And it was mentioned that the non -T&D product share in the total order book -- the total outstanding order book is 62%. And we are currently following the strategy of increasing our non -T&D proportion from railways and telecom. So, if you can just elaborate a bit on like which particular sector among these 2 would be fastest growing? And in case if it is railways, then what would be the scope of work that we could get?

Sharan Bansal: So, we definitely see a lot of opportunities from telecom. And on the back of the present order as well as other orders to come up in this -- in the coming years, we definitely see tremendous opportunities in the telecom segment. Railways also is a decent size segment for us. There are although railway electrification opportunities are probably lesser compared to last year. but we are on the lookout of other opportunities in the railway sector also.

Rahul Mishra: Okay. And with respect to railway orders, what would be the proportion of projects or orders which are fixed price contracts?

Sharan Bansal: Mostly, the contracts do come with pass -through margin, pass -through clauses in terms of raw materials.

Rahul Mishra: Okay. Okay. So, my last question will be on the international business. If you can just throw some colour on like how many countries, we are currently present in and how many we plan to enter in the future. And since we also mentioned that international business would constitute 75% of total order book in the next 2 years, so are we saying that we will be extracting more and more revenue from our existing reach in the international market, or we will be tapping more export opportunities?

And with this scale up in the exports market, in the Engineering segment, how significantly it will add to our margins and profitability? Like we have already highlighted that we would be maintaining our margins at 11% to 13%. So, can we see like an additional 100 or 200 bps, maybe take it on a higher side, with this scale up in export segment?

Sharan Bansal: Yes, it's perfectly possible as and when exports keep growing. So, the growth in exports will come by 2 ways. One is that by the addition of more and more new markets as every year, we are adding 7 to 8 countries in our overall export reach. And of course, greater engagement with the existing buyers and stakeholders, where we are gathering a bigger share of their wallet every year.

So that's how the export growth will continue, and that's how we are targeting to take it up to 75% of our revenue, which is also, by the way, expected to grow at 25% CAGR every year.

Yes, definitely, with the improvement in export order book and execution, we can target better margins higher than 12% to 13% in the future. 9KIPPER _ , _

Rahul Mishra: Okay. Sure, sure, sir. Sir, my last question, again, pertaining to international business, that is exports market. So, which all countries or funds are we seeing that they are participating and give a good competition in the export industry? And how are they faring currently?

Sharan Bansal: Could you repeat your question, please?

Rahul Mishra: So, saying that what other countries for like from which countries are we seeing competition in the international business, like either from Turkish firms or Chinese firms?

Sharan Bansal: Yes. currently,

we are seeing major competition from -- historically, we've seen commitment in Chinese and Turkish companies. And from the Middle East also, there are a few companies, although smaller in size, where we do see some competition.

Moderator: The next question is from the line of Rahul Mishra.

Rahul Mishra: I have just one last question. So, since we entered into the water if you work with the first-time order of 1 billion. And given the government's thrust on like providing tap water connections to all rural households. So, there is likely to be a surge in demand for PVC pipe, so can we see incremental orders into this segment.

Sharan Bansal: Yes. So, you're right, that with almost 80% of the Indian households now getting connected with 5 quarters, which was not there earlier, there is definitely going to be an increased demand for plumbing pipes, which is going to be the PVC, CPVC. So, over the next few years,

we expect there to be very healthy demand for plumbing pipes and plumbing products from across the country.

And we hope that with our retail presence that we have in the entity, we'll be in a very good position to take advantage of that. So, it's a very exciting time going forward.

Moderator: The next question is from the line of Chirag Jain, an individual investor.

Chirag Jain : Sir, just wanted to understand your thought process with regards to debt currently. So, I know you're at a low debt to equity, but what would be your purposes with regards to repayment of the sale? Because if I go back and look about 5 years back, at that time or similar level of debt, we were paying interest of about INR50-odd crores. Currently, we are having a high interest burden, which is what is leading into profitability. So just wanted to have an understanding. Because you communicated in the current call that your average cost of borrowing is about 8% to 9%. So, in future, what would be the interest payment?

Sharan Bansal: So I think, as I mentioned that the overall interest costs, actually finance cost, which is inclusive of launches, the interest outflow and the debt, it is inclusive of all the other charges, which is the accounting charges, which we pay on our sale bills, as well as the bank guarantee charges, which we make in order to obtain banalities et cetera, for our business. So, I believe that the finance charges are in line with our overall business, but there also mentioned, there is an opportunity to reduce this with better working capital management in the years to come. 9KIPPER __, __
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Chirag Jain : So, sir, in the current -- in the year, which is coming back, would we see the overall finance cost going down as compared to -- because you're talking about increasing your top line also. So, finance costs will increase and commensurate with your top line or the because of your prudent measures with regards to working capital, it will come down?

Sharan Bansal : Yes. The efforts will definitely be on a percentage basis, we should see improvement in the finance cost as a percentage of revenue.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to the management for the closing comments.

Sharan Bansal: Thank you, everyone. We are confident of profitable revenue growth of high double digits with a consistent margin in the current year and expect to clock revenue growth in excess of 25% CAGR for the next 3 financial years on the back of pending engineering contracts and strong polymer segment performance. Our diversification into international markets and sectors will help us pick and choose higher -margin orders which are coming our way and provide us with an opportunity to be spoiled for choices across the sector. This will aid in better margin performance and improved bottom line profitability and capital return ratios in the coming quarter.

rs.

We appreciate your continued support and look forward to interacting with you again in the next quarter. Thank you very much.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Centrum Broking Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you. 9KIPPER __, __

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

Dated: 10th November, 2023

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 30th September, 2023

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 8th November, 2023 on Unaudited Financial Results of the Company for quarter ended 30th September, 2023.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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“ Skipper Limited
Q2 FY2024 Earnings Conference Call ”

November 08 , 202 3

ANALYST : MR. RAHUL MISHRA – CENTRUM BROKING LIMITED

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
MR. DEVESH BANSAL – DIRECTOR – SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL OFFICER – SKIPPER LIMITED
MR. ADITYA DUJARI –GENERAL MANAGER – FINANCE & INVESTOR RELATIONS – SKIPPER LIMITED @KIPPER
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Page 2 of 11 Moderator : Ladies and gentlemen, good day and welcome to the Skipper Limited Q2 FY2024 Earnings Conference Call hosted by Centrum Broking Limited . As a reminder , all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to M r. Rahul Mishra from Centrum Broking Limited . Thank you and over to you Sir!

Rahul Mishra : Good afternoon everyone. On behalf of Centrum Broking Limited , I welcome you all to the Q2 FY202 4 conference call of Skipper Limited . The management today is represented by Mr. Sharan Bansal , Director, Mr. Devesh Bansal , Director, Mr. Shiv Shankar Gupta , CFO and Mr. Aditya Dujari , GM , Finance and IR. I would now hand over the call to the management for their opening remarks post which we can open the floor for Q&A . Over to you sir.

Sharan Bansal : Thank you Rahul. Good afternoon to you all and thank you for your continued interest in Skipper. Please take note any forward -looking statement made during this call must be reviewed in conjunction with the risks that the industry and the company face d. Some of the key operation al and financial highlights in compar ison to previous year quarter were as follows:

I am pleased to inform you that the company registered its best ever revenue quarter of Rs.772 Crores against Rs.462 Crores in previous year Q2 on back of strong performance across all its major business segm ents achieving growth of 57% over previous year quarter period while main taining healthy operating EBITDA margin of 9.4% . The segmental revenue breakup were as follows . Engineering was Rs.595 Crores up by 57% over previous year quarter , polymer was Rs.112 Crores up by 58% and infra segment was Rs.64.2 Crores up by 49 0% . T he company engineering export sales were at approximately Rs.207 Crores and constituted 35% of overall engineering segment revenue . The company ac

hieved its

best ever Q2 revenue in the polymer business fuel ed by robust volume growth of 101% . Our revenue surged by an impressive 58% compared to previous year's quarter . Years of dedicated effort towards building a robust retail network for our polymer business have now started showing encouragi ng results . Skipper fight's brand campaign at India's safest fight with brand ambassador M S Dhoni and Chris Gale is paying rich dividen d. Higher growth witnessed in campaign markets indicating campaign effectiveness . The company intends to increase its ca mpaign spread to other geographies as well and open new markets in the coming couple of quarters . Our quarterly operating performance excluding the impact of forex gain loss w as as follows . Operating EBITDA increased to Rs.72.4 Crores and operating margin stood at 9.4% for the quarter . The engineering segment operating @KIPPER Limited

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Page 3 of 11 EBITDA margin for the quarter stood at 11% . Over the years the average proportion of our H1 revenues in relation to total revenues is close to 40% . Accordingly with operating leverage coming into pl ay, historically our margin profile see an improvement in H2 versu s H1. G oing forward we expect similar trend to continue and deliver further margin performance of 12% in this business on back of better -quality contract getting executed and rising s hare of international business . While the EBITDA margin for polymer business will continue to get benefited from fixed cost getting rationalized over larger revenue base. The

management stays focused continues towards bottom line improvement . The consolidated PBT increased to Rs.28.6 Crores and PBT margin at 3.7% of sales for the current quarter period against Rs.5.5 Crores in the previous year quarter with PBT margin of 1.2% . The consolidated PAT increased to Rs.19.8 Crores with PAT margins at 2.6% of sales for the current quarter period against Rs.2.99 Crores in previous year quarter . Our half year performance highlights were as follows . Revenue of H1 FY2024 increased to Rs.1327 Crores against Rs.878 Crores in H1 FY2023 registering a growth of 51% with margins at 9.7% . Engineering business segment achieved revenue of Rs.1012 Crores against Rs.689 Crores in the previous year first half period registering a stupendous growth of 47% . Polymer business achieved its best ever half revenue performance . Revenue increased to Rs.240 Crores against Rs.159 Crores up by 51% . Polymer sales volume doubled to 16,700 tonnes approximately against 8,600 tonnes approximately in previous year H1 period registering a growth of 94% . Consolidated PBT increased to Rs.51.8 Crores against Rs.5 Crores in the previous year period . PBT margins of sales increased to 3.9% of sales against 0.6% in previous half period . Consolidated PAT increased to Rs.36 Crores against Rs.2.3 Crores in previous year first half registering a growth of 1436% . The PAT margins to sale improved to 2.7% against 0.3% in corresponding period . Finance cost as a percentage of sales improved to 4.7% against 5.3% over previous year first half period . On the order front I am happy to inform you that the current year quarter was the best ever best ever quarter in the company history . During the quarter we secured large size contracts particularly from PGC IL for their transmission line works in state of Rajasthan and for several other T&D projects both domestic and international including telecom . The total inflow for the quarter was in excess of Rs.1529 Crores against Rs.461 Crores previous year registering a year-on-year growth of 232% . The total H1 inflow was the highest ever for the company . We secured new orders in excess of Rs.2,744 Crores during the year against Rs.863 Crores last year first half period registering year-on-year growth of 218% . The current order book stands at Rs.6,074 Crores which is the highest

ever in the company's history and is well diversified across sectors and segments . The order book to engineering and infra segment sales now stands at 3.9x of FY2023 sales giving us revenue visibility for the next three to four years . The domestic T&D environment is showing signs of a strong rebound after two years of lukewarm response . The company is committed to leverage and address the vast potential of India's transmission sector with its integrated operations . With the government accelerated effort towards scaling renewable good infrastructure and improving @KIPPER Limited

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Page 4 of 11 electrification in urban and rural areas , Skipper is poised to support this growth . Further we expect good traction in the international transmission line to continue . The company is witnessing a surge in global inquiries and getting benefited from China plus one trend. The company will continue to get benefited from pent up demand as global economy opens up and global focus and investment in building T&D infrastructure catering to renewable continues to grow . Further the company looks forward to tapping emerging opportunities in sectors aligned with the government's rising interest . Skipper's rising diversification into the business of telecom , railway electrification, water EPC and grid irrigation have tremendous potential aiding to strengthen this revenue stream. The tender pipeline for us to participate look deep and the current bidding pipeline also remains strong and at their all-time high level of Rs.12,620 Crores with international share at Rs.8,020 Crores and domestic at Rs.4600 Crores. Thank you and I am happy to take your questions now .

Moderator : Thank you. We will now begin the question -and-answer session. The first question is from the line of Deepak Purswani from SVAN Investments . Please go ahead.

Deepak Purswani: Good afternoon Sir , congratulations for very good set of numbers . Sir my question relates firstly on the execution front ? How much was the contribution in the engineering product from the BSNL order in this quarter ? Secondly on the debt front it has increased to Rs.713 Crores in this quarter? Looking at the current execution run rate how should we look at the debt level at the end of the year and thirdly on the EBIT margin in the engineering product our margin on the sequential basis has come down slightly so can you please share the thoughts? I mean how should we look at going ahead ?

Sharan Bansal : Okay so your first question was about what is the share of BSNL in the current quarter that just ended .

Deepak Purswani: Yes?

Sharan Bansal : Okay so BSNL was approximately Rs.125 Crores in the the current quarter that just ended and could you repeat your second question also please ?

Deepak Purswani: The second question is related to the debt level ? In this quarter that has risen to the Rs.716 Crores how should we look at debt number at the end of this year considering the growth

phase we are going through especially on the working capital debt level ?

Sharan Bansal : Well the debt number has only increased in the short-term debt. In the long-term debt number actually has come down for the company . From previous year it was about Rs.290

Crores and currently it is about Rs.284 Crores so actually the long-term debt number is almost slack. The short-term debt has gone up from about Rs.294 Crores to about Rs.428 @KIPPER Limited

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Page 5 of 11 Crores but largely that is in line with the revenue growth of the company . The important metric for the management to track is the finance cost . Now if you see the finance cost as a percentage of sales it has come down and currently we are at approximately 4.5% finance cost as a percentage of revenue. This number was higher than 5% last year so I think our overall working capital number

of days has also come down so although it is difficult to say what the debt level will be at the end of the year . It will definitely be higher considering the growing revenue but we can definitely target that at annual basis our finance cost as a percentage of sales will be lower than last year's level .

Deepak Purswani: Okay and Sir finally on the margin front I mean on the sequential basis there is a slight dip in the margin across the segment ?

Sharan Bansal : Yes we have always guided for approximately 12% margin for our engineering business and approximately 10% margin for our infra business so the current order book of the company supports that guidance and we definitely hope to deliver that for the full year period . For the quarter and for the half year normally what happens is there may be a difference in the quality of contract getting executed so that could have an effect on the margins on the quarter basis , but for the full year basis definitely we continue and maintain our earlier guidance of 12% for engineering segment and approximately 9 % to 10% for the infra segments.

Deepak Purswani: Okay and Sir finally on the capex front how much have we incurred in the first half and what would be the full year capex for this fiscal year ?

Sharan Bansal : Yes so we already incurred approximately Rs.55 Crores capex in the first half of the year and by the end of the year we expect to be about in the Rs. 80 Crores Rs.90 Crores range .

Deepak Purswani: Okay thank you . Thanks a lot.

Moderator : Thank you. The next question is from the line of Rahul Mishra from Centrum Broking Limited. Please go ahead .

Rahul Mishra: Thanks for the opportunity . Sir I have a few questions so the first question pertains to like you have mentioned in your opening remark that global inquiries are increasing so can you just name from which regions are we seeing these inquiries and if possible if you can quantify what will be the margins level for these regions and if not overall if you can tell me how much margin expansions can we see with the orders or with the new inquiries conversion to orders and then execution how much margin expansion can we see from this overseas orders ? @KIPPER

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Page 6 of 11 Sharan Bansal : Yes so in regard to export market what we can tell you is that company is exporting to about 65 plus countries worldwide and our international presence is consistently growing .

We are seeing demand opportunities in a number of countries . Currently the strongest demand is coming in from I would say the Middle East region that is probably the area where we are seeing the maximum demand inflow from inflow from countries like Saudi , from Iraq, from UAE, Oman, etc., so all these countries are quite active. Even the North Africa region so the larger Mena region , Middle East and North Africa region which includes countries like Egypt, etc., all of them are having robust demand . Of course our traditional markets like Latin America and parts of Africa there also the company is enjoying healthy demand so in terms of future projection , see it is estimated that global T&D spend will see a massive jump from currently about \$250 billion annually to perhaps about \$500 billion in the next three to four years time so certainly there will be a lot of opportunity in the overall transmission network for strong players like Skipper and with regards to margins we have always maintained that export margins are 1 % or 2% higher than domestic margins as our business will come more and more from developed geographical countries like Australia, US, and Canada from in some of these places we are already doing significant business and we are expecting to see good large orders being finalized from these developed countries in the times to come . There we can definitely hope for more and more margin expansion at the bottom

ttom -line level .

Rahul Mishra: Fine enough. Sir my next question is towards the domestic market so if you can help me understand what is the current size of the transmission towers in the domestic market and how are we placed as in what is our market share and how do we compete with our competitors in this particular space and what is the outlook going ahead given that India or the government is for emphasizing more on the renewable energy generation and if this gets implemented in real time then we could really see a good amount of opportunities coming from these sectors so just a brief outlook if you can share with us ?

Sharan Bansal : Yes so currently our overall order book is about Rs.6,000 Crores as of end of September which had roughly 17% to 18% export and rest 83% came from domestic . Now within this domestic order book approximately there is an even split between T&D and non-T&D so 41% coming from T&D and 42% coming from non-T&D so this has seen a sharp rise in the last one year where basically there is a lot of pent-up demand in the India transmission space . CEA has come out with a paper of expected investment of Rs.2.4 lakh Crores up till 2030 in the Indian transmission space particularly to cater to 500 gigawatt of renewable energy which is coming online so I think this current trend that we have seen in the domestic market of robust ordering we expect this to continue over the next few years and all large players like Skipper will definitely benefit from this trend . @KIPPER

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Page 7 of 11 Rahul Mishra: Sure thanks for replying . Sir my next question is again on the domestic market so like once we start getting orders and we tend to start getting rewarded to players and we start booking our revenues so how would be the working capital requirement and how are we supposed to fund that like will the internal accruals will be sufficient or else we have to resort to some kind of funding to because once revenue increases it will definitely have to be supported by working capital needs so how are we placed at this point of time ?

Sharan Bansal : Yes I mean see the company has strong cash flows and we have quite comfortable working capital limits with our lenders for taking care of any working capital expansion requirement of the company even though this year we are looking at significant revenue jump. We are seeing no challenge meeting the working capital funding requirements and also we do not see any challenge in the upcoming future as well as , the company is guiding for a minimum 25% CAGR growth over the next three years . Definitely our internal accruals plus the working capital support received by our lenders will be sufficient for taking care of any requirements that we have . As you might be aware the company is also in the process of coming out with the rights issue of approximately Rs.200 Crores value and that right issue will further be used for supporting the growing working capital requirements of the company .

Rahul Mishra: Yes so just one last question if you can just give a sales breakup between sectors like how much we do it from T&D, from Rail ways and from telecom any round figure if you like to like basis?

Sharan Bansal : Normally what we have seen is that the order book of any year that translates into the revenue of the next year so maybe perhaps what you can see is that like I mentioned that currently the order book is 40 , 40 and 20, 40% domestic, T&D 40% domestic non T& D and approximately 20% exports so I think that is the split that you can see in execution also in the coming times .

Rahul Mishra: All right so if I can just squeeze in one more question so about telecom so we see that the upcoming 5G and 6G network will see some increased demand for telecom towers and this particular sector is going to be promising in the next few years

so if you can just give a brief

outlook on this like how can we as a company can offer our services to the telecom sectors given that we have already received one of the large orders from BSNL to set up telecom travels in rural areas so what is outlook for telecom sector ?

Sharan Bansal : Yes I would say that the telecom sector is certainly going to be seeing a good demand . We have secured the large order from BSNL. We are also getting large orders from other players like Indus Towers and Jio so we expect that ordering trend to continue and as India moves into 5G and then subsequently 6G networks , the demand for towers will continue to @KIPPER

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Page 8 of 11 be there in the telecom space so certainly we will look at telecom as a growing area overall for our engineering products.

Rahul Mishra: Sure thanks a lot Sir for answering my questions. I will join back in the queue if I have more questions.

Moderator : Thank you. The next question is from the line of Dhruv Aggarwal from Niveshaay

Investment Advisors . Please go ahead.

Dhruv Aggarwal: Sir first congratulations for the good set of numbers . Sir my question is sir order book stood at around Rs.6,000 Crores Sir can you please give the color on the execution timeline like within how many quarters we can execute this order book Sir?

Sharan Bansal : Yes so normally the order book is executable over between 15 to 24 months and that will be the trend for this order book as then .

Dhruv Aggarwal: Thanks. On international front and around Rs.4600 Crores on domestic front so from this what can we expect Sir and by what time Sir?

Sharan Bansal : Sorry your voice was not very clear . Could you please repeat again .

Dhruv Aggarwal: Sir a very robust bidding pipeline Sir so by what amount can we expect this bidding to flow into the order book and by what time Sir?

Sharan Bansal : Right so the company already has a significant order book and we are adopting a more selective approach in further order inflow . We are obviously targeting higher margins because we are already sitting at a comfortable order book . There is sufficient business to be taken both on the domestic front and international front so I think now the company will use the opportunity of the current large order book to target more higher margin orders in the coming years .

Dhruv Aggarwal: Okay right Sir and the third question would be Sir as you can see on the polymer division Sir there is a margin dip Sir so what can we expect like around 10% margin as there was in year 2014 – 2015 so when can we expect those margins in the polymer division ?

Sharan Bansal : Yes so in fact polymer division has not had a margin dip if you consider H1 to H1. Last year H1 we were at about 4.4% operating margin and this year we are at about 5.8% . As our revenue and volume keeps growing in this segment which it already is we have delivered about 51% growth in volumes. We expect margins to keep improving every quarter as we go ahead towards the double -digit margin eventually so this is something where definitely @KIPPER Limited

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Page 9 of 11 there is a lot of head room to grow and we are definitely on the path towards that margin expansion in this business .

Dhruv Aggarwal: Sir if you can give some color like by what time like within the next quarter or within next few years ?

Sharan Bansal : It is difficult for me to put a time frame to that but we are definitely on the path to margin expansion and hopefully we will get there sooner rather than later .

Dhruv Aggarwal: All right sure and Sir what would be the current installed capacity in the engineering and the polymer segment and the respective capacity utilization for the same thing ?

Sharan Bansal : Okay in the engineering space our total capacity is approximately 300,000 tonnes per year and looking at the order

book and continued robust demand we expect that this year we will be ending at about 70 % to 75% capacity utilization . In the polymer space our total capacity is 62,000 tonnes per year and here also we are looking at approximately 60 % capacity utilization for the full year this current year .

Dhruv Aggarwal: Okay and Sir like are we expecting any upcoming future capex plan seeing the robust demand on like towers and divisions segment ?

Sharan Bansal : Yes sure so currently the company whatever the capex that we are doing it is towards more capacity debottlenecking, driving cost efficiency and increasing of our range because our revenue mix is going through a lot of changes . We are catering a lot more to different country and different export market so in that we definitely do need to invest in our capacity to cater to all the various sizes and the various grades that are required in the international market and even in the domestic market because of the non T&D share rising there is a lot of capacity debottlenecking and range expansion that we need to do so all that is happening and we are currently carrying out the capex for that which is mostly Brownfield and looking at the robust demand we may go in for a Greenfield plant expansion but the board is yet to take a call on that , that we will be deciding subsequently in the coming quarters .

Dhruv Aggarwal: All right Sir thank you so much Sir. All the best for the future .

Moderator : Thank you. The next question is from the line of Rahul Mishra from Centrum Broking Limited . Please go ahead.

Rahul Mishra: Thanks for the follow -up. Sir my question is on the polymers business so how do you see the current demand situation fanning out and what is the growth rate that we are expecting to clock in H2 of this fiscal as well as for FY2024 as well ? @KIPPER Limited

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Page 10 of 11 Sharan Bansal : In terms of growth we have delivered a 51% growth in the first half of the year in the

polymer segment and for the second half also we are targeting a similar growth number .

Could you repeat your first question please .

Rahul Mishra: Yes the question is pertaining to the growth so I have already got it from your side so how exactly the company would be looking to grow in the second half of the year and for FY2024? I would like to also add in one more question that what are our A&P spends as a percentage of sales and do we see this percentage increasing from here on?

Sharan Bansal : You are asking about our advertisement spend .

Rahul Mishra: Yes Sir advertisement and promotion spends?

Sharan Bansal : Right so our ad spend has been to the tune of about Rs.2 Crores to Rs.3 Crores in the past and we expect that trend to not vary too much because as the ad spend increases the volumes are also increasing so maybe it will remain in the 2 % to 3% range .

Rahul Mishra: Yes just last question from my side for the engineering products segments, we understand that one of our key competitors globally are Turkish players so how exactly are we advantaged in terms of either cost or either in terms of supply chain and in terms of quality of product that we sell how are we competing with the Turkish players and do we see Chinese players trying to penetrate the market through either price undercutting if you can just give an outlook on this ?

Sharan Bansal : Yes sure so I think as Skipper has a lot of inherent cost advantages compared to any manufacturer in the world . We are the only truly end to end integrated company with backward integration and forward integration for our product so that definitely gives us lot of advantages . We are also located in the Eastern part of India where we have advantage for raw material sourcing and also we are close to the port so our logistics cost is also very low compared to some of the other players . Now how do we compare against Chinese

and

Turkish ; I will say that yes definitely in terms of cost we are fairly competitive because of sea freight again getting rationalized post COVID now sea freight rate levels are back to pre COVID levels so it is very easy for us to supply our products all over the world at low sea freight. During COVID years we did have a disadvantage because the sea freight prices were so high so they definitely maybe perhaps Turkish players had a more of an advantage in supplying to Western continents but now that advantage is no longer . Sea freights are largely same whether it goes from here or whether it goes from there . So in terms of size and scale we are definitely up there with the largest Chinese and Turkish players in terms of cost economy . Certainly, we are able to compete very well . I think the important thing about for us for breaking into newer market are things like registrations , approvals , product @KIPPER Limited

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Page 11 of 11 certifications and product type testing , I think those kind of engineering activities, technological commercial engineering activities which the company has been doing for the last eight to 10 years and it has yielded positive results already for us and subsequently it is going to get more and more beneficial and more and more it is going to yield better and better markets for us in the international space.

Rahul Mishra: Fine enough . That is all from my side .

Moderator: Thank you. As there are no further questions , I now hand the conference over to Mr. Rahul Mishra for his closing comments .

Rahul Mishra : Thanks Lizann . I thank the management for giving us an opportunity to host the call and all the participants for attending the call . Sir do you like to make any closing comments .

Sharan Bansal : Yes so thank you everyone . We are confident of delivering profitable revenue growth with a consistent margin in the current year and expect to clock revenue growth in excess of 25% CAGR for the next three financial years on back of pending engineering contracts and strong polymer segment performance . We will continue to focus on improving bottom line profitability , stabilize operating cash flows and trim our debt thereby leading to improvement of the company's margin profiles and strengthen the balance sheet position and capital return ratio . The company efforts towards sustainable business practices will help us to achieve its goal by making meaningful contributions to the national and global infrastructure . We appreciate your continued support and look forward to interacting with you again in the next quarter . Thank you .

Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of Centrum Broking Limited that concludes this conference call. We thank you for joining us and you may now disconnect your lines. @KIPPER Limited

Call: Feb 2024

Dated: 17th February, 2024

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 31st December, 2023

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 13th February, 2024 on Unaudited Financial Results of the Company for quarter ended 31st December, 2023.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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"Skipper Limited
3QFY24 Earnings Conference Call "
February 13, 202 4

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL
OFFICER – SKIPPER LIMITED
MR. ADITYA DUJARI –GENERAL MANAGER FINANCE

AND INVESTOR RELATIONS – SKIPPER LIMITED

MODERATOR : MR. SATYADEEP JAIN -- AMBIT CAPITAL

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Skipper Limited

February 13, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Skipper Limited 3QFY24 Earnings Conference Call, hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Satyadeep Jain from Ambit Capital. Thank you, and over to you, sir.

Satyadeep Jain : Thank you. Hello, everyone. Welcome to Skipper Limited 3Q FY24 Earnings Call. On the management side, today, we have with us Mr. Sharan Bansal, who is the Director; Mr. Shiv Shankar Gupta, the Chief Financial Officer; and Mr. Aditya Dujari, GM Finance and Investor Relations. Thank you, and over to you, sir, for your opening remarks.

Sharan Bansal: Thank you, Satya. Good afternoon to all of you and thank you for your continued interest in Skipper. Please take note any forward-looking statement made during this call must be reviewed in conjunction with the risks that the industry and the company face. Some of the key operational and financial highlights in comparison to the previous year quarter were as follows.

I'm pleased to inform you that the company registered its best ever revenue quarter of INR8,015 million against INR4,448 million in previous year quarter on back of strong performance across all its major business segments, achieving growth of 80% over previous year quarter period while maintaining healthy operating EBITDA margin of 9.6%.

The segmental revenue breakup were as follows: Engineering, INR5.77 million, up by 54% over previous year quarter; Polymer at INR1,086 million, up by 11%; and Infra segment, INR1,753 million, up by 1,672%. The company engineering export sales were at INR1,023 million and constituted 20% of overall Engineering segment revenue. And Y-to-date export sales were at a level of INR4,369 million, constituting 29% of overall export Engineering revenue.

The company achieved its best-ever quarter revenue in the Infra business, fuelled by

robust

execution, BSNL and other T&D projects. Our revenue surged by an impressive 16.72x compared to the previous year quarter. We foresee the similar momentum to continue for next quarter also. Years of dedicated effort towards building a robust retail distribution network for our Polymer business has now started showing encouraging results.

Polymer business achieved its best ever nine months revenue performance. Revenue increased to INR3,491 million against INR2,572 million in the previous year nine months, up by 36%.

Polymer sales volume increased to 24,654 metric tons -- metric tons against 15,454 metric tons in the previous nine-month period, registering a growth in volume of 60%.

Our Skipper pipe brand campaign as India's Safest Pipes with brand ambassadors, MS Dhoni and Chris Gayle, is paying rich dividends. Higher growth witnessed in certain markets, indicating campaign effectiveness. Company intends to increase its campaign spread to other geographies as well as open new markets in the coming couple of quarters. \$KIPPER __, __

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Our quarterly operating performances were as follows: reported EBITDA increased to INR770 million, and operating margins stood at 9.6% for the quarter. The Engineering segment EBITDA margins for the quarter stood at 11.8%. Going forward, we expect similar trends to continue and deliver consistent margin performance in this business on back of better quality contracts getting executed and rising share of international business.

The EBITDA margins for Polymer and infra business will continue to be benefited from fixed cost being rationalized over larger revenue base. The management focus continues towards

bottom line improvement. The consolidated PBT increased to INR291 million and PBT margin at 3.6% of the sales for the current quarter period against INR118 million in the previous year quarter with PBT margin of 2.7%.

The consolidated PAT increased to INR205 million with a PAT margin of 2.6% of sales for the current quarter period against INR95 million in the previous year quarter with PAT margins at 2.1%. Order book and inflow. On the order front, during the quarter, company secured significant sized transmission tower export contracts from Middle East Asia and several other T&D projects, both domestic and international, including telecom.

The total inflow for the quarter was in excess of INR4,000 million with export inflows constituting 40% of the total inflows. In nine months, we secured new orders in excess of INR31,450 million. The current order book currently stands at INR57,790 million and is well diversified across sectors and segments. The order book to Engineering and Infra segment sales since now stands at 3.7x of FY23 sales, giving us the revenue visibility for the next three to four years.

The domestic T&D environment looks vibrant and the company is committed to leverage and address the vast potential of India transmission sector with its integrated operations with the government's accelerated efforts towards scaling with one-grid infrastructure and improving electrification in urban and rural area. Skipper supports this growth.

Further, on international front, companies are witnessing a surge in global inquiries and getting benefited from China Plus One trend. The company will continue to get benefited from the pent-up demand as the global economy opens up and global focus and investment on building T&D infrastructure catering to renewal continues to grow.

Also, the company looks forward to tap emerging opportunities in sectors aligned with the government's rising interest.

Skipper's rising diversification into the business of telecom, railway electrification, water, EPC and field irrigation has tremendous potential leading to strengthen its revenue stream. The tender pipeline for us to participate looks deep, and the current

rent bidding pipeline are at their all-time

high level of INR150,300 million with international share at INR98,300 million and domestic at INR52,000 million.

Also, I am happy to share that the company is in advanced stages of negotiation to secure some good sized international and domestic contracts. And coming on to the rights issue, I just wanted to brief you all. Further, we are pleased to announce the successful closure of our \$SKIPPER __, __ Skipper Limited

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rights issue offering. The rights issue received a strong response from both our existing shareholders as well as from other investors and witnessed participation from both domestic and foreign public shareholders. The issue was oversubscribed approximately 1.77x.

The success of our capital raise is a strong demonstration of the confidence that our existing shareholders and new shareholders have in the prospects of the company and underscore their belief in our abilities to leverage the growth opportunities offered by the sector. This infusion will help finance our growth ambition and will allow us to emerge with a stronger balance sheet and increased flexibility.

Thank you. We are happy to take your questions now.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Dhruv Agarwal from Niveshaay Investment Advisors.

Dhruv Agarwal : Congratulations on a very good set of numbers. Sir, on the international terms, how do you see the demand coming in from the Middle East countries, United States and North America? And how do you see the competition in those international markets also? If you can name some of the players from whom do you see the competition and also name some of the Turkish players as well, sir?

Sharan Bansal: Yes. So demand from -- in a lot of geographies right now is very robust, primarily because a lot of international countries are investing in the renewable sector, renewable power generation. Now renewable power generation necessarily comes with investments in power transmission also, which is why we are seeing healthy demand in a lot of markets.

Skipper does operate in about 65 countries and we are seeing decent demand in a number of them. Particularly, right now, we have seen good orders coming from Middle East and Australia for our company. And in the future, we are expecting good amount of orders and business from North America and Europe also.

In terms of competition, mostly our competition is with Chinese and Turkish players and some one or two Indian players as well. So that is the competitive landscape. I hope I answered all your questions.

Dhruv Agarwal : Sir, can you please name some of the Turkish players as well like from -- like Turkish and

Chinese players as well?

Sharan Bansal: Some Turkish players who we regularly compete with are called [Mitas and S ara].

Dhruv Agarwal : Okay. Okay. And Chinese, sir, if you can name?

Sharan Bansal: Chinese, I'm sorry, I don't have -- their names are a bit complicated. I would be able to share those names with you later on.

Dhruv Agarwal : Okay. And sir, like one more question related to this. Any impact on revenue vis -a-vis Red Sea issue in this current quarter? And I'm sure going forward, do you see any issues given that in the upcoming quarters? \$KIPPER _ , _

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Sharan Bansal: We do have some contracts in -- which are affected by the Red Sea crisis, particularly in Israel and Egypt. The rest of the Middle East is not that affected by this pr oblem. However, even in these countries, the shipping lines are able to go around the longer route around the Cape of Good Hope and reach their destination.

So I think this is -- in the short term, we may see some freight increa se, only particularly in these two countries, in Israel and Egypt. In other countries

, there will be some amount of rate

increase, but our contracts are well able to cover that increase.

Dhruv Agarwal : And my question specific on the finance cost. If I calculate the interest expense and finance cost as a percentage of total borrowing within the long -term and short -term debt, instead of calculating it as a percentage of sales, it is coming to around like 15.7% in the year '23, 16% in year '22 and so on, sir. But on the other hand, if I compare the weighted average cost of borrowing, it is coming close to 10.5%. So why there is a gap of around 5% to 6%? Can you please highlight that it is -- like am I missing something or is there anything...

Sharan Bansal: Yes. So we have said in earli er con calls also, the total finance cost is not just the interest paid on long -term and short -term debt. It also includes the interest paid on vendor bill discounting and customer bill discounting. Also, it is inclusive of the bank guarantee charges and m argin charges. As you know, in our company, there are a lot of bank guarantees that we have to deal with. So all those charges are part of the finance cost overall in the company. So which is why I did not correct to calculate the overall finance cost divi ded by the short -term, long -term debt. That will not give the correct picture.

Dhruv Agarwal : And si r, just one more question. The P AE has increased their investment for deploying the transmission, etcetera, including the lines and the substation close to around INR4.75 trillion from INR2.44 trillion previously. So can you give some colour on like how do you see the demand rollout from this increased expenditure and what kind of market share can people be able to obtain from this? And also what kind of margins we can expect from this as well?

Sharan Bansal: Which customer are you talking ab out?

Dhruv Agarwal : PEA has increased their expenditure, right, on the transmission infrastructure, right? So INR4.75 trillion from INR2.44 trillion?

Sharan Bansal: Are you asking about Government of India expenditure?

Dhruv Agarwal : Yes, yes, yes. Funding from Government of India, yes, yes.

Sharan Bansal: So one thing in transmission, you have to understand that there is a bit of -- fair amount of private participation also where transmission investments are concerned. Government of India make the investme nts through power, but it's not exactly a budget allocation for them.

So the transmission market is fairly robust and there's an active participation from companies like POWERGRID, Sterlite, Adani, etcetera . So they are the ones who are bidding and taking the project, and government essentially creates an enabling environment where they have \$KIPPER _ , _

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identified projects of around INR2.5 lakh c rores to be bidded in the next five years to connect 500 gigawatt of renewable power.

Effectively, that is what is leading to the growth in demand in overall in India. And of course, international markets, we've already spoken about the connection of renewables, which is driving the transmission demand.

Dhruv Agarwal : Sir, my question was only -- regarding only like what kind of shares Skipper will be able to attain from this. Can you give some guidelines on that?

Sharan Bansal: Well, currently, in the segment that we operate in, which is the ultra -high voltage segment, the 400 kV and 765 kV in India, we have close to about a 1 0% to 15% market share. And I think we will be comfortably be able to maintain that.

Dhruv Agarwal : Okay. Just one last question, sir. Is there any unexecuted BSNL order book out of the total

order book that stands in the quarter 3? And what is the share of the BSNL in the current quarter revenue, sir? Can you share that financial, sir?

Sharan Bansal: I don't have those numbers readily available. However, BSNL project is going well. We still have announced some quarters of

execution left in this contract. So -- but I don't have the numbers available -- readily available, how much is it muted and how much was done this quarter.

Moderator: The next question is from the line of Deepak Purswani from Svan Investments .

Deepak Purswani : Congratulations for a very good set of numbers. Sir, firstly, in terms of the bid pipeline, last quarter, the bid pipeline was somewhere close to INR12,500 crores. And this time, it has increased to the INR15,000 -odd crores whereas order inflow has actually declined vis -a-vis the last quarter. So if you can throw some light, how should we read into it, whether clients are taking a little longer time or it's just a normal course in the business?

Sharan Bansal: See, in terms -- in all the performance metrics of the company, it will be much better to look at it on an annualized basis than on a quarter basis because quarter numbers may be impacted by a various number of factors by purely about how many bids are getting finalized in that quarter, which customer is moving, how fast.

So honestly, if you look at the annual number, we have secured about INR3,100 crores of orders so far in the first nine months. In the last quarter also, looking at the order inflow that are coming in, we are quite confident that we should be close to the number of -- close to or exceeding the number of last year, which was about INR4,000 crores annually.

So honestly, order inflow, etcetera , is really not a concern. There will be continuous robust inflow of orders continuously for several years.

Deepak Purswani : And sir, you did mention regarding -- when you are also at advanced stage of discussion on some of the orders. What would be the typical ticket size of these orders, if you can throw some light on that? \$KIPPER _ , _

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Sharan Bansal: For major contracts, anywhere between INR200 crores to INR400 crores is on a per -contract basis. That is the order ticket price, which we are targeting.

Deepak Purswani : Okay. And sir, in terms of the debt level, what was the debt level at the end of this quarter? And also, if you can throw some light on the working capital cycle as well?

Sharan Bansal: Our debt level at the end of quarter two was approximately INR700 crores, including long -term and short -term debt. We have not published the numbers of quarter three debt as the requirement is not there.

And in terms of the working capital cycle, we are at about working capital cycle of 120 days right now.

Deepak Purswani : So sir, with the proceeds of rights issue to the extent of INR50-odd crores, would that be fair to assume this quarter again that would have come down to that extent?

Sharan Bansal: The proceeds are yet to be received by the company as the final allocation of the rights issue will be done hopefully by the end of this week. So we expect the proceeds to come in by next week, perhaps.

Deepak Purswani : Okay. And sir, in terms of the capex , how much has been the capex incurred so far?

Sharan Bansal: This year, we expect -- I think we've invested about INR70-odd crores.

Deepak Purswani : Okay. And sir, finally, on the pipe business, I mean on a nine -month basis, again, growth has been pretty strong to the extent of 26%. But if I'm looking at the Q3 level, that has been -- come down to the 12%. So on an incremental basis, if you can throw some light, how should we look into these numbers?

Sharan Bansal: Yes. I think overall, there's been a very good volume growth in this business, approximately 50% to 60% volume growth we've had. However, top line -wise, we've seen slightly lesser growth than that because the resin prices have contracted quite a bit compared to last year. But volume growth is strong, and we'll -- we expect that to continue to remain strong in the coming years as well.

Moderator: The next question is from the line of Dh

iral from PhillipCapital PCG.

Dhiral : Congratulations for the very strong set of numbers. So my question is if I look at the export revenue on a nine -month basis, we have seen a sharp decline of almost 8% to 10%. So any particular reason for this?

Sharan Bansal: The export has seen decline in what sense?

Dhiral : Sir, revenue. Export revenue on a nine -month basis, if I look at nine months FY23 compared to nine months FY24, we have seen it decline by almost 8% to 10%. \$KIPPER _ , _

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Sharan Bansal: It is that because the domestic execution is quite strong right now on the back of the BSNL contract as well as the various transmission contracts, which we are securing. Otherwise, the export execution is in more or less in line with last year.

Dhiral : Okay. So with the export for the full year, last year, we did an export revenue of INR730 crores. So what is the guidance for the current year, sir?

Sharan Bansal: It will be similar to last year's level.

Dhiral : Okay. Okay. And sir, as you talked about this year, order inflow will remain same as compared to last year. So what kind of growth we are envisaging for next year and for FY26 overall?

Sharan Bansal: See, already, the company, about two years ago, we have secured about orders of INR1,500 crores to INR2,000 crores annually. Starting from last year, we have seen good amount of order inflows starting to come in.

So now honestly, in terms of market availability, we don't see a challenge of getting orders. Our capacity will only be the constraint going forward. So we are planning new capex plans. And as we grow capacity, then obviously, we can target higher and higher amount of orders also.

Dhiral : Okay. So what kind of capex are we looking maybe for the Engineering segment?

Sharan Bansal: We haven't firmed up our capex plan for next year. This year, as I was mentioning earlier, that we have spent about INR70 crores of capex, but that has been towards more capacity optimization and debottlenecking. We haven't gone for a capacity expansion till now, which now we are in the planning for both brownfield as well as maybe greenfield expansion.

Dhiral : Okay. And sir, lastly, in terms of margins, if I look at our margins, we are very close to the double digit. But maybe by next year, sir, do you expect this margin is comfortable at, say, about double digit, sir?

Sharan Bansal: On a blended basis, I am not sure. We will be quite comfortable with our margin guidance of between 9.5% to 10%. However, incrementally, we should see margin expansion as and when -- as our -- as we get better and better quality contracts in the Engineering business and our PVC business also start to see better and better margins.

So yes, long term, we should see margins of 10%, 11%, etcetera. However, for next year, we would expect margins to be in the similar range.

Moderator: The next question is from the line of Namish Gupta from Namish Gupta & Company.

Namish Gupta : Okay. So sir, my question is regarding margin. Sir, you are saying that your margin is like -- your sustainable margins are like 9.5%, 10%, something, sir? Sir, I mean, what I have seen is like from March quarter, we are incremental. As each and every quarter, our turnover is increasing. So my assumption is that on every increase of turnover, there are economies of scale that should play out and margins should enhance due to that, sir. But I mean, this is not happening in our case, sir. So I mean can you just clarify on this point, sir? \$KIPPER __, __

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Sharan Bansal: The turnover is increasing in a mix. You're right that there is some amount of economies of scale that are being obtained also. However, the revenue has been going up as the mix of PVC growth as well as growth in the Infra division, which have, on a blended basis overall

margin

of the company perhaps is not going up as sharply as what you would expect.

We are at a comfortable margin level compared to overall. Last year, if you look -- our overall blended margin was 9.1%. This year, our overall blended margin is about 9.8%, 9.9% already.

So we have definitely had some amount of improvement overall in terms of economies of scale, etcetera.

Namish Gupta : Okay. I mean, is it due to some kind of mix that you are not getting some high-value order? Or your fixed cost percentage is very high that we are not -- I mean, we are not getting the economies of scale, sir?

Sharan Bansal: No, that's not the case. As I mentioned, that you will have to look at margins on an annual basis. Last year, the overall margins were about 9.1%. This year on a nine-month basis, we are at 9.9%. So obviously, margins have gone up.

Moderator: The next question is from the line of Rusmik Oza from 9 Rays EquiResearch.

Rusmik Oza : Sir, I want to understand, you have mentioned in the presentation that you aim for growing at 25% CAGR in terms of revenue for the next three years. So just a clarification, is this from FY24 or on FY23 number, sir?

Sharan Bansal: It is on the FY23 numbers.

Rusmik Oza : '23. So because I was asking the question because this year, I think we'll end up growing at

around more than 50%. So does that mean that actually because it's compounded at 25% for FY23, then you go to around close to, say, INR3,800 crores, INR3,900 crores by FY26, but then that reduces the next two years CAGR to around 10% because this year, you should do around close to INR3,200 crores revenue.

So just if I can understand the math there, does it mean that going forward for the next two years, your CAGR could be around 10%, 12%? Or will it be more than that?

Sharan Bansal: Well, we will be giving next year guidance with the quarter four results. However, obviously, our efforts will always be, as we have done this year, about being conservative where the guidance is concerned and outperforming.

So as this year instead of 25%, we have done much better, like you mentioned, close to about 50% growth. So yes, our efforts will be there. Whatever guidance we gave for subsequent years, we do outperform that guidance.

Rusmik Oza : Okay, okay. And sir, since I'm new to the company, can you just explain what is the total capacity in the T&D segment? And what is the utilization right now?

Sharan Bansal: Our utilization in the Engineering segment is approximately about 80% right now. \$KIPPER __, __
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Rusmik Oza : 80%. And how can -- how far can we go in this in terms of utilization, sir?

Sharan Bansal: So there's some amount of enhancement that will happen. We should be close to about 90% in the coming quarters. But as capacity will also start going up, some amount of brownfield capacity expansion will also start happening in subsequent quarters.

Rusmik Oza : Okay, okay. And in terms of Polymer, sir, capacities around 62,000, nine months, we have done around 24,000. That means we should do around close to 33,000 for the year. How do we see the utilization levels of this going up in the next two to three years?

Sharan Bansal: As are -- of course, we do have capacity in this business. Here, capacity is not a constraint as the market is opening up for us, thanks to -- on the back of our ad campaign and our dealer distributor network.

So I think as our brand is getting more and more accepted in the market, volumes will continue to grow. And like I said, we -- the capacity is not a constraint in this business for us.

Rusmik Oza : Okay, sir. I have two more questions, sir, one is on the same, T&D. Since the utilization level is 80%, is there any expansion plan in the foray for the next two, three years going forward?

Sharan Bansal: Yes, surely. There will be expansion plan. We will be pla

anning both brownfield and greenfield expansion.

Rusmik Oza : Okay. Any capex would you like to give for this?

Sharan Bansal: Not right now. We will be sharing you along with the Q4 numbers.

Rusmik Oza : Okay, okay. And my last question, sir, is on the tax rate. We're paying around 33% tax on PBT. When do we shift to the new tax regime? Or we'll continue with the same tax regime for some more time?

Sharan Bansal: We expect to move to the lower tax regime next year.

Rusmik Oza : Next year. So from next year, you can expect 25% instead 33%, right?

Sharan Bansal: That's correct.

Moderator: The next follow-up question is from the line of Dhruv Agarwal from Niveshaay Investment Advisors.

Dhruv Agarwal : Sir, on the last con call, you said that over the years the H1 revenue in relation to the total revenue is 40%. So in the first half, the revenue was around INR30 crores, INR27 crores. So is it a back calculation after reconsidering the quarter three sales, it comes close to around INR200 crores. So are you confident to do in the quarter four of around INR1,200 crores in...?

Sharan Bansal: No. How did you calculate INR1,200 crores? \$KIPPER __, __

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Dhruv Agarwal : Sir, like generally, H1 revenues is 40% of the total revenue you said in the last con call. So I just did the back calculation of INR30 crores dividing by 40% minus this nine months revenue, so it comes close to around INR1,200 crores.

Sharan Bansal: So the first six month revenue was...

Shiv Gupta : INR1,327 crores.

Sharan Bansal: INR1,327 cores. Okay. See, 40 -60 is just an indicative number. Obviously, it cannot be something, which is an exact guidance, but it's a very loose guidance.

So I think the point is, we have seen a very good growth in top line already in the year. I think we're at about 60%, 65%, something. And we have seen the revenue, the quarterly execution

grew to about INR800 crores in the range in quarter two and quarter three .

Now how much if you grow by quarter 4, again, that remains to be seen. But again, overall, execution is robust.

Dhruv Agarwal : Okay, okay. And sir, like what kind of conversion rate one can expect from bidding pipeline to flow into the order book? And how many quarters do you expect, sir, this order -- inflow in the order book?

Sharan Bansal: What kind of -- sorry, once again?

Dhruv Agarwal : What kind of conversion rate one can expect from the bidding pipeline to flow into the order book, sir? And by how many quarters?

Sharan Bansal: Okay. So as of now, like I mentioned, we will be constrained for capacity in the coming quarters. So unless and until we increase capacity, we will not be able to take in more than INR3,000 crores to INR4,000 crores of orders annually. So they all depend on our capacity expansion plans and which, of course, are underway. And hopefully, then we will be able to take in higher amount of orders next year.

Dhruv Agarwal : And so currently what would be the conversion rate, sir? Can you give some guidance on that?

Sharan Bansal: I mean, right now, we are pursuing about INR15,000 crores of orders and we are targeting about INR4,000 crores of orders next year. Then I would say about 25% conversion.

Dhruv Agarwal : Okay. And just one last question, sir. When do you expect the operating leverage to come into play in the business? Like you are growing so well like revenue, one thing, is fantastic to grow, but like the operating leverage part is not playing in the business. Like can you give some colour on that, sir?

Sharan Bansal: You mean in terms of working capital?

Dhruv Agarwal : No. Operating leverage, sir. Like change in profit divided by change in sales. Like sir, it is not growing as much as the sales is growing, sir. \$KIPPER __ , __

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Sharan Bansal: I'm surprised you feel that way because w

hen we look at the EBITDA margins compared to

last year, as I was mentioning to the previous caller, that EBITDA margins have moved up from 9.1% to 9.9% on a nine -month basis.

PBT numbers, which were at a low margin of only about 1.3% in the previous year nine months has moved up to about 3.8% this year.

So certainly, there has been some benefit of operational leverage coming into play. A fair -- I mean, by top line growing about 60%, the bottom line has grown by about 250 bps. So certainly, I think there has been a good amount of operational leverage already that is coming and more can be expected as the company grows.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sharan Bansal: Thank you to all the participants. We are confident of delivering profitable revenue growth with a consistent margin in the current year and expect to clock healthy revenue growth for the next financial year as well on back of pending Infra, Engineering contract and strong Polymer segment performance. We will continue to focus on improving bottom line profitability, stabilize operational cash flows, trim our debt, thereby leading to improvement of company's margin profile and strengthen its balance sheet position and capital return ratio.

The company's effort towards sustainable business practices will help to achieve its goals by making meaningful contributions to the national and global infrastructure. We appreciate your continued support, and look forward to interacting with you again in the next quarter. Thank you.

Moderator: On behalf of Ambit Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines. \$KIPPER __ , __

Call: May 2024

Dated: 6th May, 2024

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Audited Financial Results for the Quarter ended 31st March, 2024

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 2nd May, 2024, on Audited Financial Results of the Company for quarter ended 31st March, 2024.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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“Skipper Limited 4QFY 24 Earnings Conference Call ”

May 02, 2024

MANAGEMENT : MR. SHARAN BANSAL –DIRECTOR , SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA –CHIEF FINANCIAL OFFICER ,
SKIPPER LIMITED
MR. ADITYA DUJARI –GENERAL MANAGER , FINANCE AND
INVESTOR RELATIONS , SKIPPER LIMITED
MODERATOR : MR. PRAKHAR PORWAL – AMBIT CAPITAL
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Moderator : Ladies and gentlemen. Good day and welcome to Skipper Limited 4QFY24 Earnings Conference call hosted by Ambit Capital.

As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prakhhar Porwal from Ambit Capital. Thank you and over to you, sir.

Prakhhar Porwal : Thank you. Hello everyone. Welcome to Skipper Limited 4QFY24 Earnings Call. On the Management side today, we have with us Mr. Sharan Bansal -Director of the Company , Mr. Shiv Shankar Gupta - Chief Financial Officer and Mr. Aditya Dujari - General Manager, Finance and Investor Relations.

Thank you and over to you, sir, for the opening remarks.

Sharan Bansal : Thank you, Prakhhar . Good evening everyone and thank you for your continued interest in Skipper.

Before we delve into our “Operational and Financial highlights”, I would like to emphasize that any forward-looking statements made during the call should be viewed in light of the risks facing our industry and company .

Now let's review some key “Operational and Financial Highlights” compared to previous year's quarters :

I am delighted to report that Skipper achieved its best-ever revenue quarter reaching Rs. 1,153 crores compared to Rs. 657 crores in the previous year 's quarter, representing a remarkable growth of 76% . This exceptional performance was driven by strong results across our Engineering and Infrastructure segment while maintaining a healthy operating EBITDA margin of 9.4%. Segmental revenue break -up reveals significant achievement . Engineering revenue reached an all -time high of Rs. 701 crores, up by 41% from the previous year 's quarter,

while Polymer revenue stood at Rs. 103 crores and Infrastructure segment revenue fueled to Rs. 349 crores, marking a remarkable growth of 3034% . Our Quarter 4 Engineering export sales reached Rs. 198.7 crores, constituting 28% of overall Engineering segment revenue with Year to Date export sales totaling Rs. 635.6 crores, contributing significantly to our revenue growth.

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In the Infrastructure segment , We achieved our best ever quarterly revenue fueled by robust execution in BSN L and other T & D projects. We anticipate this momentum to continue into the next quarter .

Now moving on to our Quarterly Financial Performance:

Reported consolidated EBIT DA increased to Rs. 108.6 crores with operating margin standing at 9.4% for the quarter. The Engineering segment EBITDA margin reached 11.6% reflecting our focus on executing better quality contracts and expanding our international business . Going forward, we expect to maintain consistent margin performance in the Engineering segment, supported by our strategic initiatives. While the Polymer and Infrastructure segments will continue to benefit from rationalizing fixed costs over a larger revenue base . Our management remains focused on bottom line improvement with consolidated PBT increasing to Rs. 47.6 crores and PAT reaching Rs. 25.2 crores for the current quarter .

Our 12-month annual period "Performance Highlights" are as follows :

Revenue for FY24 surged to Rs. 3,282 crores, exceeding our guidance of 25% while maintaining margins at 9.7% .Engineering business segment revenue grew by a remarkable 46% while Polymer business revenue increased by 11%. Polymer sales volume witnessed a substantial increase, reaching approximately 32,000 tons compared to approximately 25,000 tons in the previous year period, registering a growth of 30%. Consolidated PBT and PAT saw significant improvement with PBT reaching Rs. 128.5 crores and PAT reaching Rs. 81.7 crores, reflecting a growth of 157% and 129% respectively compared to previous year period . Our commitment to financial discipline is evident with finance costs as a percentage of sales improving to 4.7% compared to 5.2% in the previous year period and net working capital cycle improving to 88 days against 131 days in March 23 .

"Order Book and Inflow":

During the quarter the Company secured significant size domestic contract from PGCIL and International T & D projects contributing to a total inflow of Rs. 1,141 crores . Year to Date, the Company secured orders exceeding Rs. 4,286 crores, marking the highest in Company history for a given year. Our current order book stands at an all -time high of Rs. 6,215 crores, well diversified across sectors and segments . With an order book to Engineering and Infra segment sales ratio of 2.2 times FY24 sales we have revenue visibility for the next 2 to 3years. The vibrant domestic T & D environment aligned with Skipper commitment to leverage India's transmission sector growth, while the government focus on scaling renewable grid infrastructure and improving electrification, Skipper is poised to support the growth. Our diversification into telecom , railway electrification , water EPC and drip irrigation further strengthens our revenue stream. The tender pipeline remains deep with the current bidding pipeline at an all -time high of Rs. 16,730 crores, reflecting strong opportunities in both 9KIPPER L4rite. 9KIPPER

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domestic and international markets. We are in advanced stages of negotiation to secure sizable international and domestic contracts.

Skipper Limited continues to deliver strong operational and financial performance, driven by our focus on execution excellence, strategic initiatives and prudent financial management. We remain optimistic about the fu

ture and are confident in our ability to create long term value for our stakeholders.

Thank you. And I am happy to take your questions now.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dhruv Agarwal, an Individual Investor. Please go ahead.

Dhruv Agarwal : Good evening, sir. Congratulations on the best ever quarter , sir. My first question is there has been a huge fall in the gross level margins over year-on-year and over quarter -on-quarter that is it has been fallen to 21% in Quarter 4 FY23 from 36 point in Quarter 3 FY24? Sir can you please explain me the reasons for the same thing that is, is there any one-off items in the cost of goods sold or something else there ?

Sharan Bansal : Actually, our margins need to be seen on a 12-month basis and we have delivered consistent EBITDA margins . Last year for a 12-month period our EBITDA was 9.7% and it is the same 9.7% for this 12-month period also. See quarter -on-quarter margins can be misleading depending on the quality of the contract being executed. So, honestly on an annual basis, I believe we have delivered a consistent EBITDA margin on a much higher revenue base.

Dhruv Agarwal : If I compare on the annualized basis I am just basically talking about the gross profit margin

with this EBITDA margin if I compare the 12-month s also it has been falling from 36 % to 24%, so what was the reason , sir?

Sharan Bansal : I am not very sure where you are getting the number of 36 and 24 , sir.

Dhruv Agarwal : If I deduct cost of goods sold from the sales side, then we will get the gross profit, s ir. So, that is what the calculation and basically trying to....

Sharan Bansal : That is not a corr ect measure to see the Company' s performance, sir, because the cost of goods sold may be varying because of various factors. It may be due to project sales and also we have to look at the labor sold and other project expenses. So, that is not the correct measure to see the gross profit of the Company .

Dhruv Agarwal : What was the reason for the increase in cost of goods sold in this quarter , particularly ?

Sharan Bansal : Particularly cost of goods sold, like I said, you have to look at both the amounts together, which is cost of material consume d, the change in inventory of finished goods and as well as 9KIPPER L4rite. 9KIPPER

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the labor sold and other project expenses , so if you look at all three of them combined , previous year average was about 72% , this year is about 76%. But then maybe it is getting compensated on the other expense side where the other expenses were 14.1% previously on the previous year and it is about 10% in t his year , so which is why the EBITDA margins are the correct margins to see and more for the PBT margin for really seeing what the actual profitability of the Company is.

Dhruv Agarwal : The net working capital date has been brought down to 88 days from 131 days, so can you expect going forward this kind of working capital days to remain on this level only?

Sharan Bansal : Between a net working capital of 90 days to 100 days, we believe that this is should be consistently maintained and obviously the effort will be to improve upon that.

Dhruv Agarwal : There has been an increase in the long -term borrowing is this for the purpose of this capacity expansion that you are doing. Is m y understanding correct Sir ? And further we will not be requiring any further borrowi ng for the said capacity expansion ?

Sharan Bansal : No, there will be. The Company will use a combination of internal accruals and further long - term borrowing to fund our CAPEX plans. The previous long -term debt, which has been taken has been towards the debottlenecking and optimization CAPEX . For this year CAPEX we have not yet planned how much debt to raise.

Dhruv

Agarwal : By what time do you expect this capacity to rise in and after that, what kind of order the Company will be able to capture ? And what should be the peak revenue post t his expansion?

Can you please highlight that, sir?

Sharan Bansal : In terms of revenue, as I said, we have mentioned in the Investor Presentation that even earlier in the beginning of the y ear, we had guided for a 25% C AGR growth. However, this year we have delivered close to about 66% against our guidance of 25%. Now, even on this enhanced revenue base of approximately Rs. 3,300 crores, we are maintaining our revenue growth guidance of 25% for the next 2 years at least. So, in terms of capaci ty, currently we are at about 3 lakh tons of capacity and with this year the CAPEX that we will do, we will end the year with the capacity of 3,75,000 tons.

Dhruv Agarwal : It should be live by Quarter 4 or Quarter 3 ?

Sharan Bansal : Some part of it will come alive by maybe towards end of Quarter 3 or Quarter 4 . And the full capacity it will get operational from next year onwards .

Dhruv Agarwal : By FY26 we can expect it should go on?

Sharan Bansal : Yes, but also looking at the opportunity we are looking at further capacity expansion next year also. 9KIPPER

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Dhruv Agarwal : So, just on the question on that only, as I can see in the presentation that you have mentioned the order bidding pipeline , in the order bidding pipeline there h as been almost 65% bidding from export , so going forward, do you see a huge opportunity in the export only or like you can see from the domestic as well as we can see the government has been spending lots on the infrastructure space, so what would be your focus area whether it should be on domestic markets or it will be on the international front ?

Sharan Bansal : It is a good question, see, this year also looking at the strong focus of the government on infra spending and the good number of projects under th e TBCB mechanism being bided in

transmission field, we do expect very robust order inflows on the domestic side. However, the domestic pipeline looks shorter because the domestic tender tend s to be more short term and they get decided faster. For international projects, they have a long lead time from bidding to finalization, which is why the international pipeline always appears a little larger. Our focus continues to be on both areas, domestic and international. But yes, we do expect that the majority of the orders this year also will be coming from domestic.

Dhruv Agarwal : But sir as you can see there has been only 65% of the bidding pipeline from exports , so we can expect that going forward there will be an order inflow from the export orders and we will be executing the export order s then the domestic orders, s o is that correct or like is there something else as well ?

Sharan Bansal : No, I would like to say the international order bidding pipeline always appears larger because the time for finalization is longer, domestic pipe tend to get finalized faster, which is why the pipeline appears smaller. However, we do expect that over the overall order inflow of this year, we expect close to abo ut 75 – 25 mix where 75% will come from domestic and 25% of the orders will come from export .

Moderator : Thank you. Next question is from the line of Deepak Purswani from Svan Investment s. Please go ahead.

Deepak Purswani : Sir firstly, in terms of the BSNL order, how much was the revenue booked during FY24 year as a whole ? And how should we see trajectory going ahead in FY25?

Sharan Bansal : For BSNL order, we have executed close to about Rs. 1,000 crores in this financial year that just ended. And in the coming year, we expect revenue of close to about Rs. 700 crores from BSNL project.

Deepak Purswani : And secondly, sir, in terms of the overall guidance, since we have

mentioned we would be

looki ng out for the CAGR of 25% over the next 2 years , could you please break up in terms of the segment wise specially in the Engineering product where I think from the capacity point of view we are running at a high-capacity level, what is the CAGR we are loo king at out? And also, second is the Polymer business if you can throw some light on this business as well 9KIPPER L4rite. 9KIPPER

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because year as a whole our growth has been 11% and in Q4 actually it has come down by 30%. So, if you can throw some light on both of these segments that would be really help ful?

Sharan Bansal : I don't have the guidance segment wise readily available with me. We may share that at a later time with you Aditya Dujari if you can get in touch with, he could be able to share that with you and in terms of capacity utilization, we are still at abo ut roughly at 70% capacity utilization. So, there is some opportunity to drive more revenue from the existing capacity in the current financial year itself and towards the end of the year, we should be getting the benefit of our enhanced capacity, which we are now going to be taking up the CAPEX for.

Deepak Purswani : And Sir, in terms of the margin as a whole from the FY25 perspective, how should we looked on the consolidated level margin, should we expect margin to expand from here at the current level or it will remain at the similar level to the FY24?

Sharan Bansal : Will g o 10% plus in the current financial year . However, any margin between 9.5% to 10% we are quite comfortable as a Company, and we believe that more and more PBT margins will be given better because of the higher revenue base leading to lower finance costs and depreciation costs.

Deepak Purswani : Sir, actually coming to the interest expenses, how should we look from the FY25 perspective because this year I think especially in the second -half, interest expenses seem to be little on the higher side and going ahead how should we look into as a percentage of revenue for the FY25 year as whole ?

Sharan Bansal : I believe right now we have done very well this year in bringing down the interest cost from earlier 5.2 5%to 4.7 % approximately , so certainly I think in the coming year anywhere between 4.4% to 4.5% would be our target to take the finance cost as a percentage of revenue.

Deepak Purswani : Also, sir, could you please also throw some light in terms of the fund -based limit and non - fund-based limits and how much is currently utilized?

Sharan Bansal : In terms of fund and non -fund, about Rs. 2,100 crores is for non-fund, non-fund limit is about Rs. 2,155 crores and fund base is about Rs. 525 crores and capacity utilization is about 60 odd percent .

Deepak Purswani : In both the fund and non -fund, both or ?

Sharan Bansal : Non fund is more . Non fund is close to about 80 % to 90% and fund base is generally 60%.

Deepak Purswani : Sir in strategy point of view going ahead how should we look at this in terms of the announcement of the non -fund limit s in future ? 9KIPPER

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Sharan Bansal : That will be based on the Company 's requirement and the kind of projects we expect to get , so I believe that will be really based on the companies working and requirement from time to time.

Moderator : Thank you. Next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian : Sir, one of tower infra provider have surpassed more than around 2 lakh towers and we have seen strongest tower additions based on increase in 5G rollouts and rural expansions and what is your thought process on the telecom side for tower additions ? And what kind of demand you are experiencing?

Sharan Bansal : Yes, on the telecom side, certainly telecom mix was close to about 30% of our overall order book and we are seeing quite a lot of vibrancy in this sector. We believe that operators which were not so active earlier, for example BSNL and Vodafone both will be quite active in the coming years because their network expansion has probably been , they haven't invested so much in their network over the last 4 years or 5 years compared to other operators like Jio and Airtel . So, certainly there is a good opportunity. Vodafone FPO success is also a big positive for the sector. So, I believe that with the upcoming expansion of both BSNL and Vodafone as well as the ongoing expansion of Jio, we should look at a good demand growth in the telecom tower space.

Balasubramanian : So, out of Rs. 6,215 crore s order book, what would be that break up in terms of Engineering and other breakups like a Polymer , Infra and Engineering breakup ?

Sharan Bansal : So, we don't have any order book on the Polymer side because that is sold to our retail network and in terms of the overall order book breakup we have export is 13% and total domestic is 87% out of which T& D is 53% and non -T&D is about 34%.

Moderator : Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : So, a lot of my questions have been answered , so I just wanted to ask with a order book of like around Rs. 6 ,200 crores, what would be our execution timeline for that?

Sharan Bansal : Normally the execution timeline is between 2 years to 2.5 years.

Darshil Jhaveri : We have a great pipeline for us , so what kind of win rate are we seeing for that, sir?

Sharan Bansal : See, it differs from market -to-market as the bidding pipeline is growing the win rate is also changing quite frequently, very hard to put win rate. In certain markets I can tell you our win rate is 50% plus and in certain markets, it is as low as 10 % to 15% also. So, on a blended basis, 9KIPPER L4rite. 9KIPPER

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I think roughly we can assume that we do enjoy a 25%-to-30%-win rate among the bidding pipeline , but that is a very broad generalization . It really differs from market -to-market.

Darshil Jhaveri : Sir why I was asking this question is basically, we have given our 25% growth rate target, but with our order inflow on pipeline, is it a fair assessment that we can again outperform our stated guidance because that is the way it is looking with every all the macro factors also ?

Sharan Bansal : Yes, it will certainly be our target to outperform our given guidance.

Darshil Jhaveri : Just like with the ratio of our margin on the bottom line, we expect a better ratio, could we just think of our EBITDA as a gross margin and everything else that slows down . PBT will be able to get maybe in FY 26 very higher profit margin totally because after our CAPEX or how would that work out?

Sharan Bansal : I believe that the Company is looking at continuous improvement in all margins, whether the EBITDA margins, PBT margins or PAT . We don't want to give any particular guidance beyond what I have said earlier right now. However, obviously with the growing revenue and better - and better -quality contract, more export market , I believe there is a lot of scope for margin expansion in the coming years .

Darshil Jhaveri : Sir any kind of risk in terms of regulatory risk or something that can hamper our growth prospects maybe telecom sector or something that we see as a risk that something that can hamper us.

Sharan Bansal : No, we have absolutely negligible bad debts in our Company , so we don't see any kind of receivable risk on that side. I am sorry you were asking about regulatory .

Darshil Jhaveri : Yes any kind of maybe an industry norms change, something on that out of like that can hamper us maybe .

Sharan Bansal : Not really, no I think there are no . Our business , I don't see any sort of regulatory risk at all.

Moderator : Thank you. Next question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rishi Kothari : Congratulations on the numbers. It is actually very stellar performance . On the question front, I would like to ask that I saw a point in P PT that the (Inaudible) 28:47 was made from the broad to broader market as developed market that is North American, Asia Pacific and West African. So, it has generally been order coming from the Chinese market and Turkish market. So, what exactly made the shift to the place from the China market with Indian market ? And specifically, is it because of the product specific machine that we generally provide? Or is it because the geopolitical reasons that we see around the world? 9KIPPER

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Sharan Bansal : It is a good question. I think overall what we are seeing that like in most industries, buyers around the world are adopting a China Plus One strategy and more and more customers are trying to move their supply chain away from China. So, certainly there is a very strong opportunity for good Indian manufacturing companies to take that space being vac ated by Chinese companies. And I think that something which we are also benefiting from around the world , so I feel that this trend will continue of course the change will happen gradually. It will not happen very suddenly. But there certainly is a gradual change on the positive side, so we can expect that, yes, more and more of these markets which were earlier dominated by Chinese and Turkish companies will move towards the Indian suppliers.

Rishi Kothari : And also, any product specific USP that we generally provide them that makes us differentiate from our competitors generally domestically speaking for any Indian player s?

Sharan Bansal : I think engineering strength is certainly something which is a big advantage for us. In our Company Skipper we certainly have very strong engineering capabilities of design , load testing and R&D which our customers really find the big value add in working with us.

Rishi Kothari : And are we seeing any specific demands from different sectors apart from telecom distri bution and then non-T&D like for example railway or any sort of different demand from other sectors apart from renewable also any order book size that we see in the different sectors?

Sharan Bansal : As of now, we are focused on our sectors of power transmi ssion and telecom, and we are working on enhancing our products and service within the se sector s itself. The Company remains open to entering other areas as well as the opportunity arises, but as of now we see enough opportunities in our 2 focus ed areas.

Moderator : Thank you. Next question is from the line of Saket Kapoor from Kapoor Co. Please go ahead.

Saket Kapoor : Firstly, Sir, congratulations for a very good set of numbers and also very detailed set of investor presentation. It covers all the major po ints and input, and we look forward for the continuity of this setup in terms of investor representation. Thank you the team has worked really hard for that and if now for the EPC part, if you could give some more color in this segment do we see the bid pipeline getting stronger and how would the margin profile look like? Are these fixed price contracts or do we have escalation clause , some more color on the EPC project?

Sharan Bansal : In the EPC side because of the large amount of opportunities available because of very good number of bids and projects that are up for bidding, we believe that there is sufficient opportunity to take adequate buffer for fixed price contracts, and certainly that w ill be the theme going forward.

Saket Kapoor : So, we have booke d orders for the water scheme also ? I think with the Jal se Nal scheme, those are the fixed price contracts generally ?

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Sharan Bansal : Yes, but those we have only 1 or 2 small projects in that area right now. We don't have large projects. Our major projects are continue d to be in Power T&D only.

Saket Kapoor : What would be our CAPEX and how much money we need to do the CAPEX for the augmentation of the capacity ? And how are we going to fund it?

Sharan Bansal : This year we are expecting a CAPEX of approximately Rs. 200 crores and it will be funded through a mix of internal accruals and long -term debt.

Saket Kapoor : Our cost of funds currently, what is the blended cost of funds?

Sharan Bansal : Blended basis, it is approximately 9%.

Saket Kapoor : And what steps we are taking to lower this in the interest rate part I think we are in a high interest rate scenario and we are also pursuing CAPEX in order to take advantage of the growth in the system, so how are we going to manage the impact of higher interest rates on the finance cost?

Sharan Bansal : I think you asked a good question; I think as you would have seen that finance cost has come down from earlier 5% plus to now 4.6%, 4.7%. We see further opportunity for this to reduce as our Company's performance gets better. You would have also seen that our net working capital day has gone down. Our inventory cycle has improved significantly this year. So, I think operational efficiency will play a certain role in lowering our finance cost and also as the Company performance improves we are certainly quite hopeful of credit rating upgrade from the credit rating agencies in the coming months, so that will certainly also have a positive impact on the reduction of finance cost.

Saket Kapoor : Sir last point is on, as you have mentioned that our focus is on the tower and the telecom segment in terms of the core business vertical, so in terms of Bharat Net rollout, does that also envisage the creation of the tower part or is it only the laying of the OFC that generally will be in the first phase? What would be the benefit of it?

Sharan Bansal : You are right, Bharat Net is largely linked to cabling and OFC only. There is not much opportunity for towers there. However, as I was telling the previous gentlemen that there is certainly a lot of opportunity in new Telecom tower rollouts as we see with the revival of Vodafone in India and also BSNL.

Saket Kapoor : So, that that will be leading to the replacement one or the new ones to improve the connectivity?

Sharan Bansal : New Towers.

Saket Kapoor : And what kind of CAPEX can we envisage going ahead? 9KIPPER

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Sharan Bansal : I have been hearing numbers of anything between 1 lakh to 2 lakh towers each for BSNL and Vodafone but I do not have confirmed information.

Saket Kapoor : Thank you very much for all the detailed answers and once again, congratulations to the team.

Moderator : Thank you. Next question is from the line of Prateek Bhandari from AART Ventures. Please go ahead.

Prateek Bhandari : So, just wanted to understand as to what would be the tower testing in terms of business size? And how much of it would be in-house and third party?

Sharan Bansal : Our tower testing as a business size actually is not a separate vertical that is not separate profit center that we track the revenue. Our tower testing and R&D capability basically go towards our overall engineering revenue, and we do not do any testing outside. 100% of the testing requirement is being taken care by in-house test only.

Prateek Bhandari : No, sir. I wanted to understand the business size of tower testing. That was my question? And how much of it would be in-house and third party?

Sharan Bansal : You are asking about the requirement of?

Prateek Bhandari : As a business side, how do you see the tower testing

as a business? What will the scale, quantum?

Sharan Bansal : About Rs. 40 crores to Rs. 50 crores.

Prateek Bhandari : 40 crores to 50 crores?

Sharan Bansal : Yes.

Prateek Bhandari : And how much of it would be in-house and third-party?

Sharan Bansal : 100% in-house.

Moderator : Thank you. Next question is from the line of Ashish Ajit Golechha from Growth Sphere Ventures LLP. Please go ahead.

Ashish Ajit Golechha : Congratulations, sir for fabulous numbers. Sir my two questions were the first question was how is the transmission business pipeline looks like for the developed markets country in the US and also with respect to Middle East countries where our focus has been, as you mentioned in the last concall? And the second question is with respect to PVC pipe business, are we in future basically working towards double digit margins? And what would be the impact of higher metal cost, sir? 9KIPPER

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Sharan Bansal : So, you have three questions. The first one is about T&D market globally , so recently there was an interesting statement by Mr. Sultan Al Ja ber, who is the President of COP 28 and he has given an indication that by 20 30 itself the investment in either outdated or non -existing transmission grade will need to be about \$6 trillion globally , so that is just till 2030 and we expect that this investment cycle will continue till at least 2045 before the world moved towards significant addition in renewal generation. So, I see that definitely from the present global investment of about two \$ 250 billion odd first it will move to about 500 billion, then maybe eventually to \$1 trillion annually also . So, that is the T&D opportunity globally , in terms of PVC margins we believe that our volumes have grown quite significantly this year by about 30 odd percent. It has not translated fully to value growth because of the fall in commodity prices. And in the coming years, certainly we do expect good growth in both topline as well as bottom line in the PVC business and yes we do target that we should achieve double digit margin in this business in the coming years . In terms of the high metal cost , we believe that commodity prices have been stable for the last one or two years and looking at the global scenario, we do not expect much changes in the global metal prices. We expect them to be largely stable.

Moderator : Thank you . Next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Congratulation on great set of number. My question is could you throw some color on your bid book when it comes to what is the proportion between the T&D , non T&D or if there is a sector concentration like most of the bid book is from the telecom , anything like this if you could just share some numbers on from your side ?

Sharan Bansal : Our bidding pipeline largely constitutes of T&D opportunities only . In telecom, the bidding tends to be for very short term or tends to be for more rate contract -based orders , so we don't really carry a large bidding pipeline in the telecom segment except for BSNL type contracts.

Vignesh Iyer : Yes that only. I mean, I just wanted to understand if something like let us say BSNL has decided to put up X number of towers and that is quite large considering they have not done much in the past few years , so what would that telecom order size reflect on your bid book? Would it be around 20 % , 30% of the total bid book that you have today in domestic?

Sharan Bansal : So, in telecom, our total bid book for non -T&D would be less than 10%. 90% of our bid for T&D only.

Vignesh Iyer : If I could understand on the tax rate side of it, we are around 33 %-34%, if I am not wrong it is due to impact of the MAT credits. Are we moving towards the 25% tax rate from n

ext year or

would it be on the similar lines only?

Sharan Bansal : Yes, from the new financial year we are moving to the lower tax. 9KIPPER

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Moderator : Thank you. Next question is from the line of Prathmesh Salunkhe from P&L Capital. Please go ahead.

Prathmesh Salunkhe : So, my question is in the telecom segment , so given the 2 years visibility in this segment, just wanted to know what is our current market share ? And what could be our peak market share in the coming 2 years?

Sharan Bansal : You are asking specifically in the telecom segment?

Prathmesh Salunkhe : Yes, sir telecom towers .

Sharan Bansal : In telecom towers, I believe that we are a market leader , and we would have a minimum of 15% to 20% market share presently.

Prathmesh Salunkhe : And is it possible to give the market share for other segments as well ?

Sharan Bansal : In T&D , also in India, you can expect a similar about a 15% market share.

Prathmesh Salunkhe : And PVC Polymer Piping ?

Sharan Bansal : So, that is much smaller there we would be not more than 1% or 2%perhaps .

Moderator : Thank you. Next question is from the line of Gunjan Kabra from Niveshaay . Please go ahead.

Gunjan Kabra : Congratulations for the good set of numbers. First question is that you just mentioned that your order win rate is in certain regions is around 50%, where in certain region is pretty less , so what are the industry dynamics that actually determine our order win percentage ? Why in certain region it is high and in certain regions is low ? If you can explain how the bidding tender works ? And secondly in that only wanted to understand typically how many players are there when we actually bid for some order ? So, how many players are there when we are bidding it?

Sharan Bansal : As I was mentioning there is no debt Ratio of the winnability because it really depends on

market -to-market and within the same market also certain projects could see a higher participation from bidders like for example in the TBCB project in the high voltage category we typically see competition from 5 or 6 other serious players in India and when we are talking about global markets where we are bidding as a tower supplier there we see competition from about again similar number about 5 or 6 players. So, the win ratio it can really vary as I answered earlier between 15% and 50% and there is no real set formula it will be a combination of the competition as well as the buyer 's inclination, whether in certain foreign markets there could be certain tax advantages that certain other foreign countries have. It could be or maybe about product approvals etc ., and just maybe about the engineering and design 9KIPPER L4rite. 9KIPPER
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testing also maybe the other bidder would have participated in the engineering activities for previous projects. So, it really is a combination of various factors .

Gunjan Kabra : So, it is not just the cost measure that determines because I think we if we are vertically integrated and we have certain cost advantages or we don't have any advantages as such ?

Sharan Bansal : Well, we do certainly have cost advantages. Skipper is the most integrated T&D player in the world because we are the only Company to have full end -to-end integration for the transmission towers and poles. We certainly have cost advantages, but then cost may not be the only criteria for decision making in a lot of markets.

Gunjan Kabra : And secondly, I wanted to understand that if EPC project the project size is supposed Rs. 2,000 crores in the transmission segment, then how much cost is incurred on towers in that Rs. 2,000 crores if you can give the rough idea on how much is spent on towers?

Sharan Bansal : In our typical transmission line project, about 30 odd percent

is transmission tower and about

30% to 35% would be conductors and the rest is other bought out and services.

Gunjan Kabra : And in the substation?

Sharan Bansal : I would not have the exact breakup of substation . We are not a very large player in the substation field. We do substation projects, but those are smaller in nature .

Moderator : Thank you. Next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : My question is more on the balance sheet side. I see we are carrying a big inventory of almost Rs. 1,200 crores in the balance sheet, which is amongst probably the highest in recent years.

So, I just want to understand is there any spillover from the execution of Q4 that is resulting in such a big inventory or is it a general norm of carrying or is this the average inventory size that we would be carrying considering the 25% growth we have in mind?

Sharan Bansal : So, on a top line of the about Rs. 3,300 crores an inventory of Rs. 1,200 crores is really not excessive. And if you look at the inventory number of days in the previous financial year, we were at 170 inventory days, but this year we have brought it down to 135, so there has been improvement. There is a further opportunity with optimization in working capital to bring the inventory number of days further and we look forward to that in the coming years.

Moderator : Thank you. Next question is from the line of Ankit Babel from Shubh kam Ventures. Please go ahead.

Ankit Babel : I just wanted to confirm on the interest cost part. You mentioned that you are targeting some 4%, 4.5% interest cost as a percentage of sales , so once you do a Rs. 5,000 crores revenue, 9KIPPER L4rite. 9KIPPER

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maybe in a couple of years your interest cost would be in the range of somewhere around Rs. 220 crores , so would the interest cost be that high once you do a Rs. 5,000 crores , Rs. 5,200 crores of revenue maybe in FY 26?

Sharan Bansal : 4% to 4.5% just for this financial year. In the next year by the time, we hit Rs. 5,000 crores, certainly as a percentage it could be lower.

Ankit Babel : How much could it be? Because it is a substantial portion of your expenditure and because the major improvement which you are expecting in your PBT margins is because of interest cost improvement, so could you just?

Sharan Bansal : No, EBITDA growth will certainly also be a part of our bottom -line improvement . And finance cost, we will see improvement as I was mentioning earlier firstly because of higher revenue , secondly because of better working capital optimization and thirdly because of better external credit rating due to better performance so I will say all of those will lead to improvement in

finance cost as a percentage of sales. I don't have ready guidance right now what it could be possibly in the next financial year for the current financial year, you may expect anywhere between 4 % to 4.5%.

Ankit Babe I: And at Rs. 5,000 crore s revenue, what could be EBITDA margins, what you are targeting for the Company as a whole including the Polymer and the EPC and the tower business?

Sharan Bansal : I would say that about 10.5%.

Moderator : Thank you. Next question is from the line of Dhruv Agarwal, an Individual Investor. Please go ahead.

Dhruv Agarwal : What is the capacity utilization in the Polymer division stands right now? And what can be the peak utilization that we can achieve?

Sharan Bansal : The capacity utilization is about 55% in the polymer business and at the peak certainly we can possibly go up to 90%.

Dhruv Agarwal : And how many times you can , by what quarter or by which financial year you can be able to achieve the 90% capacity utilization , sir?

Sharan Bansal : No, I am correcting that to 75% maximum utilization possible , but I think looking at the market growth opportunity, we should

be close to that by this year end.

Dhruv Agarwal : And after that, are you planning for the capacity addition ?

Sharan Bansal : Yes, if we are able to achieve about 75% utilization, we will be targeting a capacity growth in that division also. 9KIPPER

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Dhruv Agarwal : My s econd question is do you expect any kind of slowdown in the coming quarters due to election? Whether in the order execution or in the order inflow ?

Sharan Bansal : It is possible that yes order inflows might slow in Quarter 1 , Quarter 2 due to election season, but that would definitely be temporary because of the bidding pipeline continues to remain very robust.

Dhruv Agarwal : So, any guidelines that you can give like how much revenue would be hit due to this election ?

Sharan Bansal : No, it is very difficult for me to put a number on that overall, in the year we are quite bullish on very good o rder inflow, and I would like to maintain that only . How much Quarter 1 and Quarter 2 is going to be affected , I don't want to really put a number on that.

Dhruv Agarwal : Last one question like as you can see your infrastructure division has done very well going like from the Quarter 4 Financial Year '23 to the Quarter 4 Financial Year '25 there has been almost 2 ,800 times jump , so how big can you see this opportunity would be going forward?

And do you like to seize any opportunity in this segment , sir?

Sharan Bansal : I think with the growth of overall Infra spending by the government and particularly the vibrancy in the T&D and telecom sector overall, we maintain our guidance growth of 25% CAGR for this division also , so it is the same growth guidance that we have for the Company, and we will maintain that for both Engineering and Infra division .

Dhruv Agarwal : Currently right now from the infrastructure project , the revenue mix is around 10 % in the overall revenue , so are you l ooking to expand this division to say 20% to 25% of the total revenue going forward? Any plan on that sir, because I think it is very fixed type of contracts , so I think we would be able to get margins leverage on that ?

Sharan Bansal : No, we don't have any particular plans like that to grow the revenue percentage of Infra projects. We do Infra projects on opportunity basis, and I believe that long term this will remain about 15 % to 20% of the Company' s topline .

Moderator : Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments .

Sharan Bansal : Thank you, everyone . We anticipate revenue growth in excess of 25% CAGR for the next 2 financial years driven by pending engineering contracts and strong performance in the Polymer segment. Our focus will remain on improving bottom line profitability, stabilizing operating cash flows and reducing debt to enhance the Company 's margin profile and strengthen its balance sheet position and capital return ratio. Skipper's commitment to sustainable business practices will continue to contribute meaningfully to national and global infrastructure goals. We appreciate your continued support and look f orward to delivering value to our stakeholders. Thank you. 9KIPPER

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Moderator : Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines. 9KIPPER
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Call: Aug 2024

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Dated: 05th August, 2024

The Manager

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No. C-1, Block-G

Bandra Kurla Complex, Bandra (E)

Mumbai- 400 051

Symbol- SKIPPER The Manager

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai- 400 001

Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 30th June, 2024

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 30th July, 2024 on Unaudited Financial Results of the Company for quarter ended 30th August, 2024.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,

For Skipper Limited

Anu Singh

Company Secretary & Compliance Officer

Encl: As above

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"Skipper Limited

Q1 FY'25 Earnings Conference Call "

July 30, 2024

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED

MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL

OFFICER – SKIPPER LIMITED

MR. ADITYA DUJARI – DEPUTY GENERAL MANAGER

FINANCE AND INVESTOR RELATIONS – SKIPPER

LIMITED

MODERATOR : MS. TEENA VIRMANI – MOTILAL OSWAL FINANCIAL

SERVICES LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Skipper Limited 1Q Earnings Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Teena Virmani from Motilal Oswal Financial Services Limited. Thank you, and over to you, ma'am.

Teena Virmani: Good evening and everyone. Today, we welcome the management of Skipper for discussion on 1Q FY '25 performance.

Management team is represented by Mr. Sharan Bansal, Director; Mr. Shiv Shankar Gupta, CFO; Mr. Aditya Dujari, GM Finance and IR. So over to you, Mr. Sharan for your opening remarks, and then we will open the floor for Q&A.

Sharan Bansal: Thank you. Thank you, Teena. Good afternoon to you all and thank you for your continued interest in Skipper. Please take note that any forward-looking statements made during the call must be reviewed in conjunction with the risk that the industry and the company faces.

Some of the key operational and financial highlights in comparison to previous year quarter were as follows: I'm pleased to inform you that we have delivered yet another good quarter and registered our best first quarter revenue ever on back of strong execution in Engineering and Infra segment by nearly doubling our revenue over previous year quarter period, while maintaining healthy operating EBITDA margins of 9.6%.

The net revenue for the quarter stood at INR1,092 crores against INR555 crores. The segmental revenue breakup are as follows: Engineering, INR829 crores, up by 99%; Infra segment, INR168 crores, up by 1,600%; and Polymers INR95 crores down by 26%. The company's engineering export sales almost doubled reaching INR251 crores against INR127 crores and constituted 30% of overall Engineering segment revenue.

The Polymer performance was impacted on account of an elections in quarter 1 this year, which significantly affected project sales though it has a lesser impact on retail sales.

Management expects to make up and partly recover over the loss of revenue in quarter 2 next year.

Our reported consolidated EBITDA increased to INR104.7 crores, up by 74% with operating margin standing at 9.6% for the quarter. The Engineering segment EBITDA margin for the quarter stood at 11%. We have locked the desired margin range of 11% to 12% now for the past many quarters. Going forward also, we will see a consistent margin performance in this business on back of better quality contract execution.

The management focus continues to our bottom line improvements. The consolidated PBT increased to INR43 crores and PBT margin and 4% of sales for the current quarter period against INR23 crores in previous year quarter. The consolidated PAT doubled over to INR32

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crores against INR16 crores in previous year quarter, while PAT margin improved to 3% of sales.

On the other front, I'm happy to inform yet another good quarter for us. During the quarter, company secured significant sized domestic contract from PGCIL and SEB and export markets in Middle East and Africa, contributing to a total inflow of over INR765 crores. Our current order book stands at a high level of INR5,844 crores, well diversified across sectors and segments. With an order book to Engineering and Infra-segment sales ratio of 2.1x FY '24 sales, we have revenue visibility for the next 2 to 3 years.

The tender pipeline remains weak with the current bidding pipeline at an all-time high of INR18,000 crores, reflecting strong opportunities in both domestic and

international markets.

There are advanced stages of negotiations to secure sizable financial and domestic contracts. The vibrant domestic T&D environment aligns with Skipper's commitment to leverage India's transmission sector growth. With the government's focus on scaling renewable grid infrastructure and improving electrification, Skipper is poised to support the growth. Our qualification to undertake EPC project at the highest voltage level of 765 and 800 KV give us a strong advantage as there is very limited competition at this level.

We are among the few companies in the country with the capability to execute these high-voltage projects that by year of expertise and experience. Additionally, these projects have a better margin compared to lower voltage process.

In conclusion, Skipper Limited continues to deliver strong operational and financial performance, driven by our focus on execution excellence, strategic initiatives and proven financial management. We remain optimistic about the future and are confident in our ability to create long-term value for our stakeholders.

Thank you, and I'm happy to take questions now.

Moderator: The first question is from the line of Rishabh Gang from Sacheti Family Office .

Rishabh Gang : So I want to understand how do we secure the international orders? Like is it directly or through EPC players abroad? Have you seen decent repeatability of orders from certain regional vendors? And what kind of marketing or sales costs do we incur for sourcing deals? Further, what are your international capabilities in terms of team size, around sales and installation and any sales offers in the prominent market? Like what has been the trend in that? And how do you think about it in the future?

Sharan Bansal: Okay. I try and remember all your questions, sir. I think you asked about how do we secure these orders and whether it's from EPC or the utilities. So it's a mix of EPC and utilities, primarily the orders come from the EPC contractor. And sometimes, we also won directly with the utilities, purchasing the towers and poles directly.

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How do we secure them? Essentially, it's a long process of registration and approvals which we have to take with the end customer, and we have been working on the international market for more than 15 years now and getting ourselves registered and approved in various geographies, various utilities. So we have secured approvals in a large number of countries, which are there in our annual report, you can see that as well. And we are also continuously expanding upon that list. If you could please repeat your other 3 questions, please.

Rishabh Gang : Sir, how does the repeatability of orders from regional vendors are like? Or do you have to find different vendors every time once ordered is complete? Second how was your...

Sharan Bansal: Our orders are project based. So obviously, we do get repeat orders from a lot of large -- we work globally with about 200 to 250 global EPC contractors. And obviously, we do a lot of repeat business with a lot of them. Sometimes it can be for the same geography and sometimes it can be for different geographies where they are operating at also. So -- but it is project - based. It is when they win projects that's when they enter into contract with us.

Rishabh Gang : And sir, like what has been your international capabilities in terms of team size, around sales and installation? And do you also have some sales of it in a prominent market like maybe Australia, for the U.S. or somewhere in the Middle East?

Sharan Bansal: Yes. We have sales and marketing people in almost about 6 to 7 countries right now, which are Skipper employees. And also, we work with a lot of representatives and other associates in various markets in close to about 70 to 80 active markets for us.

Rishabh Gang : Any numbers on how many employees

do you actually have? And how has it been increasing?

Like I want to understand how focused are we to get this -- grow this business?

Sharan Bansal: Overall, including India, we -- the team sitting in India is obviously the largest size. We have a large international marketing team. And obviously, this team is really mobile across continents and geographies. If you're asking specifically about international people, that is really too specific. But essentially, I can tell you that we have close to about 30 to 40 strong international marketing team.

Rishabh Gang : And how much do you plan to increase it in the future? Any idea on that?

Sharan Bansal: So that is for specifics, sir. I mean it's hard for me to say.

Rishabh Gang : One more question is, so before 2018, like in '15, '16, '17, we used to like really attractive EBITDA margins. So what led to achieving us that in the earlier time and what has changed in the business over the years?

Sharan Bansal: So even earlier, if you look at our main segment of Engineering Products, we always were delivering about between 11% to 12% EBITDA margin. And perhaps maybe what you're talking about, the 15%, 16% margin could have been because of other gains like forex gains, et cetera.

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And even now our Engineering segment, which is our largest segment, that is delivering both kind of margin. On a blended basis, the company -- because of our other divisions, we are delivering roughly about 9.5% to 10%, which is also better than the industry average, I can tell you.

Rishabh Gang : On capacity utilization -- how does the capacity utilization is? And what is the capacity size of majority competitors in India and abroad? And when you say you are a fully integrated PMD company, what do you mean by fully integrated? Like how does the competitor perform there?

And how does that help us on EBITDA margin front?

Sharan Bansal: Okay. So in terms of -- if you would ask me 1 question at a time, actually, I'm losing...

Rishabh Gang : Sorry, Sorry. What is the capacity utilization and capacity size of other competitors in India and abroad?

Sharan Bansal: Currently, our capacity, which is about 300,000 tonnes a year. Last year, we were at roughly about 70% utilization. This year, we expect to be about 90% utilization. In terms of capacity of other players in India, there are other -- we have the largest capacity located in India. Other players in terms of their global capacities, I would not be having up to date data, please.

Rishabh Gang : Okay. Any name of global players?

Sharan Bansal: KEC International is obviously a global player. They have capacity in a lot of geographies. The other would be large Chinese companies like Qingdao, Nanjing Energy and then there could be Turkish companies like Mitas and SA -RA.

Rishabh Gang : Okay.

Sharan Bansal: From USA is also a large player.

Rishabh Gang : Okay. Got it. And when you say truly integrated T&D company, right? What do we mean by truly integrated? Like what are competitors now doing and that we are doing here? And how does it help on EBITDA margin?

Sharan Bansal: By truly integrated, we mean that we are the only company having backward integration of rolling mills, tower production, poles production, fasteners production and EPC construction in the same company. To our knowledge no other T&D company in the world has entire end -to-end integration within the same company.

Moderator: The next question is from the line of Gunjan Kabra from Niveshaay.

Gunjan Kabra: Very good set of numbers. My first question is that I wanted to understand that we are having INR18,000 crores of orders of pipeline right now, divided into domestic and international. So what's the timeline of these orders getting rewarded to the tower player?

Sharan Bansal: You're asking what is the timeline for -- from the bidding stage to or

dering stage.

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Gunjan Kabra: Right now, we have around INR18,000 crores of pipeline -- order pipeline, right? So what timeline will it take for the EPC and the utility companies to award these tenders to the tower company?

Sharan Bansal: In India, typically, we are seeing a 6 - to 9-month cycle from bidding to award. And globally, that cycle is longer, it could be anywhere between 1 to 2 years.

Gunjan Kabra: Okay. So you think that -- okay, so this number -- and come in the domestic pipeline will be awarded in 6 to 9 months, okay. Secondly, I wanted to understand that the tower -- how does it work in terms of KV. So do we make for 220 KV is the tower business also worked this way -- just wanted to understand on the time that we are expanding by 75,000 tonnes. So what could be the incremental turnover from 75,000 tonnes, how is determined? I mean if PGCIL is giving you an order for example of INR500 crores or INR1,000 crores, then what's the turnover that goes into per INR1,000 crores amount, if you can explain in that way.

Sharan Bansal: In the sense, you will not get a straight 1 -to-1 relation between the capacity and the revenue because the overall revenue is mixed up for a lot of our segments of Engineering products Intra segment as well as Polymer. And also within the Engineering segment, we have multiple products and services. We also provide Engineering services with design, testing and R&D services. So it's a combination of a lot of various divisions of the company, which contribute to the revenue.

In terms of capacity, our largest product division, which is Towers and Poles, there, we will have a capacity of 300,000 tonnes, which we are expanding by 25% to increase by 75,000 tonnes.

Gunjan Kabra: Yes. So I was just asking what is the incremental revenue that can come from 75,000 tonnes. So it's 75,000 tonnes, then what's the revenue that we can do -- or maybe if you can explain this because you're spending INR200 crores. So if you can explain with asset turnover that how much can that incremental revenue come in with this revenue ?

Sharan Bansal: Only the capacity increase because the overall capex will go towards enhancing our other services capability also and as well as our overall debottlenecking of the plant. So I would say that this capex , which we are doing presently will lead to additional revenue of about INR800 crores to INR1,000 crores.

Gunjan Kabra: INR800 crores to INR1,000 crores. Okay. And sir, right now, I mean, how is our telecom segment spanning out in terms of -- because in the budget also BSNL has got a very high

allocation comparatively in the telecom and indigenization is also there, 5G rollout is also happening. So how is that demand expected to be? Or are we focusing more on the power side?

Sharan Bansal: See, in terms of overall volume, yes, power is definitely more than telecom. Having said that, telecom is a very good segment for us. It has been consistent. And yes, BSNL has been a good customer for us. Government is very focused on enhancing BSNL network coverage. So I would say that yes, there will be plenty of telecom opportunities for us in the future.

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Gunjan Kabra: Okay. And one thing which I asked in the previous question, I wanted to understand so towers also are determined by kV, right? So 765 kV 220 kV or then do we specialize in all segments?

We manufacture to some range.

Sharan Bansal: No. We manufacture the full range from -- right from the small gantry structures of a substation to lower voltage tower like 11 kV, 33 kV, 66 kV and going up to the highest voltage, which is 765 kV and 800 kV. So we are present across the value chain and all the voltage segments.

Gunjan Kabra: And sir, versus a competitor because there are too many players also. So we're the only one who are manufacturing in

to the all ranges or there are other players also in India?

Sharan Bansal: I would say that as the voltage level goes up, there are obviously fewer and fewer competition because fewer players have capability to manufacture structure at the highest levels. In our segment, we have competition from about 8 to 10 manufacturers.

Gunjan Kabra: 8 to 10, okay. And lastly...

Moderator: Sorry to interrupt the request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. The next question is from the line of Darshil Pandya from Finterest Capital.

Darshil Pandya: Sir, what will be our order inflow for FY '25 -- expected order inflow. And one of the reasons I would also like to ask that historically, as it is mentioned in the investor presentation, Q1 was something where we get more orders. So was it impacted due to the elections? Or what was it?

Sharan Bansal: No, that's not really the case where Q1 we get more orders. It's not exactly -- if you look at last year also, last year, our total order inflow was about INR4,000 -odd crores. Q3 was very low.

Q3 was only -- that was less than INR500 crores. So we got INR402 crores actually. So

honestly, there's no defined trend where any 1 particular quarter has less or more.

Overall, in the year, if you ask me, our aspiration is that we should secure anywhere between INR4,500 crores to INR5,000 crores of orders this year. And I believe that the Q1 performance is in line with the overall target.

Darshil Pandya: Yes. Absolutely. And second question was, sir, you think post Q1 results, we may achieve more than what we have guided for the whole year?

Sharan Bansal: As of now, guidance continues to be a 25% growth over last year's revenue.

Darshil Pandya: That's fair -- and sir, something on debt repayment, what more steps are we taking to -- in order to reduce this debt?

Sharan Bansal: The company's debt is at a comfortable level. Our long-term debt is not at a high level at all.

We have mostly working capital debt and which is very, very manageable, company has very good cash flow. So we are -- but we are also -- we have recently done a rights issue to boost the working capital -- growing working capital requirements of the company. We have already secured the first tranche of the right issue payment, about INR50 crores. And for the INR150

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crores also, we do have a plan to take it -- to call for the balance money in this financial year itself. So this will go towards the reduction of overall debt.

Darshil Pandya: All right, and just 1 last, just a suggestion. If you can just put up this number crores rather than millions would be really helpful for investors and the analyst...

Sharan Bansal: A lot of our foreign stakeholders insist upon the numbers to be in million, so which is why we keep the numbers in the million.

Moderator: The next question is from the line of Arafat Saiyed from In Cred Research.

Arafat Saiyed: Congrats on great year numbers to keep a team. Sir, can you please elaborate on your order pipeline? You said it's close to INR18,000 crores. So which country you expect more order to come? And also, can you guide me your order win ratio in the past, I believe, that's around 30%, 45% turn into orders. So that would be great.

Sharan Bansal: Yes, sure. In terms of our order win ratio, the number changes, obviously, on a year-to-year

basis. On an average, we have been able to secure about 25% of the order pipeline -- or the bidding pipeline and being able to convert 25% into actual contracts.

And in terms of geography, obviously, look, the -- what we expect, at least in this financial year, we do expect a lion's share of the business to come from the Indian market because the Indian market is very, very robust and T&D demand is very high. A lot of tenders are on the bidding -

- are available for bidding right now. Internationally, we do expect that markets such as Middle East, Australia and parts of Latin America, we will be able to see good order improvement.

Arafat Saiyed: And sir my next question on your order book, let's say, your order book of INR5,800 crores. So what is the, let's say, balance share of orders from PGCIL and BSNL leads?

Sharan Bansal: You're asking about the balance orders?

Arafat Saiyed: Yes, yes, order book of INR5,800 crores, what is the share of and PGCIL and BSNL orders in this order?

Sharan Bansal: Okay. Let us come back to you with exact numbers, I do n't want to give you a wrong number right now.

Arafat Saiyed: Sure. And sir, last question is on your order. There is something else changed completely in last one year let's say, especially for you guys, the order inflow is now getting -- despite having a high base last year from the BSNL orders, still you're going let's say to some extent in terms of order book and also the order pipeline. So I just want to understand what exactly has changed that industry, including India and overseas, getting lots of order in the pipeline, let's say, for you only, let's say, last year you're talking about close to INR10,000 crores, which is now almost double. So what exactly has changed in this industry?

Sharan Bansal: There are basically -- there are 2, 3 changes that have happened. Power demand has also taken a very good uptick, peak power demand, as you must have noticed, is -- has been rising

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consistently in India. And the second thing, what has been happening is that there is a lot of stress on renewable power addition. So both of these factors are leading to enhanced investments in power T&D business trend, which we have been seeing for the last 3 to 4 years. However, it has picked up a lot of space in the last year, 1.5 years, not just in India, but in a lot of global markets as well and we expect that this trend of renewables and overall power consumption will continue to grow because all countries are trying to move towards greener and greener sources of power. So that is a trend which we expect will continue for the next several years.

Arafat Saiyed: Okay, sir, lastly, on your capex your...

Moderator: We request that you return to the question queue for follow-up questions. The next question is from the line of from Deepak Purswani from Svan Investments.

Deepak Purswani : Sir. Congratulations for a very good set of numbers.

Sharan Bansal: Thank you.

Deepak Purswani : Yes. Sir, firstly, if you can give a sense on the bidding pipeline, where you have mentioned in the presentation, we are in advanced stage of negotiations to secure some good-sized international contracts. If you can give a sense in terms of the scope of client and quantum of the project, that would be really helpful ?

Sharan Bansal: No, I'll not be able to share specific information because that is confidential. But as you can see from the first order -- first quarter order inflow of INR765 crores, we are very much in line with our overall annual target of order inflow.

Deepak Purswani : Okay. And secondly, sir, when we have maintained a revenue guidance of 25%. But -- if I were to look into the Q1 execution actually, then the next 3 quarters, implying that, that is going to be flat. So I just wanted to get a sense from your end, is it like we are trying to be more conservative? Or should we expect some more pickup? Should we expect some growth in H2 or going ahead?

Sharan Bansal: Last year, we have already had a very strong revenue growth from previous year INR2,000 crores to about INR3,300 crores last year. And even on this enhanced base, we have guided for a 25% revenue growth. So we feel that we would like to be conservative in our guidance. And of course, the effort will be to perform better than the guidance given.

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Deepak Purswani : And then, sir, coming to the Engineering product, if I were to look into the EBITDA margin, this time, actually, the contribution of export projects -- export revenue has increased 30% whereas our EBITDA margin are at 11% versus 11.6% in the last year as a whole. How should we see this margin -- I mean, should we expect when the contribution from the export margin have increased should this margin improve further going forward? Or would you like to

comment on it?

Sharan Bansal: It is difficult to see margins and specific performance on a quarter -- it would have to be seen on a more on an annual basis because individual quarters, they can have various quality of
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contracts being executed. So that is what determines the overall margin. So it is difficult to comment on...

Deepak Purswani : Sir, year as a whole -- our export contribution will increase from here. So year as a whole, how should we look into the margin?

Sharan Bansal: No, as a year as a whole, we are not really guiding for an increase in export performance. Our order book is roughly about 18% of exports. So that is the guidance for the overall export execution in the year as well. 14%, not 18%. 14% is the export contribution in our order book.

Moderator: Sir, we request to return to the question queue for the follow-up questions. The next question is from the line of Rishabh Gang from Sacheti Family Office.

Rishabh Gang: Sir wanted to understand distribution and long transmission and distribution such as railways and telecom? And which pockets of the world, do you think sizable replacement demand will come?

Sharan Bansal: Currently, we are not -- we are seeing most of our demand coming from new infrastructure build only and not really replacement build, because, as I mentioned earlier to the earlier caller, that a lot of our demand is being led by renewable power investment. So as renewable power investments is happening, that's what is leading to T&D and other sectors growth. So we are yet not catering to much of the replacement market.

Rishabh Gang : Okay. But what are the useful life of about...

Sharan Bansal: 2 to 3 years.

Rishabh Gang : As we've been mentioning about the telecom towers, right, 8 lakh new mobile towers over the next 2 years. I wanted to understand what has been the volume level sales for you in last 1 year in mobile tower front? Like this 8 lakh number, what is your view on this?

Sharan Bansal: I believe that players like BSNL, Vodafone, Jio and Bharti, all of them will have good expansion plans. And of course, we are working with all the operators. In terms of private operators, we have not seen much change in demand this year compared to last year. It's only BSNL, where we secured the large contract last year, it's where we are seeing maximum execution happening.

Rishabh Gang : Any idea volume for mobile towers that you have -- like how many towers that you have sold in last 1 year on telecom side?

Sharan Bansal: So that is, again, in terms of -- difficult to say, but telecom roughly makes about 20%, 25% of our Engineering revenue.

Rishabh Gang : I have more questions. Can I ask right now or should I come back?

Sharan Bansal: I request you to come back because there is a queue.

Moderator: The next question is from the line of Hitesh Popat, an individual investor.

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Hitesh Popat : First of all, many congratulations for a good set of numbers.

Sharan Bansal: Thank you, sir.

Hitesh Popat : I have a couple of questions. If I could recollect the figures rightly. There is the Infra division is not up to the mark. So is there any specific reason or spillover haven't moved much revenue in this quarter?

Sharan Bansal: No, that is, again -- as I mentioned earlier, the numbers that we're seeing on an annual basis, on a part

icular quarter basis, it can be possible. And again, this quarter, because of elections, et cetera, there was some slowdown in execution. So honestly, overall, in the year, we do expect good growth in the Infra segment over last year.

Hitesh Popat : Okay. That's quite good. Another question would be, can you share the market share of T&D and telecom within India and globally?

Sharan Bansal: I cannot comment on overall market share, but in terms of the high voltage -- high-voltage sector, Skipper does have a 10% to 15% market share.

Hitesh Popat : Okay. And overall, yes -- within India.

Sharan Bansal: Within India, yes.

Hitesh Popat : And globally?

Sharan Bansal: Globally, it's a very difficult number -- I mean, it's any one's guess. But we are one of the prominent players globally.

Hitesh Popat : Okay. That's fair enough. Lastly, in foreign countries, like export do we foresee which countries like which is a higher potential and where we are not yet present. Any projection on that?

Sharan Bansal: Yes, I think we see a lot of potential in developed markets, particularly Australia, North America, like U.S., Canada and the European market. So except for Australia, we don't have much of a presence in North America and Europe right now. We are doing some small contracts in these geographies, but we are hoping for a larger and more lucrative contracts from these places in the future.

Moderator: The next follow-up question is from the line of Gunjan Kabra from Niveshaay.

Gunjan Kabra: There has been delays in -- there have been news articles stating that by PGCIL that the orders worth INR44,000 getting delayed by 12 months, 14 months. So how is that -- because if that delay is happening on the EPC side on the execution side then it might impact our order execution also. So how is the execution happening on the transmission side if you can throw some light?

Sharan Bansal: As far as I see, there are -- there can be -- we don't see really any much delay. There is a healthy pipeline and tenders are getting finalized at a regular interval. There may be some

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temporary delay of a few months because of the elections currently -- but I think that also -- now that elections are over, we feel that the awarding activity will again come back to normal levels. So -- as such, we are not concerned about any real slowdown as such.

Gunjan Kabra: Okay. And sir, though you have answered this question in bits and pieces. But going forward, when we are growing at 25% for next 2, 3 years, when can we like have -- the previous participant also asked that in the Engineering segment, we had a margin of around 15%, 16% in 2015, '16. So what can be the margin that we can look forward to -- can it reach to like 11% or what's the number that you're trying to for the overall year I'm asking?

Sharan Bansal: See, definitely, long term, we do have an aspiration that as a -- consolidated in the company, we must move beyond 10% margin. Currently, we are at below 10% margin for the company.

And certainly, we think that there is an opportunity -- a very clear opportunity for us to move into the 11%, 12% consolidated basis for the company in the next few years.

Gunjan Kabra: Okay. And sir, U.S. and Europe centers are expanding a lot on the transmission side right now, if you see the number that has been coming up from these countries as well the T&D expansion is pretty high. So who are -- like who is applying to them right now is -- are these the Turkey players applying to them or they are domestically positioned and how are we planning to cater to this market because -- or do we require any certifications for the export markets in the U.S. like the transformer companies do require.

Sharan Bansal: Certainly, we do require certifications and we are approved by various engineering bodies like CWB the Canadian Welding Bureau.

And at the same time, we are also in the process of obtaining more and more certifications in North America because the utility market is not driven by any one of the utility. There are several hundred utilities across North America. Currently, if you ask me who is supplying there, I would say, the largest market share there is with the Turkish manufacturers.

And then also the Chinese manufacturers are active in the North America market. Otherwise, they also get serviced some from manufacturers in Brazil and Mexico and apart from the local manufacturers who are present within the U.S., Canada itself.

Moderator: The next follow-up question is from the line of Deepak Purswani from Svan Investments.

Deepak Purswani : Sir, just wanted to check it out. I mean, the way growth has shaped it up for us. Would it be fair to assume we would be requiring a little more capital than what we have on the rights issue, INR150-odd crores. And last time -- I mean, last year, our debt was at INR575 crores. How should we look into that number a year as a whole by end of this year? And consequent to it, in terms of interest expenses, currently, we are at 4.7% in this quarter. How should we look into this number a year as a whole?

Sharan Bansal: Okay. So in terms of further capital raising, we don't have any immediate plans -- beyond the rights issue as the company because we feel that the internal accruals of the company will be strong enough to meet our growth plans. If once the rights issue proceeds are over, then we may look at further opportunities if at all.

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In terms of the overall debt number, there may be some increase, because we are in a capex

mode now, and we have taken up a capex of INR200 crores plus this year to enhance capacity. And also the working capital, there may be some expansion as the growth comes. So again, you can expect some moderate growth in the overall debt number in line with the overall top line of the company.

Deepak Purswani : And interest as a percentage of revenues?

Sharan Bansal: Interest as a percentage, certainly, last year also, we had an improvement in the interest percentage and this year also we are expecting that further improvement as a percentage of uptake.

Deepak Purswani : Okay. Should we expect it to come down close to 4% a year as a whole?

Sharan Bansal: Our aspiration is to go below 4.5%.

Deepak Purswani : Okay. And secondly, sir, on the Polymer business, I mean, if I were to look into the last year, the growth was -- growth actually moderated to 11% in the last year. And this quarter, again, there has been some decline, though you have mentioned in the presentation regarding decline in this quarter. But if you can throw some light I mean, why this business is moderating actually? And also how should we look into going ahead?

Sharan Bansal: No. So there is no moderation as such in Polymer. It continues to do well for us. This year, particularly this quarter, I think the sales were affected because of elections and specially the project sales -- despite that, the retail sales have grown by about 20%. And we expect that in the further quarters, sales numbers will rebound.

Deepak Purswani : Actually, sir, in the H2 also, there was some decline in revenue. I mean, in Q3, growth was 11% in Q4, it has declined by 30%. So just wanted to check it out.

Sharan Bansal: Overall, I think last year, also the commodity prices had some role to play in the overall market demand. But I think demand should certainly be stable for the rest of the year.

Moderator: The next question is from the line of Rishabh Gang from Sacheti Family Office.

Rishabh Gang : I wanted to understand more on the Polymer side, like what has been the volume growth for us? And how volume -- and how do we compare with other listed players in terms of revenue volume and margin growth, any idea on that, sir?

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Sharan Bansal: Could you repeat the question, please?

Rishabh Gang : So on the -- how has the volume growth -- how do you see it? And how are you comparing a listed player in terms of revenue and margin growth for the Polymer business?

Aditya Dujari : So this year -- this quarter, we have a volume degrowth. So basically, against last year quarter number of 8,880 tonnes, we have degrown by 10%, so that was basically 8,000 tonnes. And that's primarily been the reason I already been explained that this being an election year, the project sales had been impacted, though we are seeing a 20% growth in the retail sales number.

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We generally our categorization in this segment, in this market is basically premium. We compete against the likes of Supreme, Astral, Finolex, and our brand categorization is in premium category in this segment.

Rishabh Gang : What are the EBITDA margins, right, for the companies that you mentioned, what is the kind of EBITDA margin they have? And what is the kind of like -- by when that you would be able to achieve that kind of EBITDA, I would like to understand?

Aditya Dujari : Yes. So the industry operates at an EBITDA margin of 11% to 12% kind for the most of the premium years. We operate at a 4% to 5% kind of a level since we are a small player in this, and we are growing player. So we are -- we need to incentivize the dealer network more as we enter into newer geographies. As we attain scale and size in this space, so in this business. We will get our fixed cost rationalize and benefit over a larger revenue base. And that will help in maintaining, improving on our margins on this business.

Rishabh Gang : Got it. But at what kind of revenue level or volume level would we be able to see some operating leverage come in play? Any idea on that, sir? Like we are earning half the margin than the competitors. So would you like to understand this transition.

Aditya Dujari : So we think once we are closer to INR1,000 crores kind of a number, you will -- you can expect a double-digit kind of margin performance in the...

Rishabh Gang : And what are the working capital base for our Polymer business and the segment level ROC for Polymers. And what has been the lifetime high ROCE for the Polymer business?

Sharan Bansal: We can take this question offline, yes.

Rishabh Gang : And just last question on this. So we have -- you have been doing critical investment on the advertising side for the Polymer business you have got deal and moving on board. So any idea on how much are we spending on getting them on annual contracts? How much are we spending on...

Aditya Dujari : On an annual basis, we are spending almost about INR15 crores to INR20 crores.

Rishabh Gang : And how much of them is for the brand ambassador business?

Aditya Dujari : INR10 crores.

Rishabh Gang : Got it. Just 1 last question, if you allow. How does the -- how are we passing on the raw material price, any increase in the raw material price, both on the engineering front and on the PVC front to the customers. Like how does the pricing happen and how do we pass it?

Aditya Dujari : On the Polymer front, it's generally pass-through . So whatever there is an increase, we pass it to the market. On the engineering front, it's a combination of a fixed price contract as well as variable price contract. So there is an I EEMA driven formula, which derives what benefit needs to be paid. So that takes into consideration all the zinc -- raw material steel as well as the labor price index. So that's a formula that is very well accepted in the market. So that's how it goes through.

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Rishabh Gang : Sorry, I just -- I want to ask 1 last question. How much percentage of the finance cost is actually interest cost for us and because I understand you pay a lot of guarantee charges as well. And what

are the rates that we have on the CC limit and term loans?

Shiv Shankar Gupta : We will get back to you on this.

Moderator: The next question is from the line of Darshil Pandya from Finterest Capital.

Darshil Pandya: Sir, just 1 follow-up question on the Polymer business. Are we also targeting the construction companies where we can have some contracts with the construction companies already in place?

Aditya Dujari : Basically on the project side business, there's some portion of our sales goes to those construction companies.

Darshil Pandya: Okay. And what was the mix of private versus government as you also -- are you also giving it to the government? Or are we providing?

Aditya Dujari : So most of our sales are to the retail, government constitutes almost about 5% to 10% of our revenue.

Darshil Pandya: 5% to 10%. And just on the last question, one of the participants asked you about doubling the margins in this Polymer business. So FY '24 number would be how much in the Polymer business? How much business have we done in the Polymer business?

Aditya Dujari : So last year, we did almost about INR450 crores.

Darshil Pandya: Okay. And you're saying that once you reach the 1,000 level, you'll be doubling it. So what are the aspirations of the company to how quickly we can reach at this level?

Aditya Dujari : In the next 2 to 3 years' time , we see reaching up to that level.

Moderator: The next question is from the line of Pratik Bhandari from Aart Ventures.

Prateek Bhandari: Just wanted to understand, you mentioned about the Polymer volumes you did in this quarter. Can you repeat that? What volumes done in the Polymer business.

Aditya Dujari : The volumes that we have done in this quarter is about 8,000 tonnes.

Prateek Bhandari: And what was in the last quarter?

Aditya Dujari : Last quarter was 9,000 tonnes approx .

Prateek Bhandari: All right, so there is a degrowth of approximately 10%.

Aditya Dujari : Right?

Moderator: The next question is from the line of Rishabh Gang from Sacheti Family Office.

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Rishabh Gang : Wanted to understand like what is the risk on the side of our product. Like I understand that on the Engineering side, you make products on the order. But if you make a product, it's where very customized product and the customer does not accept it or we find some error in the product then what happens? How will the resolution there? Because there will be some rejections on that front also?

Sharan Bansal: Typically in the -- our rejection rate is less than 0.002%. So obviously, it is negligible. And that has been the consistent trend for last several years. And in terms of -- yes, it is a customized made-to-order product, we also can't remember the last time when we made a product for a customer and the supplies were not picked up by the customer because normally, we have advanced payment also to secure the production that we are doing. It is very difficult for the customer to back out of a contract after we had given us a release is extremely difficult because there will be financial losses for the customer also.

Rishabh Gang : All right. Also, last -- in one of the concall, you have mentioned about Australia and the benefit due to RoDTEP scheme -- so what are -- like how much pricing or margin benefit did we get on Australian orders because of that RoDTEP scheme?

Sharan Bansal: No, RoDTEP is applicable to all exports going out of India and which earlier, the RoDTEP benefit after the earlier, the previous MEIS scheme was withdrawn, then in the interim period, there was no export benefits available -- then last year, the government instituted the RoDTEP scheme under which a 1% export benefit was given to all of our exports out of India. And in terms of specifically regarding Australia, the benefit that we got was that signing of the India -Australia free trade agree

ment, which was signed last year between the Indian and Australian government because of which the duty, which was applicable on our product in Australia, that was removed as our products became cheaper for the Australian customers.

Rishabh Gang : All the products imported in Australia become cheap like -- that coming from China also or only from India.

Sharan Bansal: No, no. So India and Australia signed a free trade agreement for a certain defined number of products. And out of those products, our product was also included.

Rishabh Gang : How much percentage duty was got waved off or any beyond that?

Sharan Bansal: I believe the duty was about 4% earlier.

Rishabh Gang : Okay. So the essence we are supporting the renewables network. Have we explored any foreign borrowings which are coming like a lower interest cost because at the end we are supporting an ESG theme. So how did you expect that because we are a very working capital - heavy business.

Sharan Bansal: So again, like I mentioned earlier, we believe that our cash flows are very healthy, and we are able to manage our working capital very well, having said that, we are always on the lookout for lower cost of financing, both from India and abroad for funding our working capital and growth plans.

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Rishabh Gang : Also lower revenue coming for us -- like a very small percentage of revenue comes from operations and maintenance, right?

Sharan Bansal: Currently, yes, we don't have much revenues coming from there. However, in the coming years, we do expect some good revenue to come from that operation and maintenance services as well.

Rishabh Gang : And that should have a higher EBITDA margin, right?

Sharan Bansal: Yes, for sure.

Rishabh Gang : So what kind of business -- like from which segment will you be able to give this O&M business? Any idea on that side?

Sharan Bansal: It will be in our Infra segment. Specifically the telecom sector.

Moderator: Ladies and gentlemen, we are taking this as a last question. I would now like to hand the conference over to the management for closing comments.

Shiv Shankar Gupta : We are confident of delivering profitable revenue growth with a consistent margin in the current year and expect to gross revenue growth in excess of 25% each year for the next 2 financial years on back of funding Engineering and Infra contracts, an improvement in Polymer segment performance. Our diversification into international markets and sectors will help us to pick -- choose higher -margin orders coming our way and provide us an opportunity to be spoilt for choices across the sector, aiming to continued better margin performance, improve bottom line profitability and capital we can ensure in the coming quarters.

The company's efforts towards sustainable business practices will help to achieve its goal by making meaningful contributions to the national and global infrastructure. We appreciate your continued support and look forward to interact with you again in the next quarter. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Dated: 2nd November, 2024

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 30th September, 2024

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 29th October, 2024, on Unaudited Financial Results of the Company for quarter ended 30th September, 2024.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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"Skipper Limited
Q2 FY '25 Earnings Conference Call "
October 29, 202 4

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL
OFFICER – SKIPPER LIMITED
MR. ADITYA DUJARI –GENERAL MANAGER FINANCE
AND INVESTOR RELATIONS – SKIPPER LIMITED

MODERATOR : MS. NIDHI SHAH -- ICICI SECURITIES

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Skipper Limited
October 29, 202 4

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Moderator: Ladies and gentlemen , good day, and welcome to Skipper Limited Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi Shah from ICICI Securities. Thank you, and over to you, ma'am.

Nidhi Shah: Thanks, Palak. Good afternoon, everyone. Today, we welcome the management of Skipper for discussion of the Q2 FY '25 performance. Management team is represented by Mr. Sharan Bansal, the Director; Mr. Shiv Shankar Gupta, the CFO; Ms. Aditya Dujari, GM, Finance and IR.

So over to you, Mr. Sharan for opening remarks, and then we will open the floor for Q&A.

Sharan Bansal : Thank you, Nidhi. Good afternoon to you all and thank you for your continued interest in Skipper. Please take note any forward -looking statement made during this call must be reviewed in conjunction with the risk that the industry and the company face. Some of the key operational and financial highlights in comparison to the previous year quarter were as follows .

I'm pleased to inform you that the company registered its best -ever second quarter revenue of INR1,109 crores and a half year revenue of INR2,201 crores, reflecting an impressive 44% and 66% growth, respectively. This success has been driven by our strong execution in Engineering and Infra segment. The segmented revenue breakup are as follows: Engineering, INR845 crores, up by 42% over previous year quarter. Infra segment, INR160 crores, up by 149%; and Polymers, INR104 crores, down by 7%.

Now moving on to our quarterly financial performance. Our reported consolidated EBITDA increased to INR112 crores, up by 53% while operating EBITDA margin improved to 10.1% against 9.5% in previous year quarter. The operational margins saw growth across all segments with engineering rising to 11.5% from 11.2%. Infrastructure segment surging to 6.5% from 3.

5% and polymer improving to 4.6% against 4% in previous year quarter. Going forth also, we will see a consistent margin performance from all our business segments.

The management focus continues towards bottom line improvement. The consolidated PBT increased by 56% to INR44.4 crores and PBT margin at 4% of sales for the current quarter period against INR28.6 crores in previous year's quarter. The consolidated PAT numbers increased by 66% to INR32.9 crores against INR19.8 crores in previous year quarter while PAT margin improved to 3% of sales.

Our half year performance highlights were as follows: We achieved our best ever half year revenue performance. Revenue of H1 FY '25 increased to INR2,201 crores against INR1,327 crores in H1 FY '24, registering a growth of 56%, with margins at 9.9%. Half year export revenue grew 23% to INR410 crores from INR324 crores last year while consolidated PAT 9KIPPER _ , __ Skipper Limited
October 29, 202 4

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increased to INR65.4 crores against INR36 crores in previous year first half, registering a growth of 81%. The PAT margin to sales improved to 3% of sales.

On the order front, I'm happy to inform you yet another good quarter for us. During the quarter, company secured significant sized domestic contracts from PGCIL and several SEBs and export markets, North America and South America, contributing to a total inflow of INR1,660 crores during the period and taking our H1 '25 YTD inflow to INR2,425 crores. The current order book stands at INR6,590 crores, which is the highest ever in company's history and is well diversified across sectors and segments. The order book to engineering and infra segment sales now stands at 2.3x of FY '24 sales.

The tender pipeline remains deep with the current bidding pipeline also near to all-time high levels, reflecting strong opportunities in both domestic and international markets. The vibrant domestic T&D environment aligns with Skipper's commitment to leverage India transmission sector growth with the government's focus on scaling renewable grid infrastructure and improving electrification, Skipper is poised to support this growth.

Our qualification to undertake EPC projects at the highest voltage level of 765 kV and 800 kV gives us a strong advantage as we are among the few companies in the country with the capability to execute these high-voltage projects backed by years of expertise and experience. The CEA, Central Electric Authority has projected an investment of INR9.15 lakh crores in the power transmission sector by 2032, driven by an expected 30% increase in interstate transmission line additions.

This landscape presents immense growth opportunity for our sector and our company. Furthermore, the global shift towards renewable energy integration and carbon neutrality represent a multi-decade opportunity and we are well positioned to capitalize on those trends. Further, the company looks forward to tap emerging opportunities in sectors aligned with the government's rising interest.

Skipper's rising diversification into the business of telecom, railway electrification, water EPC and drip irrigation has tremendous potential aiding to strengthen the revenue stream. In conclusion, Skipper Limited continues to deliver strong operational and financial performance, driven by our focus on execution excellence, strategic initiatives and prudent financial management. We remain optimistic about the future and are confident in our ability to create long-term value for our stakeholders.

Thank you, and I'm happy to take questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Welekar from Axis Securities. Please go ahead, sir.

Aditya Welekar: Yes. Thanks for the opportunity, sir. Congrats for the good set of numbers. Sir, I want to understand what is the capacity utilization

of our engineering division in this quarter? And in conjunction with that, what is our status of 75,000 ton expansion, which was expected by Q1 FY '26 and then the next phase of 75,000 ton in the subsequent year? 9KIPPER _ , _

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Sharan Bansal : Thank you. So, the capacity utilization for this whole year, we expect it to be near about 85% and that is more or less the optimum capacity utilization that we can target to achieve in our business. The capacity expansion of 75,000 is well on track. We should be looking to commission it by the end of this financial year. And subsequently, we haven't yet taken up the next year's capacity expansion plan. That we will be taking up those plans towards the -- in quarter 4, please.

Aditya Welekar: So, are you confident that the kind of order flow and demand we are seeing we will be able to cater to that with this expansion plan, and there will not be any missed opportunity on that front?

Sharan Bansal : We believe, yes. So even with the capacity expansion of 75,000, we believe that we are well on track to capture whatever demand opportunities are available in the market. And we will be able to grow both on the top line and bottom-line front with this capacity expansion.

Aditya Welekar: Sir, my second question is on the INR600 crores of fund raise. So I understand you have a CapEx of INR800 crores lined up for next 4 years. And with that, we are looking to raise INR600 crores through any kind of equity instrument or some other instruments. So any update on that? When are we going to place -- when are we going to raise that fund? And what will be the medium to raise that fund?

Sharan Bansal : Yes. So as of now, there is no defined timeline. The company has taken an enabling resolution by the Board. So this will -- this is valid for one year's time. So we will look at the opportune time and go for this fund raise.

Aditya Welekar: And our CapEx of INR800 crores, the guidance which you have given is in line, right, means there is no change in that?

Sharan Bansal : As of now, this is only an estimation. Of course, we decide our capex plan on an annual basis. So like I mentioned earlier that for next year capex, we will be deciding by quarter 4 of this year. So subsequently, we will be deciding on an annual basis. But yes, the INR800 crores of capex is estimation only as of now, it is not a final plan.

Moderator: The next question is from the line of Darsh Solanki from Axis Securities. Please go ahead, sir.

Darsh Solanki: Sir, my question is in relation to the order book pipeline. So, I understand during the Q1 FY '25, our order book pipeline stood at INR18,000 crores. So can we get an estimate of the current order book pipeline?

Sharan Bansal : It is near about at a similar level, please.

Darsh Solanki: Similar levels. So, the breakup of the segments and domestic and export would also be similar like that of in Q1 FY '25, correct?

Sharan Bansal : More or less, yes. 9KIPPER __ , __

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Darsh Solanki: Understood. And sir, my second question was in relation to the market share. So like in previous call, you had mentioned that we have a 10% to 15% market share in the high-voltage transmission line. So is there any update on that? Or we are in the same range?

Sharan Bansal : We continue to be in the same range.

Moderator: The next question is from the line of Abhijeet from ICICI Securities. Please go ahead, sir.

Abhijeet: Thank you for the opportunity and congratulation on great quarter. Sir, first question is despite significant revenue growth in the last 6, 7 quarters, the margin has remained largely range bound. So why is there no operating leverage benefit that is visible despite revenue growing north of 30%, 40% in the last 6, 7 quarters? And we have remained largely in the 9.5% to 10% range.

e.

Sharan Bansal : So, if you see that the -- on a PBT basis, company has got the benefit of operational leverage and the PBT margins used to be below 3% earlier, now are in the range of 4%. We believe that there is further opportunity for this to grow as well as the EBITDA growth. And certainly, there will be margin improvement in the long run despite the revenue growth that the company is planning.

Abhijeet: Sir, on the export front, the PBT mentioned that we have bagged about INR300 crores plus of orders from the Americas. So here, can we expect strong orders from the region on a recurring basis now? How do we look at the order inflow scenario coming in from Americas? That has been one of our target geographies.

Sharan Bansal : So, management continues to remain focused on the export market, and this is -- obviously, these order inflows are in line with our commitment to all international markets, especially the developed geographies in North America, Europe and Australia. However, as I've shared earlier that the order conversion cycle in this market is slow.

So, we cannot expect that there will be significant improvement in the near future in the order inflows from these markets. For the near future, we are more bullish about the domestic market. However, we continue to remain focused in these export markets and increase our penetration.

Moderator: The next question is from the line of Rohna Vora from Envision Capital. Please go ahead, sir.

Rohna Vora : Sir, my first question was on the contract liabilities that appear on the balance sheet. So that number has declined substantially in the first half. And that probably also has resulted in a lower operating cash flow. So, any comments on that was the first question?

Sharan Bansal : So I think contract liabilities are the advances from customers. And it is as the projects are executed, then the -- it is only a function of those advances getting adjusted. And probably as we are -- as the new order inflows are also coming in, those advances will likely come in, in quarter 3, quarter 4. So again, this will be range bound as well. 9KIPPER __ , __

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Rohna Vora: And the second question was on the mix between product and EPC. So what is the mix that we envisage and want to have over a long term?

Sharan Bansal : Most of the domestic projects that the company is getting are on EPC basis. So that will continue. It's hard to put maybe a percentage on that right now. So maybe a 75-25 ratio can be assumed going forward for the domestic orders. Of course, for international, 100% is supplies only.

Moderator: The next question is from the line of Gunjan Kabra from Niveshaa y. Please go ahead.

Gunjan Kabra: First, is that are we planning to enter any new segments in terms like railways we are already present, like the goal driver which you mentioned in your commentary, rural railway electrification so are we -- how much of the total revenue is coming from railways right now? And are you focusing on that side a little more? And any newer segments that we plan to enter and focus more on the EPC with tower? Or how do we plan in terms of substations or EPC or railway electrification?

Sharan Bansal : So currently, the company's other diversification that the company has already undertaking and what we are doing right now is in the area of telecom and telecom towers, railway electrification as well as water EPC. Currently, all these divisions put together make up about 20%, 25% of our sales. We, in the future, we may look at other opportunities within the power

transmission and energy transition spaces. So there are plenty of opportunities as we -- as I shared in my comments earlier that the government had projected an investment of INR9.15 lakh crores up till 2032. So certainly, there will be a lot of other opportunities in other allied areas as well.

Gunja

n Kabra: Secondly, the working capital days has increased a lot. So is it -- and how are we planning to manage that in terms of inventory days and payable days as well? Or are we targeting to keep some days in mind? Or how are you planning to improve this?

Sharan Bansal : So in fact, if you compare to last year, the working capital number of days has gone down. We were at...

Gunjan Kabra: In September, it has increased a bit. So is it because of the midyear or is it because of...

Sharan Bansal : No, ma'am, it has gone down. Currently, our working capital days is about 62 compared to 87 in the previous year.

Unknown Executive 87 in March.

Sharan Bansal : 87 in March, I'm sorry.

Gunjan Kabra: Okay. How should we judge the incremental demand for towers to come in? For instances like, for example, 100 gigawatts energy transition is happening. So now the whole transmission lines have been set up, so when you...

Sharan Bansal : Hello. I'm not able to hear you. Hello? 9KIPPER _ , _

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Moderator: Hello, Ma'am? As there is no response from the participant, we will move ahead to the next question. The next question is from the line of Jainam Jain from ICICI Securities. Please go ahead, sir.

Jainam Jain: Sir, my question is the ordering and capex in the Power segment has been overwhelmed in FY '24 and so far, good in FY '25 as well. So do we expect the same momentum to continue in ordering in FY '26 as well?

Sharan Bansal : Yes, absolutely. As I mentioned just in the previous lady who was questioning, the government CEA has projected a total capex of INR9 lakh crores up till 2032. So we expect this capex momentum to definitely continue for the next several years.

Jainam Jain: And sir, despite the recovery in the margins, polymer products are seeing falling margins. Why is that, sir?

Sharan Bansal: In polymer, the revenue has taken a slight hit, we have degrown revenue by about 7%. And there are some reasons for that particularly like destocking by the channel partners due to price volatility. There's been some slowdown in water projects like J JM, which have impacted the project sales. This is the Jal Jeevan Mission I'm talking about. However, the company continues to focus on channel expansion and brand creation for long-term growth, and we expect sales to recover in the coming quarters.

Moderator: The next question is from the line of Amit Kumar an individual Investor.

Amit Kumar : Sir, my question is could you provide some guidance for FY '25 and '26 for top line and bottom line?

Sharan Bansal : So we expect continued growth in top line and bottom line. And Obviously, the company has a strong order book and execution has been strong, as you can see in the performance of the last 4 or 5 quarters.

Amit Kumar : And I think I heard that there's a bid pipeline of around INR18,000 crores, if I'm right. So what would be our hit ratio like out of INR18,000 crores of bids, how much we can expect on our past experience basis?

Sharan Bansal : In the past, our experience has been about 25% to 30% hit ratio on the bid pipeline.

Amit Kumar : And are we L1 in any of the projects?

Sharan Bansal : That's not the company's policy to disclose where we are L1 because until and unless the orders are received, we are not disclosing anywhere where we are at.

Moderator: The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, just to quantify the top line guidance, we are seeing 25% CAGR over next 2, 3 years. So that still holds, right? And second question is on the polymer side. So we are targeting

INR1,000 crores of revenue there. So any colour on that? 9KIPPER _ , _

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Sharan Bansal : Like I mentioned earlier that polymer -- in polymer business, we are continuing to focus on channel

expansion and brand creation. We are a good brand in certain markets, particularly the Eastern region markets. And in other markets, we are a good challenger brand. We operate in the premium category pipes, which are the branded categories. So certainly, the long-term prospects of this business are very good.

Moderator: The next question is from the line of Rohna Vora from Envision Capital.

Rohna Vora : So sir, one question was if the export mix has to go down. You said you were focusing on the domestic side of it as of now and the...

Sharan Bansal : Sorry, I'm not able to hear you, sir.

Moderator: As there is no response, we'll take next question. The next question is from the line of Gunjan Kabra.

Gunjan Kabra: Sir, I wanted to understand that how does the incremental demand for tower work? Like suppose right now, there's a whole energy transition that is happening. For example, now 100 gigawatts has been installed, so new transmission lines are getting installed. So with incremental 25 gigawatts, for example, that gets installed in 1, 1.5 years, then will the tower demand increase incrementally? Or will the current lines take care of 125 gigawatts itself? So I wanted to understand how does that dynamic work?

Sharan Bansal : Ma'am, that will actually depend on the transmission system planning for that region because maybe the transmission line system in that region already has some redundant capacity available, where the additional capacity can be loaded. However, considering that renewable power is intermittent, and it is not very predictable. The generation flow is not very predictable.

In general, what we have seen is that most large renewable additions necessarily have to have significant investment in transmission networks to properly connect them to the grid and in a reliable manner. So that is general experience. So, it is difficult to put a number to say that 25 gigawatt of addition, how much exactly will it lead to increase in towers. I think the better metrics will be to look at the overall transmission capex that is happening. I think that will give a better colour of the growth in demand.

Moderator: The next question is from the line of Dhruv Aggarwal, an Individual Investor.

Dhruv Aggarwal: Sir, firstly, on the international front in the Middle East, Australia and Latin America, how is the demand outlook there, sir? Or are we facing any issue on that front, sir? Firstly that question.

Sharan Bansal : The demand outlook is decent. And like we are also -- as I mentioned earlier, we are strong in the Latin America market and we are increasing our penetration in North America, Europe, Australia and these kind of other developed markets. So I say that we will continue to see export business grow for the company. However, as I have mentioned in the past also that export business, the conversion cycle takes time from RFQ to award. And that is what we are 9KIPPER __, __ Skipper Limited

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witnessing that there is -- the orders don't flow in at that faster pace as what we see in the domestic market.

Moderator: The next question is from the line of Aryan Vijan from RV Investments. Please go ahead.

Aryan Vijan : My question is regarding the industry outlook. How do you see the industry going from here?

Sharan Bansal : Industry outlook is obviously very positive. As I mentioned that CEA has projected an investment of INR9.15 lakh crores in the power transmission sector by 2032 and this will be driven by an expected 30% increase in intrastate transmission line addition. So certainly, the industry outlook is very, very positive.

Aryan Vijan : And when will be the debt reduced?

Sharan Bansal : When will be?

Aryan Vijan : Debt reduced.

Sharan Bansal : I'm sorry, could you please repeat.

Aryan Vijan : When will be the debt of the company reduced?

Sharan Bansal : When will the debt be reduced?

Aryan Vijan : Yes.

Sharan Bansal : So the company has a very manageable level of debt. Out of our total top line last year of INR3,200 crores, our debt as of March '24, was only at a level of about INR550-odd crores. So we believe that the debt is quite at a manageable level. The debt equity of the company was also at a comfortable level. And as the company enjoys better and better profitability, of course, even despite our capex, we expect that the debt to remain at a manageable level.

Moderator: The next question is from the line of Dhiral Shah from PhillipCapital.

Dhiral Shah: So what percentage of order book is infra related?

Sharan Bansal : So currently, the total order book is about 85% domestic and 15% export. On the domestic front, you can assume about 70% to be infra and 30% to be products. So maybe about on the total, maybe 50% to 60% order book would be infra.

Dhiral Shah: And sir, what will be your projected infra revenue guidance for FY '25, '26?

Sharan Bansal : I'm sorry, I'm correcting. One minute. 30% would be infra. Total order book is 30% infra. 30% would be infra.

Dhiral Shah: So 70% would be product related?

Sharan Bansal : Yes. 9KIPPER __ , __

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Dhiral Shah: And sir, what will be our projected infra revenue guidance for '25, '26?

Sharan Bansal : If you see this quarter also, there has been significant growth in infra revenue. And it's hard to put a guidance on that because infra revenue can vary from quarter -to-quarter in -- depending on the project execution. However, it will be an upward trajectory.

Dhiral Shah: So will there be any margin improvement on the infra project side as we improve our infra revenue?

Sharan Bansal : Yes, we can expect incremental margin revenue in infra segment also.

Dhiral Shah: Sir, any particular range that we can guide for on the infra revenue side on the margin side?

Sharan Bansal : We don't have -- no, currently, I'm sorry, we don't have a guidance on the margins for the infra.

Dhiral Shah: Sir, second question is, sir, despite the decline in the working capital days, our short-term working capital requirement has remained on the higher side, if you look at on a Y-o-Y basis.

Sharan Bansal : Short-term working capital. Sir, if you see our last year short-term debt was about INR428 crores. This year, the -- yes, last year as of September '23, which as of September '24, the quarter just ended it is at INR366 crores. So there is a reduction of about INR62 crores.

Dhiral Shah: So if I look at your borrowing current liability, it is showing a figure of INR441 crores.

Sharan Bansal : Its current liability. Current liability would include...

Management: Will also include the 12-month time frame of the long-term liabilities which are getting due.

Dhiral Shah: Current maturities.

Sharan Bansal : Current maturities of long-term loans, yes. Okay.

Dhiral Shah: And sir, lastly, on the polymer side, what is our growth guidance for next few years because since it is not working as per our expectation due to the macro environment, which is there. So when you are guiding for '25 or maybe 20%, 25% growth, is it same for the polymer also or polymer would grow a little bit on the lower side?

Sharan Bansal : No, I think polymer will be similar across what we are guiding for the company.

Dhiral Shah: And sir, what would be the margin guidance on -- again on the polymer side since we have improved our margins. But overall, if you look at over next two years, what kind of polymer EBIT margin we can achieve?

Sharan Bansal : See, the industry average is at about 13%, 14% plus. So we believe that we obviously aspire to achieve the industry average in the long-term basis. It is difficult to put a year-wise guidance on that target.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital. Please go a

head. 9KIPPER __ , __

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Alisha Mahawla : Sir, two questions. Sir, earlier in the call, you mentioned that you're operating at peak utilization. And generally, our business tends to be slightly H2 heavy. In light of the current capacity we have, is it right to assume that maybe the quarterly run rate we've been seeing in the last 2, 3 quarters is what will continue until the new capacity comes on stream?

Sharan Bansal : Could you repeat your question, ma'am?

Alisha Mahawla : Sure. You mentioned that you're currently operating at 85% capacity utilization, which is peak. And with new capacity coming towards the end of the year, is it right to understand that the quarterly run rate that we're seeing since the last two, three quarters is what will continue till new capacity comes?

Sharan Bansal : No. See, the quarterly run rate, which we've achieved in the last few quarters, has probably been at an elevated level because we hadn't achieved our capacity utilization, where now we have achieved our capacity utilization. Now obviously, it will be difficult to achieve that kind of run rate which we have been delivering in the last few quarters.

Alisha Mahawla : What I'm trying to understand is the INR1,000 crores, INR1,100 crores kind of quarterly run rate is what will sustain till the new capacity comes?

Sharan Bansal: Of course, absolutely. And once the new capacity comes online, of course, definitely, we should be expecting an improvement in that.

Alisha Mahawla : Understood. And we've obviously seen very healthy order inflow in H1. Any order inflow guidance for the year or expectation for H2?

Sharan Bansal : Ma'am, we are reluctant to give any number guidance. However, you see the market is obviously very favourable and there are strong tailwinds in the sector. We expect that order inflow will continue to be strong in H2 also.

Alisha Mahawla : Sure. And last question, with the kind of demand that the industry is witnessing, I'm not sure in the last decade, if this kind of demand was there, are we seeing entry of new players, maybe competitive intensity picking up, which means that margins could be impacted because of irrational bidding by some players?

Sharan Bansal : No, I think, ma'am, right now, see, for new players, obviously, do come in all the time in the business, and we welcome healthy competition. However, because we are operating in the extra high -voltage category in the 765 kV, 800 kV category, where it takes time for companies to build up both the capabilities as well as the credentials for them to be qualifying in this category of voltage levels. So, I believe that we are not seeing any undue competition and we're not seeing any irrational bidding because there is enough business for all the qualified players in our categories.

Alisha Mahawla : And sorry, I wouldn't miss this, but is there an aspiration of what do we want the revenue mix to be between engineering and infra, say, three years down? 9KIPPER _ , _

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Sharan Bansal : No. As of now, we don't have any such targets. We'd like to see both the divisions grow healthily and profitably.

Moderator: The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: So just one question. So, I believe in a recent interview, you had made a few statements which our guidance is. So one, you have said that you aim for 25% CAGR over the next three years.

Second is you aim to reach INR10,000 crores top line in the next few years, mostly expected by FY '29. And the last one is you expect the margins to improve ahead around 11% over the next two to three years. And you say it's certainly possible. So, do you still stand by these statements? And if so, what is supposed to drive this kind of growth and expansion in margins?

Sharan Bansal : Yes, absolute

ly. I think all those expectations are definitely still continuing. And our performance in quarter 2 has also been in line of the same. And what will be driving is the project better contracts, better quality of contracts in light of the new market opportunities, better export penetration, as we have displayed in the -- like in this quarter also, we've got orders in North America. And with now the better capacity utilization, which we are now in the range of as well as more cost efficiency driven by the newer investment that we will be making in our plants. I think all of that will help in driving margins upwards.

Rahil Shah : You're already at 10%, right? Why only this 1% improvement in three years' time?

Sharan Bansal : Well, we'd rather be conservative and outperform. Obviously, the aspiration will continue to do better. However, we are looking at good top line growth in the next few years also. So I believe that a good top line growth combined with a reasonable bottom -line growth is the way forward.

Rahil Shah : And lastly, can you please reiterate for me, when you expect the expansion to be ready, the 75,000?

Sharan Bansal : This will be by the end of this financial year, by March.

Moderator: The next question is from the line of Arafat Saiyed from InCred Research.

Arafat Saiyed: Sir, firstly, congrats on a great set of numbers. My first question is on TAM. Let's say, you discussed about the national electricity plan in which the government is looking to spend almost INR9.2 lakh crores over the next 7, 8 years. So can we get, let's say, some sense of what amount can we qualify, let's say, in terms of TAM for our company like our T&D and product details?

Sharan Bansal : We expect based on our current line of business, our addressable market to be about at least 40% to 50% of this INR9 lakh crores. And in the future, we will be targeting to expand our products and services. So we will be targeting to play -- increase our TAM to cater to the other 50% also. 9KIPPER _ , _

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Arafat Saiyed: So let's say, if we get close to, let's say, INR3.5 lakh crores of TAM over the next 7, 8 years, what amount of, let's say, can we get as an order inflow? If we -- can we get around 20%, is that right figure for the next 7, 8 years?

Sharan Bansal : So I think the orders will depend on how much we can execute successfully and what our capacity expansion will be. So I believe that the market is much larger than what we can cater.

So I would not like to put a percentage of what we can cater but I believe that based on our execution capability increase and our capacity increase, that is what will decide how much orders we will be able to take inflow.

Arafat Saiyed: Got it, sir. Sir, next is on the order inflow. So if you look at for the quarter, although the order inflow jumped around 9%, but that was largely driven by the export inflow, which has doubled. But if you look at domestic it was largely flat for you, while, let's say, KEC & Kalpataru, I believe they reported much, much stronger domestic inflow. So any thought on that? Can we -- have you lost some, let's say, market share or opportunity in the T&D ordering?

Sharan Bansal : See, the overall order inflow has to be seen on an annual basis. I have maintained that in the past quarters. They may have variances like, for example, quarter 1 was low order inflow at only about INR700 crores, but quarter 2 was quite healthy, about INR1,500 crores plus. So on a quarter-to-quarter basis, there will be variances depending on when the projects are getting finalized. Like for example, in quarter 1 this year and most part of quarter 2, there was a delay in ordering due to the general election. However, now post-election, the ordering activity has picked up quite sharply. And that's what we are seeing the inflows now. I believe that looking at the mar

ket, we will be well on track to gather whatever orders that we are targeting and whatever our capacity can fulfil.

Arafat Saiyed: Sir, lastly on, let's say, can you give up, let's say, from where you got this order especially on export front, be it, let's say, I think you are very strong in, let's say, country like Australia, Middle East. So any thought on geographical inflows can guide me on that?

Sharan Bansal : These particular orders were received in South America and North America.

Moderator: The next question is from the line of Abhijeet from ICICI Securities. Please go ahead, sir.

Abhijeet: Sir, my question is, what is going to be our strategy on the T&D EPC front? So last two to three years, we have gotten more serious on the EPC side of the T&D, right, in addition to our product supply. So going forward, are we going to be more serious in terms of bidding there? And what kind of order inflow can we expect from the EPC business of T&D?

Sharan Bansal : I think, Abhijeet, the EPC business, which the company does is very strong forward integration for our product business because obviously, we are very strong in our products, and we are one of the most competitive and integrated T&D structure manufacturers in the world. So obviously, that gives us a big benefit in being competitive for EPC projects also in whatever we cater to. And that will continue to be the trend as long as market has enough opportunities for profitable projects, the company will continue to target them. 9KIPPER _ , __

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Abhijeet: Right. Because as far as I understand, in the current order book, the T&D EPC component share remains not substantial because 30% order book is from infra and that also includes your BSNL order. So that means that T&D EPC is not a major part of the current order book, right?

Sharan Bansal : So I'd like to clarify that when we speak of an EPC order that has a combination of product orders as well as infra orders because we recognize the revenue of the product in our engineering segment, the revenue of the services in the infra segment only. So whatever execution or whatever order book, which I had mentioned in the infra segment, that is only one part of the EPC projects that the company has. Overall, if you look at it, the company has significant EPC projects in the T&D space.

Abhijeet: Okay, understood. Secondly, sir, can you throw some light on the telecom order inflow? I mean, after FY '23, wherein we bagged the big orders from BSNL, if I'm not wrong, there has not been a significant order coming in from that particular business side. So we talked about 5G expansions happening, a lot of talk on that from the private payers as well. So going forward, is there any discussion of any large orders that we are witnessing right now from the private players?

Sharan Bansal : There are order inflows on a regular basis from private players as well. And every quarter, we see some orders. But however, yes, there have been no large orders like the one we saw from BSNL in the previous year. And obviously, currently, our execution capability is also fully booked with the T&D ordering right now.

Abhijeet: Sir, lastly, what is the balance of the BSNL order in our order book right now that is yet to be executed?

Sharan Bansal : Approximately INR1,200 crores to INR1,300 crores.

Moderator: Ladies and gentlemen, due to time constraints that was the last question. I would now like to hand the conference over to the management for closing comments.

Sharan Bansal : Thank you. We appreciate your continued support and look forward to interacting with all of you again in the next quarter. Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and

you may now disconnect your lines. 9KIPPER _ , _

Call: Feb 2025

Dated: 11th February, 2025

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 31st December, 2024

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 6th February, 2025, on Unaudited Financial Results of the Company for quarter ended 31st December, 2024.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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"Skipper Limited
Q3 FY '25 Earnings Conference Call"
February 06, 2025

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL
OFFICER – SKIPPER LIMITED
MR. ADITYA DUJARI – GENERAL MANAGER FINANCE
AND INVESTOR RELATIONS – SKIPPER LIMITED

MODERATOR : MS. NIDHI SHAH -- ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Skipper Limited Q3 FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now have the conference over to Mr. Abhijeet Singh from ICICI Securities. Thank you, and over to you sir.

Abhijeet Singh: Thank you. Good evening, everyone. Today, we welcome the management of Skipper for discussion of the Q3 FY '25 performance. Management team is represented by Mr. Sharan Bansal, the Director; Mr. Shiv Shankar Gupta, the CFO; and Mr. Aditya Dujari, GM, Finance and IR. So over to you, Mr. Sharan for opening remarks, and then we will open the floor for Q&A.

Sharan Bansal: Thank you, Abhijeet. Good afternoon, everyone, and welcome to Skipper Limited quarter 3 FY '25 earnings conference call. I'd like to extend my gratitude to all our investors, analysts, stakeholders for your continued interest and support. Before we proceed, I would like to remind you that certain statements made during the call may be forward-looking in nature, and should be reviewed in conjunction with the risk and uncertainty associated with our industry and businesses.

I am pleased to share that our company continues to deliver strong and consistent performance, maintaining its trajectory of order book expansion, revenue growth and profitability improvements over multiple quarters. Some of the key operational and financial highlights in comparison to previous year quarter were as follows. In quarter 3 FY '25, we achieved our highest ever third quarter revenue of INR1,135 crores, reflecting a remarkable 42% year-on-year growth.

The sustained growth was primarily led by our engineering business, which continues to benefit from strong demand, a diversified client base and best-in-class manufacturing capability. On the profitability front, our consolidated EBITDA increased by 44% year-on-year to INR110 crores, with operating EBITDA margins improving to 9.8% from 9.6% last year. Finance cost as a percentage of sales improved to 4.4% from 4.9%, reflecting better working capital efficiency and improved working capital management.

Consolidated PBT grew by 67% to INR48.4 crores, with a PBT margin of 4.3%, while PAT increased by 76% to INR36.1 crore, transmitting to a PAT margin of 3.2%. For the 9-month period, we recorded our highest ever revenue performance reaching INR3,336 crores, a 57% year-on-year growth.

Our export revenues increased by 36% to INR594.6 crores, now contributing 23% of our engineering segment revenue, highlighting our growing presence in international markets. Meanwhile, our consolidated PAT surged by 80% to INR101.4 crores with PAT margins improving to 3%.

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Moving to our order book and business outlook. We continue to build strong visibility for future revenue growth. In quarter 3, we secured INR1,318 crores of new orders, taking our year-to-date order inflow to INR3,743 crores, a 19% year-on-year increase. Our order book now stands at INR6,354 crores, reflecting a near all-time high backlog and reinforcing our leadership in the domestic power T&D segment with major contract wins from power grids, various state electricity boards and private TSOs.

Additionally, as we expand our global footprint, our international order pipeline is poised for acceleration backed by rising infrastructure investments and increased manufacturing capacity. The Indian transmission and distribution sector remains in a high-growth phase, fuelled by the government's focus on renewable energy integrat

ion, grid modernization and large-scale electrification initiatives.

Our qualification to execute high-voltage EPC projects at 765 kV and 800 kV gives us a distinct competitive edge, making us one of the few companies in India of undertaking these technically advanced projects. According to CEA, the power transmission sector is expected to witness investments of INR9.15 lakh crores by 2032 with interstate transmission line additions projected to grow by 30%. This presents significant long-term opportunities and Skipper is well positioned to capitalize on these sectoral tailwinds.

Furthermore, the global transition towards renewable energy, electrification and carbon neutrality presents a multi decade growth opportunity. And our strategic investments, strong execution capabilities and deep industry expertise will enable us to play a pivotal role in shaping the future of power infrastructure.

In line with our growth and diversification strategy, we have embarked on expanding our EPC capabilities beyond transmission lines to include substation EPC, an area that offers significant margin potential and strong demand prospects. We are favorably positioned to secure our first

major substation EPC project, marking an important milestone in our infra growth journey. Further, as part of our commitment to operational excellence and digital transformation, we are in advanced stages of implementing SAP S/4HANA RISE, a next-generation ERP platform that will drive efficiency, scalability and real-time decision-making across our operations. This strategic move is aimed at enhancing productivity, optimizing resource utilization and strengthening our competitive edge in a rapidly evolving business environment. On the financial front, we have further strengthened our liquidity position, having received INR148 crores from the pending call money proceeds of our rights issue. This will allow us to reinforce our working capital base, optimize finance costs and ensure greater financial flexibility to fund our future growth initiatives. With strong financial performance, a robust order pipeline and strategic expansion into new growth areas, we are well positioned for sustained long-term value creation. Thank you for your continued trust and support as we lead the way in advancing power infrastructure and meeting global energy demands.

Thank you, and I'm happy to take your questions now.

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Moderator: The first question is from the line of Dhvij Patel from Finterest Capital.

Dhvij Patel: So congratulations on a good set of numbers. I just had a couple of questions. So sir, the 75,000 ton expansion that we had guided for Q1 of FY '26, I just wanted to know what is the update on that? And has the facility started?

Sharan Bansal: No, part -- we are looking to commission part of the facility within quarter 4 and some amount of the commissioning will spill over to quarter 1 next year. So -- but we are expecting to commission a major part in quarter 4 itself.

Dhvij Patel: And what revenue are you expecting from that in Q4 itself?

Sharan Bansal: No. Within Q4, we are not expecting any additional revenue from the new capacity expansion. It will start coming from quarter 1.

Dhvij Patel: So what about the next fiscal year, the entire expansion?

Sharan Bansal: For the entire year, we will have to see how soon we can get to full capacity utilization for this new expansion. But looking at the order book position and strong demand from all our existing contracts, we feel that we should be able to achieve full utilization soon in this capacity. But I don't have any firm -- the overall revenue potential of this capacity expansion is about INR700 crores.

Dhvij Patel: And sir, are we planning for the INR200 crores of capex for the next fiscal year since we were targeting INR800 crores over 4 years? And also, which segment would it primarily focus on?

Sharan Bansal: Y

es. I think as we have guided earlier that most of our capex will be happening in the engineering segment only. And yes, we are in line for further capex next year as well.

Dhvij Patel: And sir, engineering products have seen a slight drop in the margins. So I just wanted to know what has led to that?

Sharan Bansal: No, I think -- see, quarter-on-quarter, it is difficult to predict margin movement because margins are a function of the various contracts being executed. But overall, in the year, we will be in line with our margin expectations. And of course, we are looking at margin improvement going forward as the non-T&D portion of our revenue as because next year, we are not -- we are expecting very minimal execution in the non-T&D side. Bulk of the execution will happen on T&D only, so we are expecting margin improvements in the coming years.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.

Manish Ostwal: So sir, a question on the interest expense as a percentage of revenue, it has declined from a 9-month perspective from 5.1% to 4.7%, so...

Moderator: Sorry to interrupt, Mr. Manish. Sir, can you speak clearly? Your audio is breaking up.

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Manish Ostwal: Yes. Yes. So my question on the interest expense in the P&L. So it has declined as a percentage of revenue from 5.1% to 4.7%. So first, can you update us in terms of net working capital scenario in the business? How many days we have -- it has improved? And what is our guidance for the next year on this line item?

Sharan Bansal: So for the 3 months, the quarter -- quarter 3, our finance cost this year is about 4.4%, compared to 4.9% in the previous financial year quarter 3. And we had...

Manish Ostwal: I'm comparing 9 months, sir.

Sharan Bansal: You're comparing 9 months. So yes. So from 4.8%, we've come to 4.7% effectively. Yes. So I think with better quality contracts and better operational efficiency, we are looking to certainly bring this number down. But we don't have a guidance to give you right now. But yes, you should see significant improvement in this head as well going forward.

Manish Ostwal: And what is the net working capital days as on 31st December in our business?

Sharan Bansal: Currently, it's 88 days as of December.

Manish Ostwal: And second, sir, if I look at our order book position, so in March 2024, we have INR6,200 crores of order book. Now it is INR6,300 crores. So from a Y-T-D basis, we -- definitely, we got INR3,700-odd crores orders, but order book growth was very muted. So how should the -- and what is the time frame of execution of this order book for the next year? Out of INR63,000 how much will be executed in the next 12 months basically?

Sharan Bansal: Yes. Actually, so as we have maintained in the past, see, there is no problem of orders. The bid pipeline is extremely strong, and there are enough orders available. It's just that because we have capacity constraints also, so we have not gone out and aggressively taking in a lot of orders and rather maybe it is difficult to get orders also beyond the execution time of 2 years.

So I would say that once the capacity -- we are able to have more capacity starting in the next financial year, then we will probably be able to target higher order growth as well. But as of now, our order intake is in line with our expectations given in the beginning part of the year.

Moderator: The next question is from the line of Abhijeet Singh from ICICI Securities.

Abhijeet Singh: So sir, you mentioned that we are entering into the substation space going forward from here.

So what would be the scope here? Are we looking at only EPC or also we are looking at supplies as well?

Sharan Bansal: We will be doing supplies of the -- all the tower structures that go into substations. But of course, that is a smaller component of the overall substation.

In substation, we'll be looking at turnkey

EPC. And a lot of our current projects also are having a substation scope, which the owner is either giving it to another substation EPC player or sometimes we are outsourcing it fully to a substation EPC ourselves. So I think having execution skills in that space will allow us to keep those margins with us as well.

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Abhijeet Singh: So sir, this revenue for the EPC for substation will be booked in the infra segment, right, mostly? Because...

Sharan Bansal: Correct.

Abhijeet Singh: Supply percentage -- I mean, the portion of supplies in substation is smaller compared to a T&D line project.

Sharan Bansal: Correct.

Abhijeet Singh: So majority of the revenue is going to get booked in the infra segment.

Sharan Bansal: Right.

Abhijeet Singh: So sir, how do we look at the scale up of this segment? Because this could open practically a huge addressable market for us. Almost half of the entire market is in substation and the other half would be in the line. So how do you look at the scale up for our business? So how aggressive are we going to go in this business in the next 2, 3 years?

Sharan Bansal: Yes, you're right that out of the total INR9 lakh crores market opportunity, roughly about half is in the substation field. And because it is directly aligned with our overall operation, which is why we have decided to venture into this area as well. It is difficult for me to put any numbers on this because as of now, we have not started winning major projects. We have just -- as I was mentioning in my con call minutes, in my opening remarks that we have -- we are favorably placed to secure our first project.

And I think our first major project, we have done some small projects in the past. So I think this is something where probably as the quarters pass, we will be able to guide better as to what our revenue and margins from this business can be. But of course, the opportunity is very, very large.

It is almost the same size as the overall transmission line opportunity.

Abhijeet Singh: And sir, like last 1 to 2 years, we have built substantial capability in terms of the EPC for the line business. So here, what are the kind of capabilities that we are building right now? I mean, in terms of capacity, okay, fine, I mean the supply component is anyways not much. But otherwise, what are the capabilities that we are building right now? And what is required to be able to scale up to higher levels? Sir, if you can throw some light on that?

Sharan Bansal: No. So, in fact, a lot of engineering strength is something that we are building up because this is a heavily engineered infra business. So yes, so I think engineering strength is what we have really focused and are building up. Execution strength in terms of manpower, equipment, I think those are the ones that we have also built up. So I think we are well placed to take some good projects in this area in the future.

Moderator: The next question is from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: Congrats for the good set of numbers. My question is on demand outlook. So just want to understand the current demand scenario on the ground in the context of some weakness in the Skipper Limited
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third quarter with some slowdown in the government capex. So what is our current bid pipeline looking like? And if you can quantify it?

Sharan Bansal: It is the bid pipeline continues to be in the range of INR18,000 crores to INR20,000 crores. And like I mentioned to the earlier caller that there are plenty of opportunities available, but as of now, we are having to be selective in choosing where to bid because, again, we are stressed for capacity. We are fully booked for the next 1.5 years and more or less booked for the next 2 years. So as we will add capacity, we will be looking to increase the biddi

ng pipeline and of course, the order backlog as well.

Aditya Welekar: And so, in that context means from 9 months or from FY '25 onwards, are we still guiding that our revenue will grow for 25% CAGR from FY '25 and for the coming 2 to 3 years and 10% to 11% EBITDA margin?

Sharan Bansal: We are certainly looking at robust revenue growth even on this elevated base. I would refrain from putting any specific guidance numbers on the growth. However, market is very, very buoyant. And to answer your earlier question, the best part about our sector is that it is not even dependent on government spending because if you see the budget allocation, transmission sector doesn't really have any allocation from the budget, the government budget allocation also towards power transmission.

So all of it is bidded in the PPP mode and whether even if Power Grid is winning project, they are bidding on the basis of the strength of their own balance sheet, and so are the private developers. And there is a lot of interest from the private developers. So I would say that business is very robust. INR9 lakh crores has to be spent in India over the 8, 9 years, the company, apart from domestic, has a growing export presence also.

So I would say that our constraint would only be our capacity increase and our execution. It will not be the market.

Aditya Welekar: Yes. So in that context of capacity constraint means what will be our top-line growth driver in that case? Because I guess we might be -- we already might be operating at a full utilization level. So means that capacity, will it not constrain our revenue CAGR for coming 2, 3 years until the new capacity kicks in?

Sharan Bansal: No, but we are adding capacity this year also. So that will also add our capacity by about 25%. Like this year, we are expanding capacity by 75,000 ton for overall our capacity base of 300,000 tons.

Aditya Welekar: And lastly, if I can, the export contribution in the order book has now come down to 11% from 15% in the previous quarter. So is there any impact of -- in the North American orders because of this new administration there? Any risk from there or you see the traction in the North American market?

Sharan Bansal: No. In fact, I would say quite the opposite. The new tariffs, if you have noted that India has been left out of the tariff as of now. And the tariffs have been specifically put on Canada, Mexico and China. So in fact, these are the countries which mostly have been -- our competitors have mostly
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been based in these countries supplying into USA. So I would say that opportunity for Indian manufacturers and exporters will be very robust in the USA market in the long run because of the hawkish stance being taken by the US government towards these places.

So on the export side, it is just a matter of -- in terms of absolute numbers, it continues to grow even on this quarter, we have grown -- our exports have grown compared to previous year quarter. So I would say that, again, once we have more capacity then we will be able to target larger export orders as well.

Moderator: The next question is from the line of Dhiral from PhillipCapital PCG.

Dhiral Shah: So sir, what will be our growth guidance in the Polymer segment particularly?

Sharan Bansal: In the Polymer segment right now, we are -- we have a lot of headroom to grow. We are currently at a low-capacity utilization in this business. So I would say that, yes, we definitely -- and the last -- and this sector has been facing some headwinds in the last 1 or 2 years due to volatile commodity prices and due to lower allocation by the government in the Jal Jeevan scheme. However, in the current latest budget, the government has restarted the Jal Jeevan scheme and

made some significant allocations to that. So I would say that we will now with the commodity prices stabilizing and our volumes increasing, and the Jal J

eevan Mission project back on track,

we certainly can expect better growth numbers in this business.

Dhiral Shah: Sir, what is your 9-month volume on the polymer side?

Sharan Bansal: The 9-month polymer volume was 22,300 tons.

Dhiral Shah: And sir, last year same time, 9-month?

Sharan Bansal: It was 24,600 tons.

Dhiral Shah: And sir, when we are entering into substation EPC side, so generally, substation EPC guys are having higher margins of almost maybe 13% to 15% or even higher. So are we also looking same kind of a margins on the substation EPC work?

Sharan Bansal: Yes, absolutely. We already, even if you look at the transmission line business, we have done better than industry margins. And certainly, in the substation business, even though we are a new player, we will expect to do at least the industry average margins.

Dhiral Shah: So over next 2 years, as you are talking about even in your opening commentary, maybe infra revenue would come down. But overall, for next 2 years, now with the substation, what kind of infra revenue growth you are expecting, sir, over next 2 years?

Sharan Bansal: So even on the existing business, even on the line side, our infra revenue will continue to grow. Substation is a new entry for us. So I don't expect major revenues to come in, in the first year.

But I would say that maybe from FY '27 onwards, we can see significant revenues in this business.

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But in the first year, FY '26 will be probably the first main year of -- for us for getting projects. So I don't expect much revenues in FY '26, but FY '27 onwards, we can expect significant revenue.

Dhiral Shah: And sir, just last one question on the order inflow side. Since now we have also expanded our capacity maybe from next year onward. So what kind of order inflow guidance we are looking for FY '26?

Sharan Bansal: Again, like I mentioned earlier that there is no shortage of orders and the demand is very, very robust. So as the new capacity has a revenue potential of INR700 crores, so I think at least along with the services revenue that come with it, so I think we can target at least the order book also to expand by minimum that much to get the -- based on the new capacity.

Moderator: The next question is from the line of Pratik Lambe, an Individual Investor.

Pratik Lambe: I have 3 questions, one on the capacity, secondly, on exports and lastly, on the infra order book or basically the non-T&D portion. Now continuing with one of the participants' questions on the capacity utilization, I just wanted to understand how do you see the margins being impacted while you ramp up the capacity of 75,000 tons, which was slated to be completed in this financial year?

And also, some color on the capacity that currently is being added, whether it's a line in the same facility or a new facility is being put up. Also, have you hired a new team, separate team, management team for it? So how should we think about margins from while we ramp up this capacity? That would be one question on the capacity front, sir.

Sharan Bansal: So on the capacity front, we are taken on an expansion of 75,000 tons this year. And it's a brownfield expansion capacity that we are doing. We have already got the team in place, majority of the team in place with some few members left to join. And I'd say that this is being done now most of our capacity expansion is being done with the view of catering to more and more developed market business.

So certainly, we are going for the best-in-class technology and plants from around the world, which can really attract buyers from developed countries. So I'd say that, that is what we are looking forward to in this new capacity expansion.

Pratik Lambe: So do you mean like it will be more of an automated facility with not much of labor involved so that element of margin dilution nature...

Sharan Bansal: So the nature of our business i

s labor intensive. So there will be labor involvement. But yes, of course, compared to our existing facilities, certainly for the per ton of output, lesser number of labors will be required.

Pratik Lambe: And on the same line, correct me if I'm wrong, apart from -- yes, may I?

Sharan Bansal: Yes. Please go ahead. Sorry, he had 2 questions. I had actually interrupted him. Please go ahead.

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Pratik Lambe: Yes, yes. Sticking to the same line, correct me if I'm wrong, apart from the 75,000 ton which was planned in FY '25, you also alluded to another 75,000 ton capacity for FY '26. Is that right?

Sharan Bansal: We will be looking to definitely keep expanding capacity as because the market is robust, both on the domestic side and on the export side. We have significant cost advantages compared to all our peers globally. So I feel that, yes, we will be looking to add capacity consistently.

Pratik Lambe: And you do not see any demand challenges in putting up another 75,000 ton as well?

Sharan Bansal: No, not at all. We don't see any demand challenge. There's plenty of opportunities everywhere in the world right now.

Pratik Lambe: And sir, just one point on the capex. How much would be the capex amount for the current 75,000 ton that we are putting up?

Sharan Bansal: We are investing approximately INR200 crores.

Pratik Lambe: Sir, the next question is on exports. Of course, we understand that the exports are currently down because of the capacity constraint, or also, there is some optical illusion because the domestic market is so robust. That's why the percentage terms in terms of contribution of the exports to the total revenue is a little lower as compared to last year.

But when the new capacity comes in, can you share some targets with respect to exports, which will also help us our margins reaching at a higher level? And also, if there is any challenges that the management sees with respect to the exports?

Sharan Bansal: So in terms of absolute numbers, see, exports are quite consistent. Just 1 minute. Yes, because I see -- so last year, the total execution of exports was about INR640 crores and this year --

Management: INR595 crores.

Sharan Bansal: This year, INR595 crores in 9 months. So already, we are close to INR600 crores. So I think in terms of absolute number, exports is growing only. But yes, in terms of percentage, definitely because domestic market has been growing so fast, which is why as a percentage, it is down.

Pratik Lambe: So even it will remain at the same percentage going ahead? Or will it grow at a higher rate?

Sharan Bansal: So long run, we definitely do expect that as we see more business. Right now, we don't have much business coming from the developed geographies. But we are anticipating large amount of business coming in from developed countries in the future. So I would say -- and even from the developing countries, once we have more capacity to allocate, then we will be able to get more business from there. So I'd say that, yes, as a percentage basis, we certainly do expect exports to bounce back.

Pratik Lambe: And just last question on the non-T&D portion, because of -- I think the slowdown in the non-T&D, whether it's telecom or water or even railways, our order book-to-bill is actually down from let's say, in FY '23, it was 3.4x of revenue, then in FY '24, it was 3.7x, and now it is to

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2.25x because of the slowdown in the order intake of the non-T&D side. So how do you see this apart from the substation other segments picking up, sir?

Sharan Bansal: See, on the non-T&D, again, anyway, the non-T&D business, company was focusing on a lot more when T&D opportunities were lesser because non-T&D business always came with a lower margin also 1% to 2% lower margin than T&D. Now that the T&D opportunities are so

robust,

st, we don't see much value in focusing on non-T&D business.

Of course, it will continue to be there in the order book as some percentage. We will not want to exit that market completely. But I would say that as a percentage basis, you can expect that it will play a lesser and lesser role in our overall order book and execution.

Moderator: The next question is from the line of Gunjan Kabra from Niveshaay.

Gunjan Kabra: So just wanted to understand on the substation EPC because we are just starting out. So will we be bidding on our own or will we be doing subcontracting for someone in the beginning and then bid the orders on our own? And also, you mentioned in the previous calls that we don't actually manufacture towers for substations because of the size and any other reason. But what will be -- what are the supplies that we actually do to substations currently and we think the margins will also expand because of that?

Sharan Bansal: Yes. So in terms of the execution, we will be doing it on our own. And also, we will be partnering with other companies for substation opportunities as a JV. In terms of supplies, we definitely do supply substation structures. It's just that -- okay, maybe it's a very small portion because substation structures anyway the quantum is not large on a per substation basis. So that's why it obviously, it forms a small -- a much smaller part of our order book and execution.

But yes, we definitely do have the full capability of supplying the substation structures. When we will be doing the substation execution, then there will be other supplies like transformers, GIS substations. I think those will also be involved, which we will be partnering with

experienced players, experienced manufacturers in the business.

Gunjan Kabra: Sir, what's generally the timeline of execution of such projects?

Sharan Bansal: In substations, it could be anywhere between -- of course, if it's a high voltage one right now, availability of transformers is a problem. So that would depend on the transformer availability.

But I'd say that it would be similar to transmission line, which is approximately 2 years.

Gunjan Kabra: 2 years. Okay. And what's the kind of demand and supply scenarios in towers on the high ceiling side right now? Is it like according to the demand, is the current capacity in the country fairly balanced? Or how is it? As we are having capacity constraints, so in front of demand, how is the supply right now?

Sharan Bansal: In terms of overall demand, the capacity of Indian market is balanced. There is going forward with the expected growth in demand, capacity will have to increase. But also, you have to keep in mind that almost there's a lot of capacity that Indian players are also using to cater to their

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own EPC projects outside of India. For example, our peers are also exporting towers to their own EPCs outside India.

We are export -- doing a lot of exports, although we don't do EPC outside of India, but we are exporting our towers. So Indian capacity is also being used to cater to demand outside of India. So I'd say that, yes, looking at the overall transmission business sector, there is opportunity for capacity increase.

Gunjan Kabra: And in the infrastructure segment, so we do EPC on that side. So margins are unlike other EPC segment that normally the competitors do. So though right now, it's not a major part initially, but it's inching up in terms of total revenue. So how do we think this segment can increase overall and the margins can shoot up in this segment because it's right now, I think, 5%, 6% EBITDA margin?

Sharan Bansal: You're asking about the infra segment?

Gunjan Kabra: Yes.

Sharan Bansal: Okay. No, so the infra segment, see it's -- again, it's growing for us. And in the infra segment, essentially, we are recording the services portion of our EPC projects. But because the supply portion

revenue gets recorded in the engineering products, which is why there is some amount of front loading of margins also.

And I would say that if you look at a consolidated basis, then the margins are in line with our expectation of 10%. But yes, I think even in this sector, even in this segment, we can expect better margins in the future also.

Moderator: The next question is from the line of Dinesh from Finsight Research.

Dinesh: And really great set of numbers. Sir, my questions, most of them have been answered. But see, we have seen a very robust growth in this financial year, almost close to 40% or so. Can we expect similar growth to continue for the foreseeable future given maybe the budget constraints on the capex constraints, which we have seen in this budget or something on those lines?

Sharan Bansal: See, our -- as I mentioned earlier, our sector is not dependent on government budget and government spending because there's a strong amount of private capital interest. So in all major transmission line projects, there is a significant amount of bidding activity happening from the private sector. And even Power Grid, which is a government company, they are able to win projects on the strength of their own balance sheet.

And not because of government budget allocation. So that is even whether government allocates more to the capex or less, it doesn't matter to the power transmission sector, see, because power transmission has a clear runway ahead with the INR9 lakh crores of investment needed to connect 500 gigawatts of renewable power.

In terms of our growth, see, our growth will depend on our capacity expansion and our execution on the infra EPC side, whether it is lines or substation. So that is what will determine our growth.

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Certainly, we have done very well last year and this year. Now on this elevated base also, we expect to continue to do well.

But in terms of how much percentage growth, of course, look, maybe probably the performance of -- the stupendous performance of last year and this year will be difficult to do on an elevated base. But yes, we do expect robust growth in the coming years also.

Dinesh: Sir, something like, you mentioned we are having something like INR200 crores of capex maybe for next year, right? So how about we should look at the capex in FY '27, FY '28, like will it be

at such elevated levels or you expect it to come down?

Sharan Bansal: No, I think the capex will be consistent. As of now, we are expecting another INR200 crores to INR250 crores of capex in the coming financial year FY '26 as well. And then we will make a plan for further years as we go along.

Dinesh: And are we expecting a margin boost because of this capex? Current levels of around 10%?

Sharan Bansal: We are expecting margins to improve for 2, 3 reasons. One is that, of course, now non-T&D will have a lower share in the overall revenue mix. And on the T&D side also because of the better-quality contracts coming, we expect that margins will expand because of that. So I would say that because of these 2 factors, we should see -- and of course, some part of margin expansion will also happen because of better working capital management at our end. So I'd say all these 3 factors will improve our margins in the coming years.

Dinesh: And maybe last point from my end. You mentioned quite a few times that we are capacity constrained, and that's why we are doing this capex. That's a fair point there. But my point is -- question is like, is it possible to get more orders and then get it executed from outsource it to other players so that we maintain a higher market share?

Sharan Bansal: See, that is something which can be done for very small quantities or very -- it is not -- it cannot be on the basis of which we cannot take large orders. We can do it from time-to-time, but that can be for small quantities.

Dinesh: So -- but

can we expect any percentage like -- what kind of projects we look at in terms of smaller quantity you mentioned, right? So...?

Sharan Bansal: So that is something which we do even today also. Even today, from time-to-time, we do use our outsourcing partners where needed. But then those -- that quantity is not large. It is difficult to really plan when we take on projects, then we have to have very high level of certainty that the -- about the execution and the quality, both of which is difficult to manage with outsourcing capacity.

Moderator: The next question is from the line of Mahek from Agility Advisors.

Mahek: So 2 basic questions. One was given that the government is focusing more on the power side and it requires telecom towers. So are we sensing any opportunity on that front? And are we planning any capex there?

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Sharan Bansal: The government -- you're saying the government is focusing more on?

Mahek: Kavach, Kavach. Train anti-collision system.

Sharan Bansal: Railway Kavach. Yes, yes. Railway Kavach is an interesting opportunity, and we have already won one project in that Kavach. And yes, in the future also, we are anticipating to win more projects in that space.

Mahek: And anything in terms of numbers, what is the opportunity size and what is the order win?

Sharan Bansal: Just one minute. I believe -- again, I'm not certain, but I believe that the railway Kavach opportunity is INR1 lakh crores. Now I would imagine our addressable market in that to be at least INR50,000 crores. So that would be over the next 2 to 3 years.

Mahek: INR50,000 crores, and any -- how much are we expecting from that out of that INR50,000 crores? Any ballpark number?

Sharan Bansal: It's difficult to say because as of now, we won only one project. And again, like I said, we are fully booked on both our engineering and infra side. So we are also adopting a cautious selective approach in taking new projects.

Mahek: And so again, so when we are -- similar line, so we are planning a capex of INR800 crores. So that will be in the engineering segment. So are we planning to 75,000 tons of towers every year? Or what are we planning in this for the capex?

Sharan Bansal: Yes, we will definitely be planning minimum 75,000 tons, maybe higher in the years to come.

Mahek: And sir, last is a bookkeeping question. So we have a -- had a taxation of close to 37% -- effective tax rate of 37% in last 2 to 3 years, but now it has decreased to around 26%. So any specific reason? And will this be normalized going forward?

Management: So we have moved into new tax regime. And currently, we are taxed at 25.17%, including surcharge.

Sharan Bansal: So till last year, we were in the old tax regime because the company had certain R&D tax benefit, so, which got exhausted last year. So from this year, we have moved to the new tax regime.

Moderator: The next question is from the line of [Vimok Shah from Goel Fintech Pvt Ltd 47:12].

Vimok Shah: I have just 2 questions like, sir, can you share like what is the current composition of the order book, particularly split between domestic and export orders?

Sharan Bansal: Current order book position is 89% on the domestic and 11% exports.

Vimok Shah: And what is the long-term vision for the mix between the product sales and the EPC project?

Sharan Bansal: Sorry, once again, please?

Vimok Shah: Yes, what is your long-term vision for the mix between like product sales and the EPC project, particularly in the domestic market? I think we are more focused on the EPC side right now, right?

Sharan Bansal: No, because there are a lot of opportunities. There are opportunities both on the domestic side, definitely, bulk of our business is coming on the EPC side. On the export side, we are only taking product orders. We expect both to grow. So it is difficult to say where --

what the percentage

mix will -- how it will move. But wherever we get better margins, we will move the mix to that percentage. But the opportunities are there in plenty in both the sectors.

Vimok Shah: And in the substation EPC, have we received any major contract yet or we are just looking for the opportunity?

Sharan Bansal: We are favorably placed for an order that amounts to something around INR60 crores, INR70-odd crores.

Moderator: The next question is from the line of Samarth, an Individual Investor.

Samarth: Congratulations, sir, on a great set of numbers. Most of my questions have been answered. Sir, just wanted to know a couple of things. The polymer business has been seeing some weakness. I mean, we have been seeing some weakness for the past few quarters. So how do you see the business for the next financial year?

I mean we have been making investments also. So that was my first question, whether the business will grow at a similar rate as to what the company is growing or we can see an accelerated growth also because we have degrown this year?

Sharan Bansal: In terms of polymer business, see, we -- the sector has faced headwinds on 2 counts. One is the volatile commodity prices, which basically have led to a lot of uncertainty in the trade network.

Hence, a lot of destocking has happened in the trade also. And the second has been the Jal Jeevan project for which there has hardly been any budget allocation this year by the government.

So I think these 2 reasons are what has hampered the growth of polymer, although our volumes on the retail side have been growing quite well. And even this year, our volumes on the retail side are growing. So we are positive about that. Our brand obviously enjoys a strong reputation in most of our markets, particularly East and Northeast markets.

I would say that, now with the commodity prices stable and with the fresh allocation of government into the Jal Jeevan Mission project, we will see much healthier numbers in this division in the next year.

Samarth: And sir, another question that the capex we are doing of INR200 crores. I mean, by when can we assume that we'll be reaching 80% to 90% of the utilization, I mean, for the next year? I mean, in how many quarters can we assume that?

Sharan Bansal: I think we should be able to achieve it by the end of quarter 2, we should be able to achieve 80%, 85% utilization.

Samarth: And the next round of capex, as you told that if we'll plan for the next year, I mean, another INR200 crores of capex, I mean, any thoughts on that, whether we would be doing through debt or equity financing or I mean, it's too early to call that?

Management: It is early. However, the company has strong internal cash flows. This year also out of our capex of roughly about INR200 crores, INR210 crores-odd so far, we have only raised debt of about INR75 crores. So I think we are able to meet our capex requirement quite well with the internal cash flows.

Moderator: The next question is from the line of Darsh Solanki from Axis Securities.

Darsh Solanki: So I just ask on the 75,000 tons capex that we are planning for FY '26. So I just wanted to know, is this something that has been approved or something that we would consider as we go into the next year? And if it is approved, so would it be a brownfield expansion or a greenfield one?

Sharan Bansal: No. For the next year capex, we will be taking Board approval, but this is what our expectation is.

Darsh Solanki: Understood. And sir, what is our capacity utilization up till this quarter, this year?

Sharan Bansal: By quarter 4, we are well on way to achieve 85% utilization for our existing capacity.

Darsh Solanki: Understood. And sir, my last question is that in terms of the market share, sir, like what is the market share that we have in the high-voltage segment as of December?

Management: 12%.

Sharan Bansal: About 1

2% to 13% on the transmission line side.

Moderator: The next question is from the line of Shridhar Jadhav from JM Financial.

Shridhar Jadhav: So sir, most of my questions are answered. Just had a couple of few quick questions. Sir, we are already reaching utilization levels of 85% in Q4, and new capex of INR200 crores, what I understand will be live by quarter 2 of FY '26. So how do we plan to continue the growth momentum?

Sharan Bansal: I'm not very clear on your question.

Shridhar Jadhav: So what I'm hinting is, so do we still maintain the guidance -- similar growth guidance in coming 2 quarters to 3 quarters till our capex is live on an elevated base of, let's say, March '24?

Sharan Bansal: We don't -- we have not given any guidance yet for the next year. But we do expect the robust growth to continue.

Shridhar Jadhav: And my next question is on margin improvement. Sir, now with expected polymer segment and infra segment and EPC substation. So on a blended basis, do we expect our margins to shrink because of other low-margin segments? Or so what would be our overall guidance for next 12 months on the margin front blended?

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Sharan Bansal: No, we definitely expect to improve margins from -- currently, we are at just about under 10%.

We certainly target to improve this margin incrementally in the coming quarters.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Sharan Bansal: Thank you. We remain optimistic about the future, and are confident in our ability to create long-term value for our stakeholders. We appreciate your continued support and look forward to interact with you again in the next quarter. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

Dated: 7th May 2025

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Audited Financial Results for the Quarter ended 31st March 2025

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 30th April 2025, on Audited Financial Results of the Company for quarter ended 31st March 2025.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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"Skipper Limited
Q4 FY '25 Earnings Conference Call"
April 30, 2025

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL
OFFICER – SKIPPER LIMITED
MR. ADITYA DUJARI –GENERAL MANAGER, FINANCE

AND INVESTOR RELATIONS – SKIPPER LIMITED

MODERATOR : MR. MOHIT -- ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Skipper Limited Q4 FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit from ICICI Securities. Thank you, and over to you, sir.

Mohit: Yes. Good evening. Good evening, everyone. On behalf of ICICI Securities, we welcome you all to the earnings call of Skipper Limited. Today, we have with us the management represented by Mr. Sharan Bansal, Director; Mr. Shiv Shankar Gupta, CFO; and Mr. Aditya Dujari, GM, Finance & Investor Relations. We will start with brief opening remarks followed by Q&A. Over to you, sir.

Sharan Bansal: Thank you, Mohit. Good afternoon, everyone, and welcome to Skipper Limited's Q4 FY '25 earnings conference call. I'd like to extend my gratitude to all our investors, analysts and stakeholders for your continued interest and support. Before we proceed, I'd like to remind you that certain statements made during this call may be forward-looking in nature and should be reviewed in conjunction with the risks and uncertainties associated with our industry and business.

Let me begin by saying that FY '25 has been a transformational year for Skipper, marked by multiple record-breaking milestones, a strong financial and operational performance, and significant strategic advancements across all major business segments. We delivered our highest ever revenue and profitability, driven by strong growth in both domestic and export markets, superior project execution capability and a disciplined focus on cost and capital efficiency. These achievements reflect the strength of our diversified business model, the resilience of our teams and our commitment to driving sustainable long-term value for all stakeholders. Quarterly performance, quarter 4 FY '25. We closed the final quarter of the year on a high note, delivering our best ever quarterly revenue of INR1,288 crores, reflecting 11.6% sequential growth over previous year corresponding quarter.

The Engineering business registered an all-time high quarterly revenue of INR937 crores with 34% growth year-on-year, driven by healthy execution across domestic and export orders. The Polymer business delivered its highest ever quarterly revenue at INR138 crores, up 34% year-on-year, indicating a rebound in volumes and sales, improved distribution.

EBITDA for Q4 stood at INR123 crores, up 14% year-on-year, while EBITDA margins expanded to 9.6% versus 9.4% in quarter 4 FY '24. Accompanied by robust growth in bottom line, consolidated PAT increased to INR47.9 crores, the highest for any quarter, registering 90% growth over INR25.2 crores reported in corresponding quarter of previous year, while PAT margins improved to 3.7% of sales against 2.2% in previous year quarter.

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Annual performance FY '25. Moving on to the full year performance. I am pleased to share that Skipper has delivered its highest ever annual revenue of INR4,624 crores a robust growth of 41% year-on-year over FY '24. The Engineering segment contributed INR3,518 crores, up 58% year-on-year, backed by strong order execution. Export revenue grew by 21% to INR770 crores from INR635 crores last year. Export share in overall Engineering segment business stood at 22%.

The Infrastructure segment clocked revenue of INR674 crores, growing 13% year-on-year. Consolidated EBITDA for FY '25 stood at INR451 crores with margin sustained at 9.8% while annual consolidated PAT surged 83% year-on-year to an all-time

high of INR149 crores

compared to INR81.7 crores in previous year period, the PAT margin to sales improved to 3.2% against 2.5% in corresponding period, showcasing an improvement of 70 basis points.

Order book and inflows. Moving to our order book and business outlook. We continue to build strong visibility for future revenue growth. FY '25 was also a landmark year for our order inflow

and backlog. We reported the highest ever annual order inflow of INR5,335 crores with INR1,592 crores booked in quarter 4 alone.

Our closing order book stood at INR7,458 crores as of March 31, 2025, up 20% year-on-year. This order book is the highest in our company history, providing robust revenue visibility over the next 18 to 24 months.

Notably, our export order inflow was with strong traction for the U.S.A., Latin America, Middle East, and South Asia. Domestic order wins included prestigious mandates from POWERGRID, including their 800 kV HVDC and several other high-voltage projects of 765 kV and 400 kV. We also made meaningful progress on several strategic fronts. A few of the updates are as below. Achieving a landmark breakthrough in U.S.A. market by securing a multi-million dollar coal supply order from one of the largest EPC players in the region, laying the foundation for sustained growth and market expansion in North America. We successfully secured our first substation EPC contract, marking a strategic expansion of our EPC portfolio and capabilities. Our 75,000 capacity expansion is on track and expected to be fully operational from May '25, supporting future growth in Engineering volumes. The company is in advanced process of implementing SAP S/4HANA RISE, and advanced ERP solution within next quarter. This implementation will empower the business to streamline operations, enhance efficiency and gain real-time insights for informed decision-making, marking a significant milestone in our broader digital transformation journey.

In the Polymer business, we have increased focus on Plumbing segment to improve profitability and enhancing our retail distribution network and gaining momentum with product diversification. Also, we secured necessary approvals to foray into the gas pipeline segment with MDP pipes, leveraging our existing HDP infrastructure.

Capital and debt management. Further, I'm pleased to share that we've made meaningful progress in improving our balance sheet. Net debt including interest-bearing acceptances reduced by INR111 crores year-on-year to INR1,016 crores despite a 41% increase in revenue.

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Cash flow and working capital are expected to improve considerably going forward, considering the quality of order intake this year. Working capital days also improved with inventory and debtor days sharply reducing. Return on capital employed improved to 21.7% versus 19.1% last year, showcasing better returns on capital efficiency.

Outlook. We believe Skipper is at an inflection point with a multi-year growth runway ahead, driven by a strong pipeline of domestic and international T&D opportunities, strategic expansion into new growth areas, a clear strategy to grow exports under the China Plus One narrative, focused on operational efficiencies.

Thank you for your continued trust and support as we lead the way in advancing power infrastructure and meeting global energy demand. I am happy to take questions now.

Moderator: Thank you very much. The first question is from the line Darshil Pandya from Fintest Capital. Please go ahead.

Darshil Pandya: Congratulations on the great set of numbers. Sir, my first question would be on the capacity addition that we are having of 75,000 tons. If I'm not wrong, this was supposed to be added in Q4 of last year?

Sharan Bansal: Yes, that's correct. So part of the capacity is already online and the full capacity of 75,000 will be available to us within quarter 1.

Darshil Pand

ya: So precisely, if I'm to understand for 6 months, I guess, we will be able to see the revenues that -- from the new capacity that is going to be live?

Sharan Bansal: Yes, yes. We should be able to see it from quarter 2 onwards itself.

Darshil Pandya: And sir, if you can just throw some more light on the new U.S.A. orders and the other major update of the presentation, Page #8. If you can just highlight some more points on that. What kind of -- how this growth will be materialized in terms of numbers, that would be really nice.

Sharan Bansal: So the U.S. -- right now, of course, as I said earlier, that our present U.S.A. -- till last year, we did not have any significant business. But the order that we have recently secured, this is, you can say, our first breakthrough order where now we see that Indian players will definitely have a lot of opportunity as because the U.S.A. is having trade problems with other areas like Mexico and China.

So definitely, we expect to benefit from this overall new trade situation. And so we secured a first major order for coal supplies into U.S.A., and we expect more and more orders to come in the future from that geography.

Darshil Pandya: But how will this materialize in terms of numbers, sir, that was the primary understanding.

Sharan Bansal: It is difficult to put specific numbers to any particular geography. However, we maintain that we are looking at a lot of growth from the various export markets. This year also we have grown --

our export execution has grown by about 22% compared to last year. Last year, our export revenue was INR635 crores. This year, our export revenue has grown to INR770 crores. So I'd
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say that the exports are growing consistently in various geographies and the exports to North America will also be part of our overall export growth.

Darshil Pandya: One question before I also come back again is to understand, do we have any revenues coming from government in our PVC business?

Sharan Bansal: We used to have -- like in FY '24, we had significant amount of revenue coming from the sale of HDPE pipes in the Jal Jeevan project. However, in the year that just concluded, we saw a major dip in revenue coming from the Jal Jeevan project business. So we expect that, okay, now in the recent budget, Jal Jeevan projects have again been given some allocation so, hopefully, we should see again that revenue being revived in the new financial year.

Darshil Pandya: What the news says is, around 46% of the Jal Jeevan Mission is somewhere -- they have slashed the project size. Is this correct? Or have you got any update on this?

Sharan Bansal: Just a minute. So basically, what we are doing is basically we are reducing our dependency on the JJM project right now, and we are focusing more on the plumbing and retail side of the business. That's the strategy right now. Yes.

Moderator: Next question is from the line of Manish Ostwal from Nirmal Bang.

Manish Ostwal: I have first question on the order inflow side. So we'll be starting F '26 with approximately INR7,500 crores of order book. And if I look at your last year opening order book and the order inflow, we approximately executed 40% of that in terms of revenue for the current year.

So now looking at the domestic market as well as the export market, you talked about the opportunity arises from the trade war with the -- U.S. trade war with Mexico and China. So both the context domestic as well as the overseas market condition, how do you see the order inflow panning out for us in FY '26 from the opening book of INR7,500 crores, approximately?

Sharan Bansal: You're asking that how do we see further order intake situation? What is the question exactly?

Manish Ostwal: Yes, that is the question?

Sharan Bansal: Yes. So order bidding pipeline is very, very strong, and both on the domestic side as well as export side. So I believe that the bidding

pipeline is extremely strong, and it will continue to remain strong for several years because in the Indian market, Government of India, CEA, has projected an investment of INR9 lakh transmission segment up to 2032. So we are continuously going to see projects coming up in the Indian market.

And because of our push into exports and because of our presence in various countries around the world, we are seeing more and more business coming our way in exports as well. So overall, we believe that we will continue on our growth path and the order book, we should be able to grow further in FY '26 as well.

Manish Ostwal: Can you quantify the bidding pipeline for us? What is the total bidding pipeline we have? And what is the percentage success rate in F '25 against our bidding pipeline?

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Sharan Bansal: Our bidding pipeline is now INR20,000 crores plus. And in the past, we have seen a minimum 25% success rate. However, of course, we expect to grow the bidding pipeline also with our capacity coming online, we will be starting to bid in more projects as well.

Manish Ostwal: The second question on the leverage side. So I was looking at our debt management slide and where we mentioned that the interest bidding acceptances has declined and overall the -- but if I look at our interest cost against our revenue growth, which is 41%, our interest expense increased by 38.2%. So effectively, despite of a decline in the overall -- the debt thing, but it is not reflecting in the P&L in the form of interest expense as a percentage of revenue, which you talked about in earlier quarters also.

So first, in F '26-'27, where do you see this? And if I look at our operating cash flow also, before the working capital adjustment your operating cash flow is showing a growth of 42%, but there is a lot of consumption of capital happening in the working capital that's why our operating cash flow has declined on a full year basis, 23%. So can you explain why the benefit of interest -- the debt reduction is not reflected in the interest cost? And secondly, where do you see the trajectory of that line item in coming years?

Sharan Bansal: Okay. So very relevant question. Firstly, on regards to the finance cost, if you notice our finance cost for the full year last year for FY '24 we were at about 4.69% to sales, the finance cost for the full year. If you see the quarter 3 and quarter 4, the last 2 quarters for us, the finance cost has

been on a reducing trend with 4.38% in quarter 3 and 4.37% in quarter 4.

So we believe that now for the full year, we should -- for the full year FY '26, we should be coming closer -- this declining trend should continue, and we should be coming closer to a 4% kind of a finance cost based on revenue. So that is where our effort will be to bring down our finance cost close to 4% for the full year.

And with regard to cash flow, of course, we have done significant amount of capex also. And we are -- despite that, we are maintaining healthy cash flows. Certain amount of customer advances were due to come in, in quarter 4, which we are now expecting to come in, in quarter 1. So I believe that overall, for the year, cash flows will continue to be healthy, but I'll be able to give further flavor to that separately.

Manish Ostwal: But can you quantify the amount of the slip over of the customer advances, which we are expecting in the current quarter?

Sharan Bansal: About INR200 crores of advances, which we were expecting to come in, in March, they have spilled over to April.

Moderator: Next question is from the line of Moksh Ranka from Aurum Capital.

Moksh Ranka: In the past, we had plans of demerging our Polymer business. And subsequently, I don't -- like while reading the exchange I came across that. So why was the plan dropped or what actually happened? Can you please explain?

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Sharan Bansal: As of now, there is no further decision on that front. We are -- our Polymer business continues to grow well, and we are looking at good growth in this business in the coming years as well.

As and when, of course, a decision will be taken, we will subsequently inform you. But as of now, there is no decision regarding demerger.

Moksh Ranka: In the past, it was announced, right? And what was the reason for scrapping that demerger plan?

Sharan Bansal: We have not announced the demerger. We've taken NCLT approval, but we hadn't announced the demerger.

Moksh Ranka: And could you please explain a little more about the Polymer business? Like, regarding the industry, the whole industry is suffering for like, I think, many quarters now and everybody is operating at very low margins. And I don't see much differentiation in this category and everybody is doing capex. So what is the thought process behind this? Because the whole industry, this is an industry-wide problem. So could you please explain me more regarding this?

Sharan Bansal: So I'd say that the industry is facing some headwinds, like you rightly mentioned. However, if you notice that despite the industry headwinds and the sharp reduction in Jal Jeevan projects, we have maintained our revenue in this business more or less to previous year's level. This is -- so the loss of business in the government Jal Jeevan projects has been made up by the growth in retail sales. So our retail business is growing well. We are looking at positive growth in the coming year as well. As because the previous year, the industry suffered due to very volatile commodity prices. But I'd say that those challenges are now behind us.

In terms of differentiation, Skipper is the strongest -- one of the strongest brands in eastern and northeastern India, where, let's say, maybe the national players have a limited presence. So we definitely feel that in this market itself, there's a lot of opportunity for us to grow, while we are a challenger brand in some of the other markets. So I'd say our brand acceptance is growing.

And I think that this year and the next year, we will see better times in the industry.

Moksh Ranka: And is there any update on the -- we planned a preferential allotment for the capex we are going to do or maybe an upcoming capex. So is there any update on that? Sorry, not a preferential, was it QIP or something like that?

Sharan Bansal: QIP. Yes, you're asking about the QIP. Yes. So I think looking at the market conditions in the last 4 months, we have put that decision on hold, and we will maybe evaluate that as the company's cash flow continues to be healthy. As such, we are able to meet all our capex requirements through a mix of debt and internal accruals. So we look at a more favorable market situation to maybe consider going back to the market.

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Sir, basically, my first question is on the new capacity that is expected to come in the month of May. Two points regarding that. First, how would the velocity of execution improve hereon, on the order book that we have in hand?

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And secondly, I wanted to understand is, there were certain capabilities already existing with us where we could have executed a higher value execution, but we didn't go for bidding due to

capacity. Is it a possibility that we go for a bigger order size bidding from here on?

Sharan Bansal: Yes, certainly, as our capacity gets fully commissioned, we will be targeting a bigger bid pipeline. And at the same time, the effort will be to target higher margin orders as well. So I think certainly, both of those are on the target.

Vignesh Iyer: Also, sir, about the velocity of execution going forward?

Sharan Bansal: The execution, I think, remains strong. Again, we have delivered a 40% plus revenue growth this year

. So even on this elevated base, I'd say that there is a sufficient opportunity for us to increase our execution and revenue further.

Vignesh Iyer: Sir, could you let us know, this substation EPC that the orders we have got, what is the size of the order we have got?

Sharan Bansal: Sorry, once again. Could you repeat the question, please?

Vignesh Iyer: We have secured the first order on the substation EPC. I wanted to understand in terms of value what is the order size, the contract we have got?

Sharan Bansal: It's about INR45 crores.

Moderator: A follow-up question from Darshil Pandya from Finterest Capital.

Darshil Pandya: So just one question that is left from my side is about the guidance part what we are targeting for next 2 to 3 years?

Sharan Bansal: We will continue to target about 20% to 25% growth even on this elevated base.

Darshil Pandya: But sir, technically, if I see your presentation last 3 years, we have somewhere grown at 40% plus. And given what kind of updates we have with respect to the orders and the new capacity that is coming in, can we even outperform that just in case to understand?

Sharan Bansal: Well, I think, look, we believe that 20%, 25% is a healthy growth number, looking at better execution from our capacity because we are near about 80%, 85% capacity utilization now. So looking at some more opportunity in the existing capacity as well as the new capacity that will be coming online from quarter 1, I'd say 20%, 25% overall revenue growth is a good guidance to take.

Moderator: Next question is from the line of Dhiral from PhillipCapital.

Dhiral: Congratulations for the great set of numbers. I have 3, 4 questions, sir. So first of all on the U.S. order, sir, when you said that we have won almost multi-million order, so wanted to know the size of the order that we have won from the U.S. market?

Sharan Bansal: It's about \$15 million, 1-5.

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Dhiral: \$15 million?

Sharan Bansal: Correct.

Dhiral: And sir, what would be our maybe bid pipeline, particularly on the U.S. side now that we have got the opportunity with this new order?

Sharan Bansal: The bid pipeline in the U.S. market is close to about \$150 million.

Dhiral: And sir, of the overall order book that we have, which is almost INR7,400 crores, if you can give the breakup between how much is the Engineering side of an order and how much is the Infrastructure led?

Sharan Bansal: You're asking about the closing order book?

Dhiral: Yes, breakup of the outstanding order book.

Sharan Bansal: Just a minute, please. INR5,800 crores pertains to EPC. INR800 crores is exports and the balance is domestic supplies.

Dhiral: So when you say, sir, INR5,800 crores EPC, is it linked to the Infrastructure order?

Sharan Bansal: No, no, that -- in any EPC order, about 70% to 80% volume comes from engineering supplies and balance 20% to 30% comes from Infra.

Dhiral: So this year, sir, when we have delivered 12% to 13% kind of revenue growth on the Infrastructure side, so what would be the guidance for FY '26 and '27?

Sharan Bansal: You're asking specifically about the Infra segment?

Dhiral: Yes, yes, yes.

Sharan Bansal: The overall guidance of 20%, 25% will be maintained here as well in the Infra segment.

Dhiral: That's great, sir. And sir, we have seen our margins on the Infrastructure side on an annual basis also has declined slightly despite of the ramp-up in the revenue. Also on the Engineering side, there has been a 40 bps decline in the Engineering EBITDA margin. So when we are running at full capacity, our operating leverage also may kick in and this would have improved our margins, right? But that is not the case.

Sharan Bansal: This year, we've had a mix of both T&D and non-T&D revenue on the engineering products side. So I'd say that, look, we've always maintained our guidance of between 11% and 12% for the Engineering margins. So it is range bound,

I would say, that the margins on the engineering products. And even in Infra, the dip is -- it's almost flat because it was 6.1% previous year and 5.9% this year.

Dhiral: So this would remain in the same range, around 6%, right?

Sharan Bansal: Yes, correct.

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Dhiral: And sir, now coming to the Polymer part. So now when we have entered into this gas pipeline space, so does it improve our overall utilization of the pipe segment in the coming year, particularly for FY '26-'27?

Sharan Bansal: Yes, it will certainly improve. All of this is adding to our product portfolio in the Polymer segment. But of course, our prime focus will remain on the plumbing side. But whether it is the MDPE for the gas pipeline or HDPE for Jal Jeevan water project, all of those will help in our overall capacity utilization.

Dhiral: So this year was largely remained flat because of the macroenvironment. So what would be the guidance for FY '26-'27 on the polymer side?

Sharan Bansal: I think on the polymer side, we can expect a little higher growth between 25% to 30%.

Dhiral: And sir, lastly, on the debt part. So any debt -- since we have reduced our interest-bearing debt this year also by almost INR100 crores or more than INR100 crores. So what would be the debt guidance for FY '26?

Sharan Bansal: I don't have a debt guidance for you right now. As I mentioned, we will be seeing more revenue coming from T&D business in the new financial year as because non-T&D now is a very small percentage of our order book. So we expect improvement both in the margins as well as the working capital side.

So just as we have been able to achieve some reduction on the working capital this year, we should be able to achieve further improvement in the working capital. And our -- as from management side, our focus will be to bring down the finance cost as a percentage of sales closer to 4% versus 4.4% right now.

Dhiral: And sir, just last one question on the utilization part since we will be commencing our 75,000 metric ton capacity maybe in month of May, and you said that Q2 will be the quarter where it will start ramping up. So maybe for the FY '26, what could be the utilization for this 75,000 MTPA?

Sharan Bansal: As you call, we have a sufficient order book so we expect that right from within 1 or 2 quarters itself, we will be able to achieve. So maybe by quarter 3 itself, we will be able to achieve 80%, 85% capacity utilization, which is the optimal capacity utilization for any capacity.

Dhiral: So are we then looking for another fresh capex maybe for FY '27 growth?

Sharan Bansal: Yes, certainly. We will be doing a fresh capex this year also.

Dhiral: So this would be how much amount, sir? And what will be the capacity addition?

Sharan Bansal: We will be adding a further amount of 75,000 tons this year also.

Dhiral: So this will be again a brownfield kind of an expansion, sir, with maybe INR200 crores kind of a capex?

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Sharan Bansal: Yes, but it will be a mix of brownfield and greenfield.

Moderator: Next question is from the line of Gunjan Kabra from Niveshaay Investment.

Gunjan Kabra: Just wanted to understand the U.S. market a bit. That, firstly, from where does U.S. import towers as of now? Major requirement -- because considering it's a labor-intensive industry, so how much is domestically sourced and how much will be imported from other countries?

Sharan Bansal: The U.S. has some domestic production as well. And also, they are importing towers from Mexico, Brazil and Turkey and China. So these are the major destinations internationally where major towers are being supplied into the U.S.

Gunjan Kabra: So here, like what's the approval cycle that if one wants to supply to the U.S. market. So like in transformers, there's a big approval cycle of so many years of supplying to the U.S. market. So in tower,

how is it?

And plus, Turkey is also a major supplier to the current tariff scenario, don't you think that they will have a major advantage than India or we can gain market share there because of the tariff in the current scenario right now?

Sharan Bansal: No, I would say that the -- firstly, regarding the approval cycle, see, there is no one central utility in the North American market. There are several -- almost maybe 100-plus various utilities which are actively involved in transmission line development. So the approvals is a process

which Skipper has been undertaking for last 7 to 8 years. We have gotten ourselves approved and our products certified with a number of such utilities already, and that number is constantly growing.

So I'd say that this is a long gestation business. And just like transformers, this will definitely require a long time for any new player who is starting out today to build up momentum has started seeing some significant orders in that geography.

And with regarding tariffs, see, it's difficult to comment today because the situation regarding tariffs is evolving and changing quite rapidly on a weekly basis. We'll have to wait for the matter to settle down and the final tariffs to be really clear. However, I can tell you that looking at overall cost advantages that we particularly have with our integrated operations and our labor-intensive operations, this will definitely -- we will be competitive in the North American market regardless of whatever tariffs are imposed on Indian products.

Gunjan Kabra: And one more thing, like how is the transmission activity shaping up in the export market, like, for example, in the U.S. or Europe or African countries? Because like India last year and the coming years is we are seeing accelerated activities on the transmission side. So similarly, is it on the same trend? Or how are we seeing in those export markets as well, if you can share any on ground insight that you have?

Sharan Bansal: Yes. I would say that right now, we are seeing very, very strong activities in the Middle East market. And there almost all Middle East as well as North Africa countries. So the entire MENA region we are seeing tremendous amount of demand and new projects being awarded. In terms

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of North America, there is a big pipeline of projects. But in general, based on our experience, the projects award is a slow-moving activity and they take time to see award.

Markets like certain pockets of Africa, particularly East Africa, are quite actively investing.

However, we are seeing not so much action happening on maybe West Africa and the European market. There we are probably seeing not that greater demand. So I would say that overall exports, definitely, is seeing a strong bidding action from North America, from Middle East and East Africa.

Gunjan Kabra: And what's the time tenure of execution of the substation EPC of the INR45 crores order that we have received this quarter?

Sharan Bansal: It's about 18 months.

Gunjan Kabra: 18 months. So is it like 18 months for our substation order, or generally also the order execution cycle right now is of 18 months?

Sharan Bansal: I'd say that depending on the voltage level, 18 to 24 months is the normal.

Gunjan Kabra: Is the general order. And this will be for what kV right now? I mean on the distribution side we have got or on the higher voltage side?

Sharan Bansal: This is a 66 kV project for transmission.

Gunjan Kabra: 66 kV, okay.

Moderator: Next question is from the line of Darshan Solanki from Axis Securities.

Darshan Solanki: Congratulations for a good set of numbers. Sir, my question is mostly focusing on the domestic outlook. So we all know that it's -- domestic outlook remains strong with INR9.15 trillion capex.

But if you see for FY '25, the transmission lines and the substations that are added for the year are basically not according

to the targets that were set there. So there is an underachievement.

So just wanted to know your view on the on-ground challenges. Like are there any on-ground challenges in regard to the execution, which may impact the order pipeline of ours?

Sharan Bansal: I would say that the tendering activity majorly started in FY '24 and FY -- towards the end of FY '24 and major part of FY '24-'25 is when we saw the major awards taking place. So probably, yes, considering an 18- to 24-month build cycle, we should see definitely major lines and substations getting added starting from FY '26 and really picking up pace in FY '27 onwards.

But on-ground execution remains strong. I think that is very well reflected in our top line growth numbers also.

Darshan Solanki: So basically, we do not foresee any challenges when it comes to ordering flows?

Sharan Bansal: Not at all.

Darshan Solanki: Sir, I just wanted to check what is our current market share in the high-voltage segment?

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Sharan Bansal: It's approximately 15% in the high-voltage transmission line segment.

Darshan Solanki: I think my last question would be, so our capex guidance was around INR800 crores for the next

4 years, INR200 crores per annum. So that is the same? Or is there any update to it?

Sharan Bansal: Yes, it largely remains the same.

Moderator: Next question is from the line of Dinesh Kulkarni from RDST.

Dinesh Kulkarni: Really great set of numbers. Sir, my question is in terms of margins. If we see the margins have been predominantly around 10% for the last few years. Are you expecting any improvement in the margins going forward, especially on the capacity addition?

Sharan Bansal: Yes, absolutely. As because so far, the major revenue has been a mix of both T&D and non-T&D. And now going forward, we expect major amount of execution to come from T&D itself.

So we certainly can expect better improved margins. And also with the growth of export, we do feel that margins have a good headroom to grow a lot. So certainly, we can expect improvement in margins in the coming years.

Dinesh Kulkarni: Just something more on this. Have you seen any incremental change in the kind of orders which you are getting now in the past, say, like 6 months? And how would you compare that with any of the previous orders? Like is there any incremental change in margins? Are you witnessing that?

Sharan Bansal: Yes. I think the orders secured in the year that just finished, FY '25, have definitely come with better margins than previous years.

Dinesh Kulkarni: And we expect that to continue going forward, right?

Sharan Bansal: Absolutely.

Moderator: Next question is from the line of Pranjal Mukhija from GrowthSphere Ventures.

Pranjal Mukhija: I just have one question. So how well are we positioned to cater to the HVDC demand both in India and rest of the world? So what is the outlook for this segment and is the margins in this segment better?

Sharan Bansal: Yes, definitely. So Skipper is fully qualified to add the -- for all HVDC projects. And currently in our order book also, we have secured 800 kV HVDC projects from POWERGRID. Globally, now even in like markets like North America, we are seeing that they are moving to further higher voltage. Previously, the highest voltage that was deployed there was 500 kV. But now for the first time, we are seeing that they will also be going for 765 kV high-voltage projects. So I think with our expertise in -- we have been doing 765 and 800 kV projects in India for the last 15 years. So I think we have built up a lot of expertise and a lot of technical capability in this category of projects. And we will be able to take -- leverage that capability for supplies in a lot of markets, including North America.

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Pranjal Mukhija: Sir, how big was this project like the 800 kV project that you're mentioning?

Sharan Bansal: It's close to about INR500 crores.

Pranjal Mukhija: And margins are better or like similar to the current business in the Engineering segment?

Sharan Bansal: Yes, they're slightly better.

Moderator: Next question is from the line of Mahesh Atal from Atal Investment Advisors.

Mahesh Atal: Sir, what would be your margins from this U.S. business that you have achieved that would be somewhere around INR1,300 crores, I guess. What could be your margins there in U.S.?

Sharan Bansal: No, we don't -- sorry, INR1,300 crores, where did you get that number from?

Mahesh Atal: \$15 million, right? I mean, sorry, \$15 million it is, right, what you're working.

Sharan Bansal: Correct.

Mahesh Atal: Yes. So on that, what would be your margins?

Sharan Bansal: See, in general, see, it's difficult to pinpoint margins on particular orders. But I can tell you that normally, exports do come with better margins. And because this is exports to developed countries like North America, there, the opportunity for margins are even higher. However, it is our entry phase right now into those markets. So even then -- even despite the entry price, we can expect that these orders come at about at least 2% better margin than domestic products.

Mahesh Atal: So 200 bps on our existing margin profile, right?

Sharan Bansal: Yes. Correct.

Mahesh Atal: And there is 10x more opportunity available there. So how would we build up over FY '26 and '27? Can you please share some light on that? I mean, what could be the opportunity for us out of that \$150 million?

Sharan Bansal: No. So \$150 million is only our current bidding pipeline. But in terms of overall opportunity for bidding, our expectation is that there will be at least \$10 billion worth of projects coming up over the next 2, 3 years for bidding in North America. So we, obviously, look to increase our approval process, our registration, certification process, and we continue to increase our bidding pipeline in that market.

Whether how much will be successful or not, as because we have a limited presence there right now. So obviously, we'll have to see how many chances we'll have of being successful in that

market.

Mahesh Atal: What would be your dividend outflow this year, sir?

Sharan Bansal: Dividend outlook would be 10%.

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Mahesh Atal: No, in terms of actual -- I mean, in terms of actual numbers?

Sharan Bansal: You're asking absolute numbers?

Mahesh Atal: Yes, absolute numbers.

Sharan Bansal: Just 1 minute, please. Okay. We can check and come back to you offline about this but --

Mahesh Atal: Yes. But won't it be prudent to --

Sharan Bansal: Sorry, 1 minute.

Mahesh Atal: My question was more on that -- like, won't it be prudent to --

Sharan Bansal: So it will be about INR1.5 crores this year.

Mahesh Atal: INR1.5 crores.

Sharan Bansal: Yes.

Mahesh Atal: Are you sure?

Sharan Bansal: Approximately, yes.

Mahesh Atal: It's INR1.5 crores, okay.

Sharan Bansal: Correct.

Mahesh Atal: Fine. So what the -- I mean, the policy on this dividend, are you going to actually -- because you're having only INR200 crores capex lined up for the next year?

Sharan Bansal: That's because the company is growing, we have capex requirements and also our working capital requirements are there. So I think we will be conservative in dividend payout for the next 2, 3 years up until we are doing capex.

Mahesh Atal: So maximum of the cash will be flowing towards repaying of the debt, right?

Sharan Bansal: Repaying of debt, new capex, yes.

Moderator: Next question is from the line of Mehul Mehta from Choice Institutional Equity.

Mehul Mehta: Congrats on great set of numbers, especially in the light of a substantial reduction in working capital cycle. My question is in relation to inventory cycle as compared to peers for us is still much higher, so can we expect further reduction, kind of?

Sharan Bansal: Sir, if you see the

inventory cycle from previous year, 135 days, we have brought it down to 95 days. There is further opportunity to bring this down further. However, when you compare us to peers, do keep in mind that we are the only ones having backward integrated operations. So our inventory it also is burdened with that fact that we have to maintain extra inventory because we

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are backward integrated. But despite that, we certainly feel that there is opportunity to bring this down further from 95 days.

Mehul Mehta: Why I'm comparing is because like as compared to -- I mean, if I look at range, like it is in the line of 25 to 35 days for peers. So maybe backward integration, but still substantial difference. So like can we further, I mean, shrink it significantly? Or like you're looking at -- like anywhere like because of backward integration on this level, like maybe --

Sharan Bansal: You will also have to see, sir, that, okay, if a company has a very large business of EPC, there and ours is still predominantly manufacturing-led operations. So you will have to see manufacturing as a percentage of the sales to really see inventory because pure EPC business, you will likely not have much inventory.

Moderator: Next question is from the line of Moksh Ranka from Aurum Capital.

Moksh Ranka: Sir, my question was on the long term regarding, like, our products, T&D products have a very long replacement cycle. And if you look -- like after some years, there could be a scenario where we don't get lot many orders because the replacement cycle by the utility would be done. Then what would be our plan then because we are doing lots of capex for this year and for the next few years and understanding and that's because the grid needs to be replaced. But at one point that will be done, so after that, what would be our plan?

Sharan Bansal: Sir, I can tell you that based on our estimation, the transmission capex will continue at least for the next 2 decades, while the world moves towards net-zero and renewable becomes more and more of a preferred source for power generation. So the transmission requirements will only continue to grow. And we see demand outlook very strong right for the next 2 decades, not just for the next 4, 5 years.

Moderator: As there are no further questions, I would now like to hand the conference over to the

management for closing comments.

Sharan Bansal: Thank you once again to all the investors for your continued interest with Skipper. We remain strongly optimistic about the growth prospects of Skipper in FY '26 as well, and we look forward to interacting with all of you for the quarter 1 con call 3 months from now. Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Dated: 6th August, 2025

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 30th June, 2025

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and Analysts held on 31st July, 2025, on Unaudited Financial Results of the Company for quarter ended 30th June, 2025.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

9KIPPER - Limited-
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"Skipper Limited
Q1 FY '26 Earnings Conference Call"
July 31, 2025

MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
M R. SHIV SHANKAR GUPTA – CHIEF FINANCIAL
OFFICER – SKIPPER LIMITED

MODERATOR : MR. NAVIN SAHADEO – ICICI SECURITIES
i ICICI Securities C H O R t L
Skipper Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Skipper Limited organized by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Navin Sahadeo from ICICI Securities. Thank you, and over to you, sir.

Navin Sahadeo: Thank you. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the Q1 FY '26 Earnings Call of Skipper Limited. Today, we have with us Mr. Sharan Bansal, Director Skipper; and also the CFO, Mr. Shiv Gupta.

So without any further ado, I hand over the call to the management for opening comments. Over to you, sir.

Shiv Gupta Good evening, everybody. This is Shiv Gupta, Shiv Shankar Gupta, CFO. Yes. Thank you, Naveen. Good afternoon, everyone, and welcome to Skipper Limited's Quarter 1 FY '26 Earnings Conference Call. I would like to extend my gratitude to all our investors, analysts and stakeholders for your continued interest and support.

Before we proceed, I would like to remind you that certain statements made during this call may be forward-looking in nature and should be reviewed in conjunction with the risks and uncertainties associated with our industry and business. Some of the key operational and financial highlights in comparison to previous year quarter were as follows.

I'm pleased to inform you that we have delivered yet another good quarter and registered our best first quarter revenue on back of strong execution in Engineering and Polymer segment. The net revenue for the quarter stood at INR1,2539 million against INR1,0917 million, up by 15%. The segmental revenue breakup were as follows, Engineering INR1,248 million, up by 24% over previous year quarter. Polymer INR1,272 million, up by 34%. Infra segment, INR1,019 million, down by 39%.

The company engineering export revenue grew 30% year-on-year to INR3,254 million in quarter 1 compared to INR2,508 million in the previous year, reflecting strong international demand momentum. Export share in overall engineering reven

ue stood at 32% in this quarter.

Now moving on to our quarterly financial performance. Our reported EBITDA of INR1,272 million was the highest ever for any quarter, rose 22% in comparison to INR1,047 million in previous year period. Consolidated EBITDA margins improved to 10.1% vis-a-vis 9.6% year-on-year, driven by operating leverage and execution of higher quality T&D contracts.

The Engineering segment EBITDA margins for the quarter stood at 11.3%. We have clocked the desired margin range of 11% to 12% now for past many quarters. Going forward also, we 9KIPPER ---
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will see a consistent margin performance from this business on back of better quality contracts execution and benefits of operating leverage.

The management focus continues towards bottom line improvement. The stand-alone PBT increased by 41% to INR598 million and PBT margin improved to 4.8% of sales for the current quarter period against INR423 million and margins 3.9% of sales in previous year quarter. The stand-alone PAT also increased by 41% to INR447 million and PAT margin improved to 3.6% of sales for the current quarter period against INR316 million and margin of 2.9% in previous year quarter.

On the order front, I'm happy to inform you yet another good quarter for us. During the quarter, company secured significant size domestic contracts from Power Grid Corporation of India Limited and export markets in Middle East, contributing to a total inflow of over INR1,9774 million.

The current quarter order inflow was up by 158% compared to the previous year quarter period.

During the quarter, we secured 3 prestigious 765 kV transmission line projects from Power Grid in the states of Rajasthan and Andhra Pradesh, strengthening our position in the high-voltage segment and also secured a major tower testing and design order approval from the Middle East largest utility, reflecting the growing acceptance of our in-house design capabilities among global utilities.

This has propelled our order book to an all-time high level of INR85,205 million plus reinforcing strong execution visibility. The tender pipeline remains deep with the current bidding pipeline at all-time high of approximately 300,000 million, reflecting strong opportunities in both domestic and international markets. We are participating in a wide range of high-value tenders across domestic, Middle East, LatAm, Asia Pacific, North America, and African markets, many of which are significantly larger in size.

The vibrant domestic T&D environment aligns with Skipper's commitment to leverage India's transmission sector growth with the government's focus on scaling renewable grid infrastructure and improving electrification. Skipper is poised to support this growth.

Our qualification to undertake EPC projects at the highest voltage level of 765 kV and 800 kV gives us a strong advantage. We are among the very few companies in the country with the capabilities to execute these high-voltage projects backed by years of expertise and experience. Strategic highlights. We also made meaningful progress on several strategic fronts. A few of the updates are as follows: Our 75,000 million tons per annum new capacity is now fully installed and commercially operational. This is a strategic enabler that now allows us to target fast track export orders and short-cycle demand, segments where we faced constraints last year.

In addition, we have embarked on another 75,000 million tons per annum capacity expansion with a bold vision to become the world's largest transmission tower manufacturer with 6 lakh million tons capacity by FY '28 end. 9KIPPER ---

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In the Polymer business achieved 40% year-on-year growth in volume terms, we have increased focus on plumbing segment to improve profitability and enhancing our retail distribution network and are gaining momentum

with product diversification. Number of distributors billed and increased by 39% year-on-year.

Monthly billed retail outlets grew by 23%, strengthening last mile reach. Further, company Board has approved formation of subsidiaries in 3 key international regions to accelerate export growth and deepen global market penetration.

In conclusion, Skipper Limited continues to deliver strong operational and financial performance, driven by our focus on execution excellence, strategic initiatives, and prudent financial management. We remain optimistic about the future and are confident in our ability to create long-term value for our stakeholders.

Thank you, and I'm happy to take questions now. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Exports have witnessed around 30% growth in this quarter. I think our major focus in North America and the Middle East. And we are also getting a lot of orders from that. But it seems that the approvals are slow. So what is the realistic time line for scaling to like especially U.S. revenue to 10% of exports? And I just want to understand the cost structure between us and the Chinese competitors in bid for markets like Africa and Latin America side.

Sharan Bansal: Yes. You are right that exports have seen a significant growth this quarter in terms of revenue execution. This year, overall, we have a target to double our export order inflow from previous year approximately INR700 crores to INR800 crores. We feel that we can take a target to double it to about INR1,500 crores to INR1,600 crores of new order inflows, which should definitely have a positive effect on execution.

And as mentioned by Shiv ji in the opening remarks, because till last year, we were facing a capacity constraint. Now we don't have a capacity constraint with the new capacity coming online and further new capacity getting added. So we will be able to pick up short-term orders in the export market as well.

With regard to the approval process, approval process is going in a steady manner. We have been obtaining new approvals in various utilities at a good pace. And recently, we also secured a strong engineering order from Middle East largest utility. So I would say that overall export, we are happy with the export progress.

Regarding to our competitiveness against the Chinese, of course, the Chinese threat always remains and Chinese players from time to time are very aggressive in the market. But with the strength of our engineering and with the strength of our backward integration, we are able to match -- we are able to compete with the Chinese players also quite well. 9KIPPER ---

Balasubramanian: Okay, sir. Sir, in the polymer segment side, we have seen a lot of order declines in Jaljevisan, whether this retail and distribution growth can completely offset this order declining side. And we're also shifting to the pumping side around 50% kind of mix, which is higher margins. Just want to understand what's the long-term target for nongovernment revenue share...

Sharan Bansal: Yes, absolutely. So you see despite the Jal Jeevan projects not being there so much, we have reported a significant improvement in polymer revenue. The polymer revenue has grown by 34%. And we feel that a similar trend will be seen in the remaining quarters also where we will see greater business coming from pump plumbing segment, which will be better margin for the company also. So I think Polymer segment is also in the right direction.

Balasubramanian: Okay. Sir, my last question, around 75,000 metric tons capacity is right now operational. What is the utilization level right now? And we also planned additional 75,000 tons probably next few years. And how this capex time line, how we are going to execute

this?

Sharan Bansal: Yes. So the recent 75,000, which we have commissioned in quarter 1, right now, we are developing and we are getting the output of that. I think we should be able to get full output from that very soon within quarter 2 and quarter 3 itself. And further capacity expansion plan is taken on for another 75,000, which we hope to commission by end of this financial year.

Moderator: The next question is from the line of Sheetal Sharma, an Individual Investor. As Sheetal ma'am has left the queue, we will take our next question.

The next question is from the line of Hardik Dara from SP Dara.

Hardik Dara: I just wanted to understand what is the macro outlook of the sector going ahead for the next 4, 5 years? I mean, is there a long-term tailwind that we are expecting?

Sharan Bansal: Yes, the macro position looks extremely good. There is a strong pipeline and strong tailwinds in our sector with the government investment of total INR9 lakh crores in the power transmission sector up till 2032. And some reports I have read recently where the investment might be higher than INR15 lakh crores also. So up to 2035.

So I think we are looking at a long growth period for the power transmission business in India.

And even in global markets, we are seeing good amount of demand in a number of markets. So I think as more and more countries are transitioning towards renewable power, grid investments are definitely -- we are seeing more and more of that. So I would say macro, certainly, there are strong tailwinds in our sector.

Moderator: The next question is from the line of Mehul Panjuani from 40 Cents.

Mehul Panjuani: Sir, I would like to know what is the revenue breakup between Engineering, Infrastructure and Polymer segments for the company?

Sharan Bansal: It's -- if you're asking about quarter 1, in quarter 1, it is 82% is coming from Engineering segment and about 10% is coming from Polymer segment and 8% is coming from Infra. 9KIPPER ---

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Mehul Panjuani: Right, sir. So sir, what has led to a little bit of subdued quarter compared to quarter 4, which segment has...

Sharan Bansal: No, in general, see, we have always maintained that our H1 revenue is 40% of the year and H2 revenue is always 60% of the year. So as it is a normal trend, which we have seen over last several years, you may compare the previous numbers also. If you compare our this year's quarter 1 performance to last year's quarter 1, which is the correct comparison, you will find close to about a 24% growth -- sorry, 15% growth over last year's quarter 1.

So I think certainly, overall, we are quite confident and we have given a guidance also that the company is on track to deliver 25% overall revenue growth in this full financial year over last financial year.

Mehul Panjuani: Right, sir. Sir, my second question is regarding the Middle East order. So is it a first of kind order for us from the Middle East or we have been doing work in Middle East before as well?

Sharan Bansal: We have been doing work in Middle East. However, this is Middle East's largest utility, Saudi Electric company. So they have recently given us an engineering order. So that is the first from us because they are the most significant utility in Middle East. So that is why we have reported it separately. Otherwise, we have been working in various other utilities in the Middle East for last several years.

Mehul Panjuani: Sir, can you please briefly summarize what is the design about for this company, what we are designing?

Sharan Bansal: We are designing and testing transmission towers for them.

Mehul Panjuani: Okay. And how large is the order if you can share?

Sharan Bansal: It's about INR25 crores.

Mehul Panjuani: INR25 crores. And sir, what is the timeline for completion?

Sharan Bansal: About 8 months to 10 months.

Moderator: The next question is from the line of Abhijeet Singh from Systemati

x.

Abhijeet Singh: Sir, good to see a very strong set of results, both operationally and the work that you have done on the interest cost front. That is really heartening to see. And the first question is on the domestic T&D business...

Moderator: Mr. Abhijeet you are not audible, can you please repeat your question?

Abhijeet Singh: The first question on the domestic T&D business. I mean we all have talked about a very strong long-term outlook on the macro front, which is also talked about in the NEP. But in terms of the last 3, 4 months, what has been the momentum in terms of the tendering from our end customers like PGCIL and other players? So have we seen some change in the momentum of tendering from these players? That's the first question. 9KIPPER ---

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Sharan Bansal: No, the tendering is quite consistent and tenders are coming out at a good pace. And we are also participating in our order bid pipeline has also been growing. So as this quarter itself, we have secured about INR1,900 crores of orders, which is quite significant. And so I would say that both the bidding pipeline, new tenders, etcetera, are coming out in a very consistent manner.

Abhijeet Singh: Right. So I mean, given the momentum and expectation for the rest of 9 months of this fiscal, we can expect a double-digit kind of growth in order inflows. That is what it looks like right now?

Sharan Bansal: Yes, absolutely. We expect that our total order inflow for this year should be in the range of INR6,500 crores to INR7,000 crores.

Abhijeet Singh: All right. Sir, and you mentioned in the press release are up theories across three geographies. Could you please tell us [inaudible 0:22:09] on what is the objective here? Are we planning to set up manufacturing also abroad or how will this work? If you can elaborate a little bit on this?

Sharan Bansal: See, currently, we have only obtained Board approval for setting up of these subsidiaries. And now the management shall evaluate the feasibility of setting up these subsidiaries and eventually manufacturing facilities, if possible. I would say that manufacturing facilities, probably there are no plans in the short to medium term.

Long term, there may be such plans. But however, our objective right now is just to be closer to the market and to be able to service our customers better as because we are looking at good growth in the international order inflows in the years to come, and the opportunity is also quite strong.

Abhijeet Singh: Right. So no substantial investment in the near term in these geographies?

Sharan Bansal: No immediate plans. Right now, the objective is just to be closer to the customer and to be able to service the customer better.

Abhijeet Singh: Got it. And sir if you can also talk about the impact of tariffs. They are held at the current level of 25%. So I mean, versus last quarter, how has the outlook changed for exports to U.S.

Sharan Bansal: Sure. So the -- I would say that the U.S. market makes up less than 1% of our order book. So it's not very significant for us. The impact of tariffs has to be seen because the situation is, I would believe, quite dynamic where the tariff numbers keep changing very fast. sometimes it's 10%, sometimes it's 25%, sometimes it's 50%.

So honestly, we will have to wait for some clarity to emerge from this. However, net-net, the company has opportunities in several other markets apart from the U.S. also. So I would say that we would adopt a wait-and-watch policy to see how the situation finally emerges in the U.S.

Abhijeet Singh: Right. So sir, I mean, currently, I think if I'm not wrong, export contribution revenue is about 20% or in that range. So what is the major geography in here that is already -- that we are doing business in? 9KIPPER ---

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Sharan Bansal: Yes. So the export revenue in this quarter was

about 30% of engineering -- or 30% of engineering

products. And I think overall, it was about I think 20%, 25%, maybe 20% on an overall basis.

So the majority -- the major geographies where currently we are executing projects are Middle East and a little bit in the Africa and LatAm region. That's where the major orders are going

right now.

Abhijeet Singh: Right. So I mean, I think INR30 crores revenue we have booked in the exports in Q1. And so let's say, I mean, even if we do about INR2,000 crores of INR300 crores of order inflow, still there's a lot of scope to expand only in Middle East because Middle East itself supposedly is a big market.

Sharan Bansal: Yes, yes. Of course. Look, we have -- we are present in more than 70 countries worldwide. So of course, Middle East is a very promising market, but we are seeing good opportunities in other markets also.

Abhijeet Singh: And sir, lastly, any guidance for FY '26 in terms of revenue and profit growth?

Sharan Bansal: Yes. I think in terms of revenue, we are quite confident that looking at our order book strength, we are confident of delivering a 25% plus revenue growth for FY '26. And in terms of margins, we have seen some margin improvement in this quarter also as because now in the execution, it is more T&D contracts compared to non-T&D and better quality contracts are also coming. So we are quite confident that we should be able to deliver at least a 50 basis point improvement in EBITDA margins over last year.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang.

Manish Ostwal: In terms of the current non-T&D business, so what kind of operating margin we are generating?

Sharan Bansal: Non-T&D is about roughly 14% of our order book right now. I would not be able to pinpoint an exact margin, but typically, historically, non-T&D has been about 2% lower margin compared to T&D business.

Manish Ostwal: Okay. The second thing, sir, we have seen a good improvement in our interest expense as a percentage of revenue reduction in this quarter. And you commented in the presentation, it will further reduce. So any indicative number we can hit by exit of FY '26?

Sharan Bansal: Yes. I think our target is that we should be close to 4%. That is what our -- we think we can reasonably achieve by the end of FY '26.

Manish Ostwal: And lastly, sir, in terms of domestic market, whatever orders we have got during this quarter against the bid, so what is the bid percentage we are having and -- or whether we have increased some market share also? Can you talk about that thing?

Sharan Bansal: We have been maintaining about 20% to 25% hit rate from our order book. So if I look at our bidding pipeline right now is about INR30,000 crores. So which is why we are quite confident that INR6,500 crores to INR7,000 crores should be quite possible for us to get as an order inflow against this bidding pipeline. 9KIPPER ---

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Manish Ostwal: And sir, your comment of 25% growth for the full year. So in terms of domestic business versus export business, the trajectory will be very similar or export will have a much larger share in coming quarters and years?

Sharan Bansal: See, exports in terms of order book is only 10% for us right now because till last year, we did not really have capacity -- spare capacity available. So we were conservative in picking up the export orders. However, now I would say that now we have sufficient amount of capacity available, and we are going for a new capacity expansion also. So I think we will have the greater ability to pick up short-term export orders also. So we will have to see what the final export execution revenue will be.

But I'm quite confident that in terms of order inflow of export, we will definitely see a significant improvement. We have been on an average, taking INR700 crores to INR800 crores of export orders every year.

r. That we should double to INR1,500 crores this year for sure.

Manish Ostwal: And margin profile in export order versus domestic business, what is the difference, sir?

Sharan Bansal: Exports typically come with about 2% -- 1% to 2% better margins across geographies.

Moderator: The next question is from the line of Ishan Verma from InCred Equities.

Ishan Verma: I wanted to understand like what is our view on the infra segment wherein we see that for the past 3 quarters, we are seeing a degrowth in that segment. So how are we focusing and what are -- what would be the guidance for this full year for that segment? And is it the case that it is lower margin, that is why we are not focusing on that or some update on...

Sharan Bansal: No, it's not that. Actually -- yes, actually it depends on contract execution. So see, certain infra is completely dependent on the contracts that are due to be executed. And there may be variances across quarters. However, despite that, we are confident that even in Infra segment over the full year basis, we will be able to deliver 20% to 25% growth in the Infra segment also in line with our company's revenue growth aspiration.

Ishan Verma: Okay, sir. And we won a substation EPC order in last quarter. So is there any other order that we are bidding for like, is there any status for that?

Sharan Bansal: Sorry, could you repeat that question. I'm not able to hear you very clearly. Could you just repeat?

Ishan Verma: Yes, sure. So we won a substation EPC order in last quarter, right, when we entered substation segment. So what kind of opportunity we see going forward in this segment because this is a better margin orders, right?

Sharan Bansal: Substation is obviously a very significant opportunity. We -- out of the total INR9 lakh crores that is to be invested in transmission sector, we expect that the split will be 50%-50%, 50% in transmission lines, which is our traditional addressable segment and 50% in substation, which is a new segment for us. 9KIPPER ---

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So I would say, yes, there are very significant opportunities. However, we are a new player in the segment. So it will take time for us to ramp up our order inflow and revenue in this segment. But I would say that we have started in a positive note, and we have secured good contract. And yes, we are expecting more contracts to come in that segment in this year also.

Ishan Verma: Sir, in the Engineering Products segment, we major orders from PGCL, right? Going forward, other players of concern that in the market wherein ordering is -- rendering is happening on TVCB based. So PGCL's order is being reduced to 50% and 50% tenders are being won by the private players. So is there any impact on our business due to lower order win from PGCL?

Sharan Bansal: No, not at all. I would say that PGCL, it's not that we are only getting orders from PGCL. We have been working actively with the private developers also and a number of private developers like Sterlite, Adani, the new developers like GR Infra, DRAIPL, we are working with pretty much all players across the segment. Of course, our major business comes from PGCL. And PGCL has the largest market share in the transmission segment compared to all the private players also.

So I would say that really, it's -- we are agnostic between which developer gets the business. We will be actively supporting all the developers as EPC and manufacturers.

Ishan Verma: Okay. And one last question, sir. What are our volumes for the polymer segment?

Sharan Bansal: What are -- sorry, once again?

Ishan Verma: Volumes for polymer segment in this quarter?

Sharan Bansal: In terms of volume, one minute. So we have achieved about 10,600 metric tons in this quarter 1.

Ishan Verma: 10,600. And sir, due to higher realization of higher mix of sales in that, do you see any effect on realization in this segment? And is there a scope

of margin improvement because this is not industry at higher margins compared to us?

Sharan Bansal: Yes. I think as we have maintained earlier also that, see, we -- as our revenue grows and as our contribution of plumbing segment grows in this business, we certainly intend to target double-digit margins. Right now, we are at a low single-digit margin in this business. And we expect that, okay, now we have started the journey with good revenue growth. And I think certainly, the target will be -- our aspiration will be to get to double-digit margins soon.

Ishan Verma: So when can we expect that to be happening like this year, next year?

Sharan Bansal: Probably not this year, but yes, next year would be a reasonable expectation.

Moderator: The next question is from the line of Darsh Solanki from Axis Securities.

Darsh Solanki: Sir, my first question is, so in our previous conference call, our guidance was that we are targeting a 20% to 25% revenue growth for the next 2 to 3 years. So in FY '26 also, we have guided for 25% growth. I just wanted to understand with our capacity expansion and target 9KIPPER ---

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increase as well, are we sticking to the 25% for FY '27 as well? Or will there be an upside to that?

Sharan Bansal: Yes, we are sticking to the 25% revenue guidance because as because now last year in FY '25, we have more or less achieved full capacity utilization. So till FY '25, we were not at full capacity utilization. Now we have achieved more or less full capacity utilization. So I believe that now from here on, largely the revenue growth will be driven by our capacity expansion. So which is why 25% is what the reasonable you can expect from the company over the next 2 to 3 years.

Darsh Solanki: Understood, sir. And sir, in regard to this capacity expansion, so like you had guided that the capex amount over the span of next 4 years would be close to INR800 crores. And the presentation says that the capacity expansion capex would be INR250 crores. So I just wanted to understand, is that INR250 crores included in that guidance? Or is it over and above the previous guidance?

Sharan Bansal: It's included in that guidance. Actually, the INR250 crores includes our regular maintenance

capex of INR40 crores to INR50 crores also.

Moderator: The next question is from the line of Chirag Khasgiwala from Neo Asset Management.

Chirag Khasgiwala: So looking at your order pipeline, so what has been your hit ratio historically? And do you expect that to remain in the same range or could it increase?

Sharan Bansal: As I was answering earlier that historically, our ratio has been in the range of 20% to 25%. We hope to maintain that ratio going forward also. However, we are entering a lot of new geographies and a lot of new markets. So maybe our hit ratio might be lower, but which is okay. As long as our order inflows are growing in line with our capacity expansion and our revenue growth targets, we are happy. So like I mentioned that even for our order inflow, we are targeting a 25% plus order inflow this year in the range of INR5,500 crores to INR7,000 crores compared to last year.

Chirag Khasgiwala: So if you look at your order inflow target of INR6,500 crores also, so in the first quarter, we have around INR2,000 crores of order inflow, which leaves you around INR4,500 crores for next 9 months. How does that compare with the 9 months of last year?

Sharan Bansal: See, last year, actually order inflow is not consistent across quarters. So if you look at last year, quarter 1 was very weak. It was only around INR765 crores, whereas this year, quarter 1 is INR1,900 crores. So it is difficult to put a quarter-wise target for order inflow because that can be -- it's a function of when the projects get finalized and several projects have a long gestation time before from RFQ to finalization stage. So I would say I would prefer to look at order

inflow

targets on an annual basis. It is much better to look at it from that lens.

Chirag Khasgiwala: In terms of backward integration, how much is you -- in terms of the overall capacity, how much have you in the backward integration? 9KIPPER ---

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Sharan Bansal: We are completely backward integrated. So our products, we are -- we have almost 90% of our raw materials are sourced internally. So we have quite a strong backward integration.

Chirag Khasgiwala: You have all towers, conductors, ports, everything all are manufactured in-house?

Sharan Bansal: No. We are talking about the main products, which is towers and fasteners. So that is something which we produce in-house.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities Limited.

Navin Sahadeo: Sir, I think this is the first time in the quarter where we have mentioned our capex plan in the sense now that we want to increase the capacity further to 6 lakh MTPA by FY '28. Of course, you also mentioned 75 MTPA is already commissioned and balance 750 will come up by end of this year. So I just wanted to understand what is the capex that one can attribute from a capex cash outflow perspective for FY '26, '27 and '28 towards this expansion, sir?

Sharan Bansal: Anything between 200 to 250 would be reasonable for each block of 75,000. So as we mentioned before, INR800 crores is what we expect to invest over 4 years, out of which the first leg last year has already taken place. And now over the next 3 years, we expect to invest another INR600 crores. This is apart from the routine maintenance capex that goes on.

Navin Sahadeo: And will it be at the existing location? Or are we looking at it at any other location? Is it a brownfield expansion?

Sharan Bansal: We are exploring other greenfield locations as well. So far, the expansion has been done in existing locations, but we are exploring greenfield locations now.

Navin Sahadeo: Understood. So this 6 lakhs of capacity is at existing location? Or is it -- does it also include a potential new site is what I'm asking?

Sharan Bansal: Yes, yes. This 6 lakhs includes potential new sites. Not all of it will come in the existing site.

Navin Sahadeo: Understood. And my second question, sir, was on the order inflow. So of course, you have surprised, I would say, on maintaining such a healthy order inflow trend that quarter-on-quarter. But just a couple of days back, one of the very large players did mention on the earnings call of a reduction in the project awards or like sluggish like of project awards as a reason of which their T&D order book had seen a slowdown.

And in an earnings call, they acknowledge the fact. So my question to you is, are we seeing any kind of a slowdown trend towards project award at a macro level or that could be more very company specific? We are just going great guns on this.

Sharan Bansal: I would say that, no, in terms of order inflows, etcetera, because we are present in a lot of global markets also, -- so again, for us, when we look at our bidding pipeline, we look at all across the world. And like I mentioned, out of our total order inflow, a significant amount of that is targeted to come from export markets also. And if at all we see any slowdown, so far, we have not witnessed a slowdown in any domestic ordering. 9KIPPER ---

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But even if at all, we see that, then we do have the ability to get more orders from the international markets to compensate for the domestic sluggishness. So I would say that with the diversified bidding pipeline that we have, we are at no risk of missing our order inflow target.

Navin Sahadeo: Is it possible to break up the order inflow trend? Of course, you have given the breakup for the overall order book, but I'm saying from an order inflow trend, is it possible to break up how much is domestic

T&D out of it and total T&D non-T&D?

Sharan Bansal: In terms of inflow, see, we are targeting only T&D and non-T&D will be less than 5% of the overall inflow...

Navin Sahadeo: If domestic...

Sharan Bansal: Sorry, what?

Navin Sahadeo: Sorry, sir. I was -- sorry to cut you. I was only saying between domestic T&D and exports order inflow?

Sharan Bansal: I expect exports to be close to about 25%, about INR1,500 crores to INR1,600 crores and the balance 75% to come from domestic. That's the expectation. But of course, look, this could change based on which orders get finalized first.

Navin Sahadeo: Sure. I was asking more specific to Q1, this INR1,977 crores of order inflows already booked and received. In that domestic T&D will be how much? Is it still 70%, 75%?

Sharan Bansal: I believe it's a similar number, but I don't see a breakup on [inaudible 0:44:38]. But I believe it will be a similar number.

Moderator: The next question is from the line of Darshil Pandya from Finterest Capital.

Darshil Pandya: My question is around the capacity that we added. So have we -- for the 75,000 tons of capacity, how much have we invested? Was it INR200 crores?

Sharan Bansal: Correct.

Darshil Pandya: Correct. And with this, sir, new capacity, am I -- if I'm understanding it right, we will be able to get additional INR1,000-odd crores of revenue. Is this understanding right?

Sharan Bansal: Yes, approximately correct.

Darshil Pandya: Got it. And with regards to this -- the additional 75,000 tons, sir, how are we going to fund this? And how -- what will be the structure for this?

Sharan Bansal: It will be a mix of internal accruals and term loan. So company has, again, healthy cash flows, and we don't have a lot of long-term debt. So I would say that it will be -- last year also, the capex that was done was through a mix of both internal accruals and long-term loan.

Darshil Pandya: Got it. But still, any ballpark number, what are we targeting internally? 9KIPPER ---

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Sharan Bansal: Ballpark number of investment or...

Darshil Pandya: Debt or debt and internal accruals, maybe 50-50 or 40-60?

Sharan Bansal: I would say it would probably be close to about maybe -- because last year was -- we didn't take -- we only took a debt of about INR75 crores. So maybe this year could be maybe 60% debt and 40% internal accruals.

Moderator: The next question is from the line of Arjun Agarwal, an Individual Investor.

Arjun Agarwal: Congratulations on the decent set of numbers. I just want to know regarding this NEP plan, and it has been projected till 2030. So I just want to know your view that till when can we expect this growth in the transmission sector for means for another 2, 3 years or 4, 5 years. So I just want to know your view on this?

Sharan Bansal: In our view, the NEP plan predicts a INR9 lakh crores investment till 2032. So I would say the growth momentum should continue till another 7 years at least. And even beyond that, we are more certain that more and more renewable capacity will have to be integrated. For -- just to put it in context, currently, this INR9 lakh crores is only expected to integrate about 500 gigawatts of renewable energy into the grid. However, if you look at China, China has added nearly about 500 gigawatt just last 1 year itself of renewable capacity.

So if as and when India continues in its growth journey, we also expect that the amount of renewable capacity coming on to the grid will increase rapidly. So as that happens, I would say there would be more and more demand being generated for grid investments. So again, it's hard to say that, okay, how long it will renew. But for the next 6, 7 years, we definitely don't see any slowdown. And our expectation it should continue much beyond that also.

Arjun Agarwal: And just a follow-up in this. So what are the challenges? Are there any challenges that we are

facing in the domestic transmission sector, like ROW challenges of weather conditions means I just want to know that are there any challenges you are facing in domestic T&D sector?

Sharan Bansal: Yes. The prime challenges, I would say, of course, ROW is always a challenge. ROW is generally in the scope of the developer, which is our customer. But yes, ROW does have the potential to delay certain projects from time to time. The major challenge being faced today is the availability of skilled manpower.

As because this is the technical job. And because of the large inflow of orders into the segment, currently, there is a critical shortage of manpower, execution manpower on the ground. So we are -- all the companies are adopting their own methods of recruiting and training people to bridge this gap.

Arjun Agarwal: Okay. So just one more question I want to ask that are we seeing any -- because there's like a lot of -- a lot of -- you and a lot of your peers are also expanding their capacity for tower manufacturing. So are we witnessing any overcapacity? Or how is the industry dynamics regarding the poles and towers raw hard material that we supply. So how is the industry dynamics in that front? 9KIPPER ---

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Sharan Bansal: See, again, because our capacity is differentiated 2, 3 reasons because of our strong engineering skills, our availability of a very, very big design engineering and testing team and also our backward integrated capacity, which gives us significant cost advantages over our peers. I would say that for a player who is not that cost competitive, yes, they would find it difficult.

They might find it difficult in order to get margins. But where we are concerned on the strength, where there is a substantial differentiated offering that we give to the market, along with a cost economical structure, there we will not face any problem of demand.

Moderator: The next question is from the line of Sheetal Sharma, an Individual Investor.

Sheetal Sharma: So my question is, are you implementing any automation robotics for AI in manufacturing process?

Sharan Bansal: Yes. Certainly, digital transformation is high on the priority of the company. We are currently in the process of implementing SAP S/4HANA RISE. So that is something which we are doing -- implementing across the company. At the same time, we are also now doing a lot of R&D and seeing how various AI agents can be adopted in various processes like procurement, selling, manufacturing.

So all of that constantly, we have dedicated digital transformation teams who are working on making sure that we adopt the latest industry practices and continue the company on to the journey of Industry 4.0.

Sheetal Sharma: I have one more question. What is the current domestic order book size and its execution timeline?

Sharan Bansal: The execution time line is anything between average 2 to 2.5 years.

Moderator: Thank you. That was the last question for today. I would now like to hand the conference over to the management for closing comments.

Sharan Bansal: Thank you, everyone. We are confident of delivering profitable revenue growth with a consistent margin in the current year and expect to clock revenue growth in excess of 25% for the current financial year on back of pending engineering and infra contracts and improvement in Polymer segment performance.

Our diversification into international markets and sectors will help us to pick, choose higher-margin orders coming our way and provide us an opportunity to be poised for choices across the sector, aiding to continued better margin performance, improved bottom line profitability and capital return ratios in the coming quarters.

The company's efforts towards sustainable business practices will help to achieve its goal by making meaningful contributions to the national and global infrastructure. We appreciate your continued

support and look forward to interact with you again in next quarter. Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. 9KIPPER ---

Call: Nov 2025

Dated: 13th November, 2025

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 30th September, 2025

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on Friday, 7th November, 2025, on Unaudited Financial Results of the Company for quarter ended 30th September, 2025.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

9KIPPER - Limited-
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"Skipper Limited
Q2 FY '26 Earnings Conference Call "
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MANAGEMENT : MR. SHARAN BANSAL – DIRECTOR – SKIPPER LIMITED
MR. SHIV SHANKAR GUPTA – CHIEF FINANCIAL OFFICER – SKIPPER
LIMITED
MR. ADITYA DUJARI – AVP , FINANCE AND INVESTOR RELATIONS –
SKIPPER LIMITED

MODERATOR : MR. NAVIN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Skipper Limited Q2 FY '26 Earnings Conference Call , hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin from ICICI Securities. Thank you, and over to you, sir.

Navin: Thank you, Anushka. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the Q2 FY '26 conference call of Skipper Limited. From the company, we have with us Mr. Sharan Bansal, Company Director; Mr. Shiv Shankar Gupta, CFO; and Mr. Aditya Dujari, who is EVP, Finance and IR.

So without any further ado, I hand over the call to the management for their opening comments. Over to you, sir.

Sharan Bansal: Thank you, Navin. Good evening to everyone and welcome to Skipper Limited quarter 2 FY '26 and H1 FY '26 earnings conference call . I would like to extend my gratitude to all our investors, analysts and stakeholders for your continued interest and support. Before we proceed, I would like to remind you that certain statements made during the call may be forward -looking in nature and s hould be reviewed in conjunction with the risks and uncertainties associated with our industry and business.

The company has delivered yet another quarter of strong performance, continuing the momentum from the previous year with record revenue, profitability and operational achievements. During quarter 2 FY '26, we recorded our highest ever second quarter revenue at INR1,262 crores, a growth of 14% year -on-year, supported by strong execution in Engineering Product supply. Our EBITDA reached an all -time high at INR131 crores, up 16% year -on-year, with margins expanding to 10.4%, reflecting improved project mix, operating leverage and efficiency in execution.

PAT before exceptional items stood at INR45 crores, up 32% year -on-year, demonstrating consistent improvement

in earnings quality. During the quarter, the company successfully resolved a long pending entry tax demand relating to previous financial year. The matter was settled under the West Bengal Sales Tax Settlement of Dispute Act of 1999, a statutory scheme introduced to resolve legacy tax disputes. Under the scheme, the company paid 75% of the disputed entry tax amount and received a complete waiver of interest, late fees and penalties. Consequently, an amount of INR10.6 crores was recognized as a one -time exceptional item in this quarter. This settlement provides full closure to the matter, eliminate potential future contingencies and has no recurring impact on profitability or cash flow. Excluding this one -time exceptional item, the company's underlying financial performance remained strong and consistent with our growth trajectory. 9KIPPER _ , _

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For the first half of FY '26, Skipper achieved its highest ever H1 revenue of INR2,516 crores, a growth of 14% year -on-year, led by robust domestic execution and a 27% year -on-year growth in export revenues to INR523 crores. Profitability also strengthened. Stand -alone EBITDA margins improved to 10.3% versus 9.9% last year, supported by higher quality T&D contract execution.

PBT before exceptional items grew 39% year -on-year to INR122 crores, with margins expanding to 4.8%, while PAT before exceptional items rose 37% year -on-year to INR89.5 crores with PAT margins improving to 3.6% from 3% last year. On the business development front, our order book reached its highest ever level of INR8,820 crores as of September '25, comprising 89% domestic and 11% export exposure, providing a strong foundation for future growth.

During the quarter, we secured INR1,243 crores of new orders, primarily for engineering product supplies and EPC works. Notably, we won 2 prestigious 765 kV transmission line projects from PGCIL in Rajasthan and Madhya Pradesh, further strengthening our position in the high -voltage segment .

Cumulatively, H1 FY '26 order inflows stood at INR3,221 crores, a 33% year -on-year growth, supported by sustained traction in both domestic and international markets. Our bidding pipeline remains robust at over INR30,000 crores, reflecting strong visibility across T&D and infrastructure opportunities.

The EPC division is currently executing around 5,000 circuit kilometers of EHV & HVDC transmission line projects as of September '25, while our engineering facilities successfully completed and audited by new potential clients from the Middle East and North America, reinforcing our growing global credentials.

On the manufacturing front, our new 75,000 tonnes capacity is now fully operational with commercial production commenced. We have also initiated plans for an additional 75,000 tonnes expansion, taking us closer to our target of 600,000 metric tons per year total capacity by FY '28 end.

Another key milestone during the quarter was the inauguration of our second test bed facility, where we successfully completed the first testing, a significant step in our journey towards engineering excellence and global competitiveness.

Our R&D division signed a MoU with IIT Kharagpur for collaborative research on galvanizing processes and predictive modeling, furthering our innovation agenda. Alongside, we are progressing well on the implementation of SAP S/4 HANA RISE, which will strengthen our operational and decision -making capabilities. On the ESG front, we have undertaken the installation of waste heat recovery systems and back filters, aligning operational efficiency with sustainability goals.

We believe Skipper is at a pivotal inflection point and poised for a multiyear growth trajectory.

The company is backed by a strong pipeline of domestic and international T&D opportunities, 9KIPPER _ , __
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strategic expansion into new business areas and a well -defined road map to accelerate exports under the global China Plus One framework.

With the worldwide shift toward non -fossil and renewable energy driving sustained demand and a continued emphasis on operational excellence, Skipper is well poised to deliver robust and profitable growth in the quarters and years ahead.

Thank you, and I'm happy to take your questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. We take the first question from the line of Dhaval Jai from Sequent Investments.

Dhaval Jai: Yes. Sir, I just wanted to understand on one part of -- when we had our Q1 call, we were mentioning that going forward and ending FY '26, we would be having a 25% growth over FY '25 numbers. So if I have to assume that, we are at INR2,500 crores of revenue right now, which means we have to do around INR3,400 crores of revenue if we want to achieve that guidance that we set in. Are we on line -- in line to achieve this guidance?

Sharan Bansal: Yes, absolutely, because traditionally, we have seen that the revenue split between H1 and H2 has always been in the range of 40 -60 as in 40% of the year's revenue coming in H1 and 60% coming in H2. So we are well on track to achieve the balance required revenue to deliver an overall 25% growth for this year.

Dhaval Jai: Sir, is there any margin improvement that we are expecting going forward as well since I think we might have to be executing almost INR1,700 -plus crores of order in next 2 quarters?

Sharan Bansal: Yes. I think overall, for the year, we have delivered improved margins in H1 also compared to last year. Last year, our margins were in the range of about 9.7%, 9.8% whereas for the H1 this time, we have delivered 10.3% margins already. So definitely, for the full year also, we are expecting to deliver margins in line with this.

Dhaval Jai: And just one more question on the order book. I mean, considering our order book right now, by the end of FY '26, where do we see our order book standing?

Sharan Bansal: Sorry, you are asking that, okay, by the end of the year, what do we see our order book standing?

Dhaval Jai: Considering our pipeline, as you mentioned, and is there any new orders that we're going to get

in the next 5 months?

Sharan Bansal: We expect that this should be somewhere between INR9,000 crores to INR10,000 crores as a closing order book by the end of the year.

Dhaval Jai: This is after execution, right?

Sharan Bansal: Yes, obviously, yes.

Moderator: We take the next question from the line of from Pranjal from GrowthSphere Ventures LLP. 9KIPPER __, __
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Pranjal: I have a couple of questions. Sir, basically following on the previous participant's question on the growth part. In the last quarter, we had said that the expanded capacity of 25%, I mean, it's commercial now and the benefit of which we will see in Q2. But I think there's some gap here.

So does these numbers include the expanded capacity?

Sharan Bansal: Yes, definitely. If you see overall in H1, we have delivered 14% increased revenue over last year 6-month period. During this first 6 months, we were targeting higher revenue from overall business. However, the moderation in top line growth is largely just , I think, timing related and temporary with no real impact on the underlying business momentum because mainly the revenue has been slightly below our expectation because of the exceptional heavy monsoon in Rajasthan, and it was the highest recorded in several decades.

The monsoon has disrupted a lot of logistics and civil works at multiple of our project sites and led to temporary execution delays and just deferment of revenue recognition for certain projects and supply schedules for certain projects into the second half of the year. But importantly,

all

these projects are back on track. Site progress has now normalized with favorable weather conditions. So we don't see a challenge delivering overall -- as I mentioned to the previous caller, that we don't see a challenge in delivering the overall 25% revenue growth for the full year.

Pranjal: Sure. Sir, if possible, could you please provide the capacity utilization that we're operating at right now?

Sharan Bansal: We are operating at about 85% plus capacity utilization.

Pranjal: Okay. Sir, I see that we're getting a good traction on the export market side. So -- and then I saw like in one of our LinkedIn posts, I mean, we're also exploring the Middle East market like quite heavily. So just like I wanted to understand like on the export front, like what are the new opportunities that we are seeing? And like how are these markets sort of attracting to us as a new customer trying to break in?

Sharan Bansal: We have been getting opportunities in a number of new markets. Middle East, of course, we have been -- we are already a strong player in the Middle East market. And apart from other geographies like Africa and LatAm have also been strong for us. As I mentioned earlier, we are seeing interesting growth opportunities in some other developed markets like North America and Europe.

However, these opportunities generally take a long time to fructify. And we are in the process of getting our plant audits and approvals done with various utilities in these countries. There's some good progress that has been done, and we should see some good results out of these in the coming quarters.

Pranjal: Sir, how are the activities sort of fared in the U.S. market? Especially because of the tariffs now, like there has been a little bit -- like players have become a little bit conservative here. So just wanted to understand like what kind of feedback are we getting from our customers there?

Sharan Bansal: Yes. So the U.S. as of now doesn't make much of our overall business, less than 2% of our business comes from the U.S. market. But it's a market which has a lot of interesting potential 9KIPPER __, __
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and a very strong opportunities in the future. So we are utilizing this time really to get our approvals and certifications in place in that market.

And then not just the U.S., it is also Canada, Mexico, and the entire North American market is very interesting and very robust for the future. So I would say that, yes, maybe today, maybe this year, we can't expect any major orders there. But in subsequent years, we are looking at that market quite positively.

Pranjal: And sir, finally, are we still on track of doubling our capacity in the next few years?

Sharan Bansal: Yes. By FY '28, we do expect to double our capacity to 600,000 tonnes.

Pranjal: Right. And we'll be the largest player globally, right, in terms of... ?

Sharan Bansal: That's right. That's our aspiration, yes.

Pranjal: Congratulations on good set of numbers and wish you all the best for future performance.

Moderator: We take the next question from the line of Navin from ICICI Securities Limited.

Navin: My question basically was on the order inflow -- the rate of order inflow in this quarter. So of course, when I look at on a half year basis, it looks fairly healthy. But just Q2 as a number appears to be down almost both on a year -on-year and Q -o-Q basis.

So if you could just help us understand, is it just like some temporary blip here and second half will be more than compensating for it? Or how should one look at it? I'm just talking about numbers because I understand we are at an all -time high order book , and I appreciate that. I'm just talking about the pace of new order inflow?

Sharan Bansal: Yes. So Navin, there are plenty of opportunities in the market and see, order inflow can never really be uniform on a quarter basis. For the

full year, we have guided that, okay, we will be --

we are targeting an intake of INR6,000 crores plus. So -- and definitely, we are on track to getting that because there is a strong bidding pipeline also that we are carrying. We've already secured INR3,300 crores of orders in H1, which is a healthy number.

So I'd say that, yes, keeping in view our overall target of not just taking orders but taking -- but improving the EBITDA margins of the company also, I believe we are on the right track. And certainly, there's no challenge in the business outlook. Again, quarter numbers can just vary depend on which are the contracts that are getting finalized in which quarter. But overall, for the full year basis, we see no reason for concern.

Navin: Yes, that's helpful. My second question then was on your geographical mix. So export, like in total order inflow currently is about -- or total orders is about 11%. So I wanted to understand if over the next few years, what is it that we are aiming for or targeting from this domestic to export mix? And what efforts then are we taking towards that? If I were to look at a 3 to 5 -year picture, how should this geographical breakup of the order book look like? 9KIPPER _ , _

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Sharan Bansal: It is true that, yes, export orders have been slow to take off and domestic orders, domestic market has been far more vibrant since last 2 years. We have seen much stronger growth opportunities in the domestic market where projects are coming at a fast pace and also getting finalized at a fast pace. So export markets, definitely, there is a large opportunity. We are pursuing a good number of opportunities in different countries.

But yes, it is taking time because typically, export markets don't move as fast as the Indian market. So the signs are all in the right direction. And again, I think it's at an inflection point.

Our internal aspiration is that long term, we should be having an order mix of 50 -50, 50% of exports and 50% of domestic. But I think it will take us at least 2, 3 years to get there.

Navin: Yes. But within 2, 3 years, having a 50 -50 order book is quite, I'm saying, a very high ask, at least looking at the current mix of 90 -10, 89 -11. So what gives you confidence to become -- so what gives the confidence to make it 50 -50. And I'm assuming you're assuming -- I mean, in the sense that 50 -50 when we say domestic order inflow remains static and we are adding more of export. I hope that is the understanding.

Sharan Bansal: Yes, absolutely. You're right. So that is absolutely the understanding. And look, we are confident because we are seeing that kind of opportunities in a lot of global markets. So which is why we think that 50 -50 is a number that is definitely realizable. Yes, today at -- yes, I can understand your skepticism that 11% order book, it might seem a little distant. But again, look, we are -- we see enough opportunities in various markets to make that a reality.

Navin: And is it , because since it's such an aspirational target, I'm sure your investors or everybody would be very keen to understand that from an export market, which particular region has the - - holds the highest potential because it's clearly a very encouraging number , and I'm glad you mentioned it. My only thing if you can substantiate or support it, which geography gives you the most confidence in terms of adding export orders?

Sharan Bansal: See, in the last Board meeting in quarter 1, we also took the Board approval for setting up 3 new foreign marketing subsidiaries, one in U.S., one in UAE and one in Brazil. So I'd say that in all of these markets, certainly we see strong opportunities, which is why we've gone in for the subsidiary formation.

If I am to give you a geographical split between where we see our order book splitting, then I maintained in the past that we believe that 25% of

our overall order book should come from

developed countries, North America, Europe and Australia and 25% from developing geographies like Middle East, Africa and Latin America. So I think that would be the split of how that 50% of exports would be realized.

Navin: Helpful, sir. Very clear. Now I now turn to the queries on polymer products. So how should we look at this business? Because like around INR1,100 crores or -- sorry, around INR100 crores

to INR120 crores or in that range broadly, the revenues have stayed put for, I think, some time now. 9KIPPER __ , __
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And broadly, the margins are also around this 4% kind of a range. So what's the vision there and -- or rather even an aspiration from a business point of view? And how should one look at it again over the next 2, 3 years? Was I clear? Hello, am I clear?

Sharan Bansal: Yes, just 1 minute, please. So in terms of -- Navin, in terms of polymer, of course, look, the industry growth has been challenging in the last couple of years because of volatile and falling commodity -- resin prices. However, Skipper has performed better than its peers. We have delivered a 21% growth in overall net sales and a higher growth in terms of actual volumes. The full volume growth has not translated to value growth because of the falling commodity prices. So I'd say that despite these challenging circumstances, we are seeing a healthy growth number for Skipper. And also, we are seeing a healthy growth in conversion from agri to plumbing. I think that also is a trend which we are seeing in the right direction. So as far as we are concerned, this is something by business, again, we are quite bullish on. We do believe that we can make it INR1,000 crore s brand in the next couple of years' time itself and certainly target a double -digit EBITDA margin at those revenue numbers.

Moderator: We take the next question from the line of Darsh Solanki from Axis Securities.

Darsh Solanki : So sir, my question is regarding the sector outlook. So basically, there is a recent news that basically ISTS waivers are being phased out. So in that context, if the solar and wind plants move from solar heavy states to other states, would that impact our demand for the interstate transmission lines?

Sharan Bansal: I don't think so because the transmission projects is as per CEA , Central Electric Authority planning, and that is done on the basis of all the expected renewable energy additions, the 500 gigawatt of renewable energy additions. Now even if ISTS charges are waived, it is not going to make a material difference in the overall cost of solar power, which is among the cheapest in India today, probably among the cheapest in the world.

And of course, as you all are aware that for transmission projects, government of India also doesn't need to give any budgetary support. There is enough private participation in the overall transmission business. So we see no challenge that this ISTS waiver phaseout is going to have on the demand for new transmission line build -out.

Moderator: We take the next question from the line of Rahil from Sapphire Capital .

Rahil : Congrats on a good quarter. Firstly, sir, you just mentioned something about the polymer business, and you mentioned a figure of INR1,000 crores. So can you just elaborate more on that? Like you said INR1,000 crores, you want to see the brand reach that number. So I was just confused as to what you're pertaining to?

Sharan Bansal: Like this year, for the first 6 months, if you see our revenue has been close to about INR200 crores already. And at a -- sorry, 1 minute -- INR242 crores. Yes, we've had INR242 crores revenue compared to last year INR199 crores in H1. So for the full year, certainly, I think we can look at a number closer to INR600 crores odd in this division. And then I would say that INR1,000 crore s number should be possible,

maybe if not next year, certainly in the year after 9KIPPER __ , __
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that. But yes, if market conditions are favorable, then possibly we can look at that number next year itself.

Rahil : But you're saying commodity prices are falling, right? So there are some challenges in the market. So with this...

Sharan Bansal: We believe they've bottomed out now. We believe they've bottomed out now. So there's no further scope for further reduction in commodity prices for sure.

Rahil : So margins will start improving immediately from H2 for this division as well?

Sharan Bansal: Yes, that's the expectation that with improving sales, definitely margins should improve. But whether they happen from H2 or whether it will happen from next year, I am not able to predict right now.

Rahil : So the double digit, your aspiration is long term or in the medium to... ?

Sharan Bansal: It's long term.

Rahil : Long term, long term. Okay. Okay. And the other question would be with regards to the key sectors you're focusing on. So with this kind of 25% year -on-year growth, which you're targeting in the coming years, what will be Skipper's key focus areas in both domestic and international

markets, if you could just highlight? And any other new areas of work which you are targeting?

Sharan Bansal: No, our prime focus will remain in power transmission and distribution segment. That is the prime area in which we are operating. We are India's largest manufacturer for transmission towers and poles among the world's largest in this product and aspiring to be the world's largest in about 3 years' time. So that will remain our prime focus.

Apart from this, we are seeing some good opportunities in -- on the generation side as in -- in solar generation, we are seeing opportunities for us for some of our engineering products. And as well as the wind sector, we see some opportunities for our towers as well in the wind sector. So -- but those are still small right now. Those are very small in terms of revenue -- any meaningful revenue for the company. Right now, the prime focus continues and shall remain for the next several years, power transmission and distribution segment only.

Rahil : Okay. And EBITDA margins, you've done around 10% in quarter 1 and 10.4%, right, in quarter 2. So what can one pencil in for the whole year at the similar levels? Or do you expect any improvement?

Sharan Bansal: Yes. We expect this to be at a similar level for the full year also.

Rahil : So 10% to 10.5% is something which you can achieve?

Sharan Bansal: Very much, yes.

Rahil : Okay. And lastly, you said you expect to close the order book INR9,000 crores to INR10,000 crores FY '26 end, correct, closing? What is your bid pipeline to support that? 9KIPPER _ , _

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Sharan Bansal: Our bid pipeline is plus of INR30,000 crores right now.

Rahil : Okay. So what would be a win rate then historically given... ?

Sharan Bansal: Our win rate has been in the historic range of about 25%. However, the -- it's not necessary that all INR30,000 crores will come up for finalization in the next 6 months. So especially in export markets, we have seen that the conversion cycle is extremely long. And there, again, it might take longer, and we're not sure how many of them will get finalized in this. But, however, we do see that, okay, despite that, a comfortable INR9,000 crores to INR10,000 crores closing order book should be possible.

Rahil : So of this INR30,000 crores, how much is export bidding? What portion is export?

Sharan Bansal: About INR10,000 crores is export orders.

Rahil : INR10,000 crores, okay. Okay sir. All the best to you.

Moderator: We take the next question from the line of Pranjal from GrowthSphere Ventures LLP.

Pranjal: I just had a follow-up. I missed this question in my previous li

ne of questions. Sir, any update

on the substation piece that you are working on? And following that, like are we also looking for opportunities on the BES side, just these 2 bits?

Sharan Bansal: On the substation side, the company is executing 2 small and medium-sized projects right now. And we are targeting commissioning of these projects in the next financial year. So I think once these projects are commissioned, then we will also be fully qualified to bid for the larger substation jobs next year. So that is -- so it's progressing well, and we are moving definitely steadily in our substation journey. On the BES side, no, the company is not pursuing any opportunities right now.

Pranjal: Right. Sir, could you please provide some qualitative insights into the kind of substation you're building? I mean, some power heating or like the capacity of substation some clarity on that?

Sharan Bansal: Yes. We are building 2 substations, one 132 kV and one of 220 kV.

Moderator: We take the next question from the line of Navin from ICICI Securities.

Navin: Sir, my question was on the margins, and you did answer that full year also, we are looking at around 10%. How should we look at margin mix or split between the domestic and exports? And the reason I'm asking again is because we have like a huge ambitious plan to like grow the order book in the export front. So this breakup of order -- margins in export versus domestic will be really helpful?

Sharan Bansal: Yes, Navin. So look, for this year, I think considering that the export is about -- only at about 11% of the order book, which is why I guided that, okay, our margins will be in the range that we have delivered in quarter 2 already. And going forward, yes, the export order intake, we do expect that in subsequent years to be a much higher percentage in our order book, and that will aid in our growth of margins as well. 9KIPPER _ , _

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So even in domestic contracts, we are seeing better quality contracts. So if you see even though

the majority execution is on the domestic side right now, we -- despite that, we are -- we have delivered a good -- a decent amount of margin growth despite the healthy top line growth. So I'd say that it's overall better quality contracts, both in domestic and export markets.

And even a lot of HVDC projects, which now we are executing. And even in the current bid pipeline, we are seeing a lot of HVDC projects for which not a lot of players are qualified. So certainly, we can expect better margins from those kind of projects as well. Long term, we do aspire that our margins should move from the current 10%, 10.5% level to 12% level in the longer term.

Navin: That's great. My second question was then about the leverage of the company. So while we are expecting the order book to be, of course, like improve or be much healthy for the full year and even going ahead, how should one look at the total leverage or net debt plus acceptances of the company?

I believe as of September, we had a total loan of around INR1,268 crores. So how should one look at net debt -to-EBITDA as a ratio that is comfort to us that -- or rather like a threshold beyond which we will not go? How should one look at leverage?

Sharan Bansal: See, as far as the debt position of the company is concerned, we are at a very comfortable position. We have been at a stable 0.61 debt equity ratio in the company despite all the growth and despite all the capex that we have undertaken. If you look at last year September quarter, we were at net debt plus acceptance of about INR1,312 crores versus this year, in September, we're at INR1,268 crores.

So there's actually been a slight reduction in overall net debt plus acceptance in the last 1 -year period despite the top line growth of about 14%. So I would say that this is something which we are already at a very comfortable

number. And of course, with the growing business, there might be some increase in this. But I would say that even if it is range bound at this level, we would not be surprised as it has been range bound in the last 1 year, as you can see.

So our focus is more on the finance cost as a percentage of sales, which as we had guided last time that we were at a very high number of about 4.7% last year for the full year, finance cost as a percentage to sales, we had guided that in this present financial year, we should be able to bring it closer to 4%. And we are very happy that we have been able to deliver that where finance cost as a percentage of sales this year is closer to about 4.1%, 4.2%. So I think that is in the right direction and right trajectory, which is the key number which management would like to look at.

Moderator: We take the next question from the line of Naman from Niveshaay Investments.

Naman: Sir, as you mentioned about the HVDC project will be coming in and have a very good margin.

Can you elaborate more on how is the bidding pipeline contributing HVDC project and current order book contributing the HVDC project?

Sharan Bansal: Sorry, your question is that -- if you can repeat your question, please, wasn't very clear. 9KIPPER __, __
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Naman: Yes. On the HVDC side, so as you mentioned that it has a very good margin compared to the transmission projects and all. So how much it will be contributing in the current bid pipeline, like INR30,000 crores you have told about the bid pipeline. So how much is for the HVDC project.

Sharan Bansal: I don't -- I'm sorry, I don't have those numbers readily available with me. But if you reach out to Aditya later, then maybe he can share the exact numbers.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Sharan Bansal: Thank you. With strong execution visibility, a robust order pipeline and expanding capacities, we remain confident of achieving around 25% revenue CAGR growth for FY '26 with an even stronger performance expected in the second half of the year.

Our expanding presence in international markets and diversification across new sectors will further strengthen our growth momentum. These initiatives will help us capture higher -margin opportunities, enhance profitability and improve capital efficiency in the coming quarters.

We remain deeply committed to sustainable business practices, ensuring that our growth contributes meaningfully to both national and global infrastructure development. We appreciate your continued support and look forward to interact with you again in the next quarter. Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. 9KIPPER __, __

Call: Feb 2026

Dated: 4th February, 2026

The Manager
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block-G
Bandra Kurla Complex, Bandra (E)
Mumbai- 400 051
Symbol- SKIPPER The Manager
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai- 400 001
Scrip Code- 538562

Subject: Transcript of the conference call on Unaudited Financial Results for the Quarter ended 31st December, 2025

Dear Sir,

In accordance with Regulation 30 read with Schedule III of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the conference call with Investors and analysts held on 29th January, 2026, on Unaudited Financial Results of the Company for quarter ended 31st December, 2025.

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours faithfully,
For Skipper Limited

Anu Singh
Company Secretary & Compliance Officer

Encl: As above

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"Skipper Limited
Q3 FY '26 Earnings Conference Call"
January 29, 2026

SKIPPER
MANAGEMENT : M R. SHARAN BANSAL – DIRECTOR
M R. DEVESH BANSAL – DIRECTOR
M R. SHIV SHANKAR GUPTA – CHIEF FINANCIAL OFFICER
M R. ADITYA DUJARI – ASSISTANT VICE PRESIDENT , FINANCE AND
INVESTOR RELATIONS

MODERATOR : M R. NAVIN SAHADEO – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Earnings Conference Call of

Skipper Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Sahadeo from ICICI Securities Limited. Thank you, and over to you, sir.

Navin Sahadeo: Thank you, Rudra. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the Q3 FY '26 earnings call of Skipper Limited. The company is represented by Mr. Sharan Bansal, Director; Mr. Devesh Bansal, Director; Mr. Shiv Shankar Gupta, company's CFO; and Mr. Aditya Dujari, AVP, Finance and IR.

So without any further ado, I hand over the call to the management for their opening comments.

Over to you, sir.

Sharan Bansal: Thank you. Thank you, Navin. Good evening, everyone, and welcome to Skipper Limited quarter 3 and 9 months FY '26 earnings conference call.

Before we proceed, I would like to draw your attention to the fact that certain statements made during the call may be forward-looking in nature and should be considered in conjunction with the risks and uncertainties associated with our industry and business.

We are pleased to share that the company has delivered a strong performance during the quarter and the 9-month period, supported by disciplined execution, improving profitability and sustained momentum in order inflows. Our performance continues to reflect the benefits of a manufacturing-led model with scalable capacity, improving operating leverage and a growing international footprint.

During the quarter, we recorded our highest ever quarterly revenue of INR1,370 crores, registering a growth of 21% year-on-year, driven by strong execution across engineering products and EPC business. We also achieved our highest ever quarterly EBITDA of INR141 crores, up 28% year-on-year, with EBITDA margin improving to 10.3%, reflecting operating leverage, higher plant utilization and execution of better quality contracts.

Profit after tax increased by 40% year-on-year to INR50.2 crores, marking our strongest quarterly bottom line performance till date. Our improving profitability profile is also supported by a tighter cost discipline and a continued reduction in finance cost intensity, aided by better working capital management and cash flow generation.

Now moving to the 9-month performance. For 9 months FY '26, we delivered our highest ever 9-month revenue of INR3,886 crores, growing 17% year-on-year. Profitability improved meaningfully with stand-alone EBITDA margin expanding to 10.3% compared to 9.8% last year, driven by operating leverage and execution of higher quality T&D contracts.

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PBT before exceptional items grew 38% year-on-year to INR187 crores with PBT margins improving to 4.8% from 4.1% last year, while operating PAT before exceptional items rose 38% year-on-year to INR139.7 crores with PAT margins improving to 3.6% from 3%. These trends demonstrate that growth is increasingly translating into returns with improving predictability and resilience in earnings.

On the order book and growth visibility, momentum remains exceptionally strong. As of December '25, our closing order book stood at an all-time high level of approximately USD1 billion or INR9,009 crores with a healthy mix of 90% domestic and 10% export orders, providing strong revenue visibility.

During quarter 3 FY '26, we secured new orders worth INR1,428 crores, primarily for engineering product supplies and EPC works, including significant domestic EPC contracts from PGCIL and international

customers. We also secured 2 prestigious 765 kV transmission line projects in Uttar Pradesh and Karnataka, further strengthening our positioning in the high-voltage segment and reinforcing our credentials in the complex transmission projects.

Cumulatively, 9-month FY '26 order inflows stood at INR4,649 crores, reflecting a growth of 24% year-on-year. We continue to see strong traction across both domestic and international markets, supported by a robust bidding pipeline of approximately USD3 billion or over INR27,000 crores.

Capacity expansion and other update. On the capacity and operational front, our new 75,000 tons capacity is now fully operational with commercial production commenced. In addition, an additional 75,000 tons expansion is already underway, which will take our total installed capacity to 450,000 tons by the end of FY '26.

As utilization rises on this expanding asset base, incremental volumes are expected to translate into disproportionate gains in profitability, reinforcing the operating leverage inherent in our manufacturing platform.

On the organization and system side, Skipper has received the Great Place to Work certification for the fifth consecutive year, reflecting the strength of our culture and execution capability. Further, the company has successfully gone live with SAP S/4HANA RISE across key business functions, marking a major milestone in our digital transformation journey and enabling stronger process control, data visibility and scalable growth.

We believe Skipper is at a pivotal inflection point and poised for a multi-year growth trajectory. The company is backed by a strong pipeline of domestic and international T&D opportunities, strategic expansions into new business areas and a well-defined roadmap to accelerate exports under the global China Plus One framework.

With the worldwide shift toward non-fossil and renewable energy driving sustained demand and a continued emphasis on operational excellence, Skipper is well positioned to deliver robust and profitable growth in the quarters and years ahead.

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Thank you, and I'm happy to take your questions now.

Moderator: Thank you very much. We'll now begin the question-and-answer session. The first question is from the line of Keval Barot from Axis Securities.

Keval Barot: Am I audible?

Sharan Bansal: Yes, please.

Keval Barot: Compliments on a good set of numbers. So sir, I have a couple of questions. My first question is that in the last Q2 con-call, you gave a revenue guidance of 20% to 25% growth year-on-year for next 3 years, capex guidance of INR800 crores for next 4 years and EBITDA margins in the range of 10% to 10.5% gradually increasing year-on-year for the next 2 to 3 years. So do you still hold this guidance as in the T&D sector is facing some challenges regarding Right of Way, land acquisition and power demand issues?

Sharan Bansal: Regarding T&D sector, see, as such, there are no challenges. There are a good amount of business opportunities, both at the interstate level and at the intrastate level also. You might be aware that recently, the states -- various states have also started TBCB bidding. So business opportunities are robust. The government of India has that INR9 lakh crores transmission capex plan up till 2032.

And even beyond 2032, there are going to be further opportunities with projects like Arunachal Hydro project, etcetera, which itself is expected to be INR6.5 lakh crores in transmission investment. So all in all, we don't see any kind of challenge in the long run.

Yes, this year, if you ask me probably last year because it was much higher than expectations, the order -- overall industry ordering, probably in this year last -- this year is slightly muted compared to last year. But overall, it is still robust. If you see from our own order inflows, we have got order inflows of INR4,800 crores in

the 9 months, which is a 24% increase over the previous 9 month period.

And plus, apart from this, exports are also quite robust. We are seeing increasing export opportunities in a number of geographies. So long run, honestly, again, in a certain year, there may be peaks and troughs, but long run, transmission opportunity is very, very robust.

Keval Barot: Okay, sir. And regarding the guidance of revenue, capex and EBITDA margin that will be intact, which you have said it in last Q2 con-call, right?

Sharan Bansal: Yes. So again, our aspiration is obviously to grow between 20% to 25%. We maintain that, yes, the opportunity in transmission does present itself for us to be taking that target. So between 20% to 25% is our aspiration for year-on-year growth.

Keval Barot: Okay. And capex for the next 4 years will be INR800 crores, right?

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Sharan Bansal: See, you can expect -- we have already done quite a bit of capex in last year and this year by increasing our capacity to 450,000 tons. For next year, we have not yet firmed up our annual -- our actual capex numbers, which were expected to be firmed up in the month of March. But you can expect a similar capex number in the next coming years as well.

Keval Barot: Okay, sir. Got it. And my second question is regarding capacity expansion. So as again, in the last Q2 con-call, you have also said that the additional 75 KTPA plant is expected to go online by the end of FY '26. As I've seen it in your presentation, I just wanted to know what will be the approx timeline regarding the status of going to be online? And what kind of capacity utilization we can expect from that once it comes online and how will the ramp up -- and what will be the ramp-up profile?

Sharan Bansal: The -- as like any capex project, we, of course, there are minor delays even in this one, again, partially, it will be commissioned before March and partially, it will spill over to the first quarter. But largely, this is the time range of the capex, and we expect the utilization to come in by fully by quarter 2.

Keval Barot: Okay, sir. And just wanted to ask a last question regarding the sector outlook. As I've read articles in the consensus talking regarding expectation of lifting restrictions on Chinese products in power sector. Is there any update regarding it? And how will it impact the company?

Sharan Bansal: In our products, see, there is -- we don't expect any threat from Chinese companies. But I am -- I cannot really speak much about, let's say, other substation products, etcetera. But for transmission line products, we don't expect any competition from Chinese.

Moderator: Our next question is from the line of CA Garvit Goyal from Serene Alpha.

CA Garvit Goyal: Am I audible?

Sharan Bansal: Yes, please.

CA Garvit Goyal: Sir, I just want to understand the impact of the recent increase in the copper price on our EPC segment. Could you please throw some light on this?

Sharan Bansal: The impact of what, sorry?

CA Garvit Goyal: Impact of recent increase in copper prices.

Sharan Bansal: Copper is not our raw material, so we are not affected. Our major raw materials are steel and zinc and to some extent, aluminum.

CA Garvit Goyal: Steel and zinc.

Moderator: Our next question is from the line of Mehul Panjuani from 40 Cents.

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Mehul Panjuani: Congratulations on good set of numbers. Sir, my first question is regarding the order book. We have USD1 billion order book. So can you just throw some light on how long will it take to execute these orders, in how many -- in what period?

Sharan Bansal: Yes. Normal -- on an average, our orders are to be executed over a 2-year timeframe. So of course, certain orders are shorter-term in nature where 1, 1.5 years and certain orders are longer term. But on an average, you can assume them to be executable over 2 years.

Mehul Pan

juani: Okay, sir. And sir, one follow-up question on the previous participant. You mentioned that majority part of the metals which we use is steel and zinc. So there is a lot of rise in overall commodity prices across the board. So how would it impact if we were to see some high appreciation in prices of zinc and steel the way we have seen in some precious metals and copper, would it impact our margins substantially or how would it be?

Sharan Bansal: See, in terms of steel and zinc prices, they have largely been range bound. If you would know - if you remember that prices had dropped quite a bit in the quarter 1, quarter 2. And we have seen some firming up of prices in quarter 3 this time. So I would say that prices are pretty much -- if you look at an average for the full year, they are range bound. And secondly, as we have mentioned before, there is a fair amount of value addition in our end products.

So raw materials only make up about 60% of our selling price. So again, and we have a healthy mix of firm price and variable price contracts also. So I would say that we are not very much concerned about the commodity price increase, at least for our raw materials are concerned. We are not really dealing with the precious raw materials like silver or etcetera, or even copper like the previous participant asked, where those are not our raw materials, where the real increase has been seen.

Mehul Panjuani: Right. And sir, can you elaborate a little bit on the Arunachal project, which is already there announced by the government because I'm not aware about it.

Sharan Bansal: It is right now in planning stage, but the Government of India foresees a huge hydro potential in the Arunachal belt, and it is expected that a total of about INR6.5 lakh crores transmission opportunity will open up in that belt because of those hydro projects. But those are going to be extending up to 2035 and beyond. So it's a very long-term project.

Mehul Panjuani: Right. And sir, can you see some kind of announcement in the budget on the transmission sector?

Sharan Bansal: The transmission sector doesn't really get any support from the budget as such because as I've mentioned earlier, that there is a large amount of private participation in the transmission sector.

Most of the major projects are conducted on TCB, tariff-based competitive bidding, where the Power Grid also participates and various private developers are participating. So from the budget, the transmission sector doesn't really receive any budgetary support, and we do not expect any budgetary support in this budget also.

Mehul Panjuani: And any negative developments?

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Sharan Bansal: None as such. We don't -- I mean, for the transmission sector, again, because it's identified requirement to integrate 500 gigawatts of renewable capacity and overall, now with the government talking about nuclear power also, I would believe that, that would also open up more transmission opportunities.

Moderator: Our next question is from the line of Navin Sahadeo from ICICI Securities Limited.

Navin Sahadeo: Yes. Am I audible?

Sharan Bansal: Yes, you are.

Navin Sahadeo: So a couple of questions. My first one observation basically in your presentation that you have given a guidance of 20% growth. Until previous quarter, we were always maintaining 25%. So if you could just give some color here why the change and then like are we -- because even from that point of view, simple arithmetic, I mean, to meet that 20% guidance also, we -- arithmetically, we need almost 30% jump in Q4, whereas so far into the first 9 months, the revenue run rate has not been that much. So I just wanted to get your understanding about the change in the guidance and conviction for Q4.

Sharan Bansal: So in the sense, the revenue, if you look at this quarter, we have had a 21% growth. For the last quarter, definitely, we do expect anywhere

between 25% to 30% growth in the last quarter also.

So I'd say certainly an overall growth of anything between 21%, 22% is on the cards for the full year. Again, the 25% is -- was our aspirational growth for the full year.

But again, as we have shared in the previous calls, there was a delay in our capacity enhancement that took place in -- that came about in quarter 1. And there was some amount of slower execution due to the heavy monsoon in the months of extended monsoon period. So overall, but look, in the beginning of the year, 25% is an aspiration. I believe we are not very far off from that.

Navin Sahadeo: Helpful. My second question then was on the order intake. So if we were to continue with this because I believe 20% to 25% range is what I think you had alluded to last time. So to continue this revenue run rate, ideally, our order book should also -- I'm saying our order inflow trend should also grow by a similar run rate over a period. Now last year, our order inflow was more like INR5,335 crores.

And this year, I think the guidance was INR6,000 crores-odd order inflow point of view, which is roughly anywhere between 10% to 15%. I'm just throwing a number here because we have 9 month number, but we don't know the Q4 number. But broadly, it looks like our order inflow will grow at 10% to 15%, whereas the revenue then that we are saying is likely to grow at 20% or going ahead also, that is what I would like to recollect that last -- the previous quarter, you were saying we can continue to grow at 20%, 25%.

Sharan Bansal: Correct.

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Navin Sahadeo: So I'm just trying to understand the pipeline for the order inflow and can that also grow at 20% plus? And how would we look at it between domestic and exports?

Sharan Bansal: Yes. So this year, obviously, like I said, that overall ordering in the sector has been lesser compared to last year. Despite that, we will definitely be ending with a healthy order inflow. As if you look at 9-month number, it is 24% up. So certainly, quarter 4, we are expecting some good orders to come in.

Apart from that, I believe that, look, there are a lot of short-term orders also that come in during the year. And because we now have a good amount of capacity available, so we are -- this order book that you are seeing is only the closing order book, but there are short-term orders that are received during the year, which get executed during the year itself. So that will also help the business volume. So business volume is not only dependent on the closing order book. Yes. The pipeline, obviously, is plus of INR25,000 crores. So that obviously -- again, that is a mix of all short-term, medium-term and long-term orders.

Moderator: Our next question is from the line of CA Garvit Goyal from Serene Alpha.

CA Garvit Goyal: Am I audible?

Sharan Bansal: Yes.

CA Garvit Goyal: Congrats for the good set of numbers. My question is particularly in relation to copper prices as the prices are rising and we might be using the components where the copper goes into in our - particularly in our EPC segment. So I just wanted to understand, are we able to pass on the commodity price volatility to the customers from where we are getting EPC contractor?

Sharan Bansal: So copper is not really used in our contracts at all. Like I mentioned, our main raw materials are steel, zinc and to some extent, aluminum. Like I said, copper is not really our raw material.

CA Garvit Goyal: What kind of EPC do we -- are we engaged in?

Sharan Bansal: We are doing the full transmission line EPC up to -- for high-voltage category. So where we do the complete supply of tower, bought-out items and the construction -- site construction.

CA Garvit Goyal: Understood. So the copper is not getting used in this?

Sharan Bansal: No.

Moderator: Our next question is from the line of Sagnik Sarkar from SKP Securities.

Sagnik Sarkar: I had a coup

le of questions on the new capacity that is coming up. So these 75,000 tons of capacity, is it a brownfield capacity in Howrah or is this a greenfield capacity? Also for further capacity additions, have we acquired any land? And what's the status on that?

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Sharan Bansal: Yes. So the current capacity that is coming up is a brownfield capacity only. For new capacity, we are on the lookout for more land as well. And we haven't made a firm decision on anything yet.

Sagnik Sarkar: Okay. So it will be in West Bengal, or it will be outside the state?

Sharan Bansal: We're looking at both the options.

Sagnik Sarkar: Okay. And for this new capacity, the 75,000 tons of capacity that will take the total capacity to 450,000. So work has started on this or like it is yet to start.

Sharan Bansal: Yes. We're expecting to commission by the end of this year.

Sagnik Sarkar: By the end of March '26, right?

Sharan Bansal: March spilling over to quarter 1, yes.

Sagnik Sarkar: Yes. And 100% capacity utilization will be achieved by Q2 -- Q2 of FY '27?

Sharan Bansal: Generally, our capacity utilization is in the range of 85% to 90%, which is the optimum utilization. So we should achieve that by quarter 2.

Moderator: Our next question is from the line of Navin Sahadeo from ICICI Securities Limited.

Navin Sahadeo: A couple of questions. So in the previous quarter, we had an aspirational like, would you say, targets over a period of time to get our order book balanced between domestic and export at 50-

50, right? So what I just wanted to understand is that how should one look at it? And when --

like from which year, is it a 2, 3 year out kind of a visibility you have or a slightly longer period?

And by when can the export share begin to rise? I mean, your views on that, please.

Sharan Bansal: Yes. So if you look at in terms of export execution, even in the 9-month period, we have had close to about a 20% execution rate for the export out of our engineering products. Now

obviously, the long-term aspiration is to go to 50%, and we certainly think it is possible with the kind of opportunities that exist. This is going to be a combination of developing and developed

markets. But overall, the exports due to the overall geopolitical situation, probably it is little

difficult to say that how fast it is going to grow, but it is definitely on the upside.

And the good thing is that domestic markets are obviously robust, and they are expected to remain robust for the next 4, 5 years. What we are really doing is that we are increasing our penetration in a lot of key markets, including developed markets like North America and Europe.

So I think, look, it is going to bear fruit. And long-term, certainly, that 50-50 aspiration will be met, but it is probably difficult for me to put in a timeline about when we will be able to achieve that.

Navin Sahadeo: No, I appreciate that. 50-50 is a very far off target. What I really wanted to request is rather like just from an understanding point of view, if this thing becomes 15%, 20% in the interim, do we

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have any interim milestone or a short-term target, which is, you have any visibility on is my question?

Sharan Bansal: Again, we have a lot of projects which are under evaluation, Navin, but it's difficult for us to put a timeline and our success rate in those various contracts. I would say that it's in the right

direction. It is healthy. Even right now, we have close to INR900 crores order book on the export

side, which is definitely probably the highest for any transmission line tower company from

India. It is definitely increasing and growing healthily, but difficult for me to put interim targets on this.

Navin Sahadeo: No, fine. I appreciate. I just wanted to know if there is anything that we can try to bring into estimates or into the consideration, but I understa

nd it's a dynamic situation.

Sharan Bansal: It's progressively going to be increasing for sure. That you can assume that, yes, it is definitely going to be progressively increasing every year.

Navin Sahadeo: Understood. Then my second question was also on the bidding pipeline. So between Q2 and Q3, there is a slight drop in the bidding pipeline. Of course, you have done a commendable job on reporting a healthy order inflow quarter-after-quarter. So I appreciate clearly that.

I was only asking from a bidding pipeline point of view that the previous quarter, it seemed more like a INR30,000 crores in this quarter, about INR27,000 crores. I know it's not that big a swing, but I'm only trying to understand if there is a slight slowdown in the broader activity is what I'm trying to arrive at.

Sharan Bansal: I mean, trust me, this is -- just a couple of years ago, this bidding pipeline used to be less than INR10,000 crores. You have obviously been tracking the company for much longer than this.

So I think from INR10,000 crores, now we are almost 3x of that. So again, a plus/minus 10% variation will happen. But this is definitely not indicative of any long-term slowdown of the sector. Sector opportunities remain robust, as I have mentioned previously in the call.

Navin Sahadeo: Sure. Then my second question, if you could just help us with the net debt, including acceptances or net debt and acceptances as of December quarter?

Sharan Bansal: Yet the numbers are not reported for the December quarter. But it's largely in line with our September numbers. And again, if you can -- I think more importantly, and it is reflective in the finance charges. So if you see the finance charges, they have come down quite well in line with our aspiration of achieving a 4.1%, 4.2% number, as I had mentioned in the beginning of the year. So we have delivered on that where finance charges have come down from overall last year 4.8% to this time about 4.1%.

Navin Sahadeo: Helpful. My last question was on the tie-up that you have done with Lubrizol. Just wanted to get a sense how meaningful or material can this be in terms of revenue for the segment? And if yes, it is a sizable opportunity, which can unfold by then can it percolate into some sort of a revenue traction?

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Sharan Bansal: Yes. So Lubrizol is obviously a world leader in CPVC supplies. They have been long-term partners to other Indian companies like Astral, etcetera. This is -- obviously, we are very excited about this tie-up. It is a raw material tie-up only.

And we expect that certainly both in terms of pricing and quality, we should be able to drive good value from this tie-up in the long run. It is still early days, but our expectation is that this should definitely add value to the company very soon.

Navin Sahadeo: Understood. And in Q4 per se, as we like aiming for 25% to 30% kind of a revenue traction, that will continue at a healthy 10% plus kind of a margin outlook remains steady in that 10% plus range or it can be a little volatile between 9% to 10%?

Sharan Bansal: No. Margin guidance, I think we are maintaining on the 10% plus only. And of course, as you've noticed that we have been able to improve margins despite the increase in revenue, we have been able to improve our margin profile over last year, which is what our expectation is a long-term aspiration, we get to 11% to 12% number in this.

Navin Sahadeo: Appreciate. And it seems like -- from your commentary, it seems like we will be ending FY '26 year on a fairly strong note. So from that perspective, how should one look at order inflow trend for FY '27?

Sharan Bansal: It would be definitely progressively increasing. As our capacity is growing, as our market penetration in export markets is growing, you definitely can expect an increasing trend in order inflow also.

Navin Sahadeo: Yes. I mean can it grow 20%? Sorry, I'm just bein

g able to push you on this. But since the revenue guidance is 20% plus, and I hope that is what we are maintaining for '27, order inflow will broadly be in that range. Is it safe to assume that directionally?

Sharan Bansal: I mean, definitely. I mean I think our aspiration will be that, it should be happening.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sharan Bansal: Okay. Thank you, everyone. Looking ahead, we are confident of delivering 20% revenue CAGR growth in the current year. A multi-year growth runway ahead lies ahead for us. With a record order book, rising capacity utilization, improving margin profile, expanding export footprint and a structurally scalable manufacturing base, Skipper is entering a phase where growth, profitability and return ratios are set to compound together. We appreciate your continued support and look forward to interacting with you again in the next quarter. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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